

ONTARIO COURT OF JUSTICE

B E T W E E N :

HER MAJESTY THE QUEEN (ONTARIO MINISTRY OF LABOUR) AND HER MAJESTY THE QUEEN (ONTARIO MINISTRY OF THE ENVIRONMENT)

— AND —

SUNRISE PROPANE ENERGY GROUP INC.

— AND —

1367229 ONTARIO INC

— AND —

SHAY BEN-MOSHE

— AND —

VALERY BELAHOV

Before Justice Chapin

Heard on January 30th, 31st, February 2nd, 3rd, 6th, 7th, 8th, 9th, 13th, 14th, 21st, 23rd, June 11th, 12th, 14th, October 1st, and November 7, 2012

Reasons for Judgment released on June 27, 2013

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Chapin J.:

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Introduction

[1] The defendants are charged with a number of regulatory offences under the *Environmental Protection Act*, R.S.O. 1990, c. E. 19 as amended and the *Occupational Health and Safety Act* R.S.O. 1990, c.0.1 as amended. These charges arise out of a series of explosions that occurred at 54 Murray Road in the city of Toronto in the early morning hours of August 10, 2008. At the time of the explosions there were two employees at the site. Mr. Felipe De Leon had just refilled a small propane truck with propane from a larger truck and Mr. Parminder Singh Saini was dispensing propane to automobiles. Mr. De Leon was able to escape the site with relatively minor injuries; however, tragically, Mr. Saini was killed by the explosions.

[2] There are three informations before the Court. Counsel agreed to have all of the defendants arraigned on all charges at the same time and that the evidence at trial would apply to all of the charges. This is because much of the evidence called provided context for all of the charges. There are two sets of charges under the *Environmental Protection Act*. The first set relates to the discharged contaminants that were released into the environment as a result of the explosions and the second set involves alleged non-compliance with Orders that were issued after the explosion had occurred.

[3] Sunrise Propane Energy Group Inc. and 1367229 Ontario Inc. are jointly charged with discharging or causing or permitting the discharge of a contaminant, namely sound, vibration, heat, gas vapour or solids, into the natural environment that caused or was likely to have caused an adverse effect, contrary to Sec. 14(1) of the *Environmental Protection Act*, R.S.O. 1990, C. E. 19 as amended, thereby committing an offence under Sec. 186 (1) of the *Act*.

[4] Sunrise Propane Energy Group Inc. is also charged with five counts of failing to comply with a provincial officer's Order contrary to Sec. 186(2) of the *Environmental Protection Act*, R.S.O. 1990, C. E. 19 as amended, failing as an employer to provide information, instruction and supervision to a worker to protect the health or safety of the worker at a workplace contrary to Sec. 25(2)(a) of the *Occupational Health and Safety Act*, R.S.O. 1990, c. 0.1, as amended and failing as an employer to take every reasonable precaution in the circumstances for the protection of a worker at a workplace contrary to Sec. 25(2)(h) of the *Act*.

[5] Mr. Shay Ben-Moshe and Mr. Valery Belahov, being directors of the corporation, are both charged with failing to take all reasonable care to prevent the corporation from contravening a provincial officer's Order contrary to the *Environmental Protection Act*, R.S.O. 1990, C. E. 19 as amended. The wording on counts six and seven of this information was amended during the course of the trial to change the wording from "did commit the offence of being the director of a corporation..." to "did commit the offence of being a director of a corporation".

[6] The charges under the *Occupational Health and Safety Act* allege that Sunrise Propane

Energy Group Inc. failed to provide appropriate information, instruction and supervision to Mr. Saini regarding the safe work practices and recognition of hazards associated with propane storage, dispensing, handling and appropriate emergency response to propane leaks. And, that on or about the 10th day of August, 2008 Sunrise Propane Energy Group Inc. did commit the offence of failing as an employer to take every precaution reasonable in the circumstances for the protection of a worker at a workplace located at 54 Murray Road, contrary to section 25(2)(h) of the *Occupational Health and Safety Act* by failing to take the reasonable precaution of ensuring that a propane facility was installed and operated in accordance with regulatory requirements and safe industry practice.

The Agreed Statements of Fact

[7] At the outset of the trial three agreed statements of fact were read into the record. Any admission or agreement in the agreed statement of facts is not meant to be an admission or agreement by any of the defendants for any other purpose or legal proceedings, whether contemplated or currently underway, and as such it is restricted to these proceedings under the *Provincial Offences Act*, and for the purposes of these proceedings only.

[8] The agreed statement of facts for the Sec. 14 *Environmental Protection Act* charges is as follows:

Sunrise Propane Energy Group Inc. is and was on August the 10th, 2008, a corporation duly incorporated under the laws of Ontario. On or about August the 10th, 2008, Sunrise Propane operated a propane business that supplied propane and industrial gases at a facility located at 54 Murray Road in the city of Toronto. 1367229 Ontario Inc. is and was on August the 10th, 2008, a corporation duly incorporated under the laws of Ontario. 1367229 Ontario Inc. carries on business as Sunrise Propane, and was on August the 10th, 2008, the holder of an authorization pursuant to Ontario Regulation 211/01 made under the *Technical Standards and Safety Act*, S.O. 2,000, CHAPTER 16, to operate a propane refill cylinder and motor fill at the facility. From September 2004 up to and including August 2008, 1367229 Ontario Inc. leased the property on which the facility is located from Teskey Construction Co. Ltd.

On August the 9th, 2008, Sunrise Propane dispatched Victor Vlad an independent contractor who drove propane tankers for Sunrise Propane to drive cargo liner unit 861 to the BP Energy Canada Ltd. liquid propane terminal in Sarnia to purchase bulk propane. Cargo liner unit 861 was a tanker trailer with an 18,000 USWG capacity, or 68,000 litres. Sunrise Propane leased unit 861 from 1452049 Ontario Inc., a company owned by Gary Mizlitsky which operated as Discount Propane out of the same 54 Murray Road facility. Mr. Mizlitsky also worked for Sunrise Propane as its fleet manager and dispatcher in which capacity he would direct Sunrise

Propane drivers to drive to Sarnia to pick up bulk propane and transport it back to the facility from which it would be distributed to Sunrise Propane customers. He would also take orders from Sunrise Propane customers and direct Sunrise Propane drivers to make propane deliveries to those customers.

On August 9th, 2008, Mr. Vlad filled unit 861 with approximately 15,600 USWG, or 59,000 litres, of liquid propane from the terminal in Sarnia, and then drove unit 861 back to the facility where he parked it at approximately 5:00 p.m. Unit 861 was typically used to fill smaller propane tanker trucks for delivery in and around the Greater Toronto Area, to customers whose sites would be inaccessible using a larger tanker trailer like unit 861. One of these smaller cargo liners was unit 1 which had a tanker capacity of 14,900 USWG, or 56,400 litres, for liquid propane. When unit 861 returned to the facility on August the 9th, 2008, Mr. Vlad transferred approximately 4500 to 5300 USWG, or between 17,000 to 20,000 litres, of liquid propane from unit 861 into unit 1.

At approximately 8:45 p.m., Felipe De Leon, another independent contractor who drove propane tankers for Sunrise Propane, arrived for work. Gary Mizlitsky dispatched him to deliver propane using unit 1, to four Sunrise Propane customers, before returning to the facility. Unit 1 was approximately 50 per cent full when Mr. De Leon returned to the facility at around 3:00 a.m. on Sunday, August the 10th, 2008. Mr. De Leon did a truck-to-truck transfer of liquid propane from unit 861 to unit 1. As a result of the transfer, unit 1 was filled to between 85 per cent and 90 per cent of its capacity.

At about 3:47 a.m. on August the 10th, 2008, there was a large propane vapour cloud explosion at the facility, hereafter referred to as explosion #1. Explosion #1 was followed by numerous smaller explosions as the heat from explosion #1 ignited tanks of propane belonging to Sunrise Propane and other companies that were stored at the facility. Approximately six minutes after explosion #1, there was a second large propane explosion at the facility, explosion #2. Explosion #2 was a BLEVE, an acronym for boiling liquid expanding vapour explosion, of unit 1, the tanker that Mr. De Leon had been filling. After explosion #2, further smaller explosions of smaller tanks of propane followed until the daylight hours. The propane that exploded in explosion #1, explosion #2, and in the other smaller explosions that followed both explosion #1 and explosion #2, was under the management and control of Sunrise Propane.

[9] The propane explosions at the facility on the morning of August the 10th, 2008, resulted

in a discharge of contaminants from the facility into the natural environment. The contaminants that were discharged included heat, vibration, sound, gas vapour, smoke, and solids such as asbestos, dust, metal fragments, and other debris. The discharged contaminants caused a variety of adverse effects, including personal injuries, including cuts, bruises and burns to neighbours in nearby residences, damage to neighbouring residences, including shattered windows, blown-in garage doors and structural damage to walls, ceilings and roofs. Some homes were rendered uninhabitable for over a year. Many nearby residents were forced to immediately flee from their homes due to the on-going explosions and/or the threat that their homes might collapse due to the structural damage caused by the explosions.

[10] Approximately 12,000 residents within a 1.6 kilometre radius of explosions were evacuated in the middle of the night due to the threat of further explosions while the fire persisted at the facility. Residents who were displaced by the blasts suffered lost wages, and were forced to pay out-of-pocket expenses for temporary shelter and clothing. Two local elementary schools suffered structural damage, and while all repairs and clean-ups were completed before the opening of the schools in September, significant disruption occurred as teachers and custodians were unable to access the premises during the latter half of August when they would normally be completing preparatory work.

[11] Local businesses suffered structural damage to buildings, closures to the public which caused losses of revenue and losses of working shifts. One business, a car dealership, was completely destroyed. Buildings and headstones in the neighbouring cemetery were damaged. Asbestos, including friable asbestos which is the most dangerous form of asbestos and other debris, including large metal fragments from the exploded tanks, was dispersed into the neighbourhood as far away as one kilometre from the facility. However, air quality testing commenced on August the 12th, 2008, and continued throughout the clean-up, subsequently confirmed that airborne asbestos levels were not at levels that would cause human health effects. A local child-care centre was temporarily closed due to the potential for asbestos contamination. Mr. Parminder Singh Saini, a part-time employee of Sunrise Propane who was working the night shift at the facility at the time of the explosions, was killed in the explosions.

[12] The agreed statement of facts regarding the *Occupational Health and Safety Act* charges was read in as follows:

Sunrise Propane Energy Group Inc. was at all material times a corporation duly registered pursuant to the laws of the Province of Ontario. On August 10, 2008, Sunrise was an employer as defined by the *Occupational Health and Safety Act*. Parminder Singh Saini, date of birth 26 September 1983, arrived in Canada in December 2007. Saini was enrolled in Sheridan College in Brampton. He was studying quality assurance and mechanical engineering. Saini was employed by Sunrise as an auto cylinder filling attendant at the company's facility located at 54 Murray Road in the city of Toronto, for four to five and a half months, he worked night shifts on Friday and Saturday nights, he was a worker as defined by the *Occupational Health and Safety Act*, he was only responsible for filling automobiles, primarily, taxicabs, with propane. Saini was work-

ing on the night of August 9th to 10th of 2008. At about 3:47 a.m. on August 10, there was a large propane vapour cloud explosion at the Sunrise facility. Saini was killed in the explosion; the cause of death was inhalation of flames.

The TSSA and its regulations require that an auto cylinder filling attendant have PPO3 training. Sunrise used only three people for training employees, Shay Ben-Moshe, Mike Martin and Brent McIntyre. Shay Ben-Moshe did not provide training of any kind to Saini, Valery Belahov did not provide training of any kind to Saini. The deceased is not the same person as Parminder Singh, date of birth 24 October 1983, who is PPO3 trained.

In 2005, the Sunrise Propane facility at 54 Murray Road had been licensed by the TSSA to operate as a propane refill centre, cylinder and motor fill, utilizing two 2,000 U.S. Water Gallon, (hereinafter referred to as “USWG”) tanks, a remote dispenser and a cylinder fill building with a cylinder storage area. One 30,000 USWG tank was delivered to the site on September 25, 2007. Around this time, the two 2,000 USWG tanks that were connected to the cylinder fill and dispenser location were moved approximately 35 to 40 feet from their original location. Their orientation was also changed from north/south to east/west. This involved moving the tanks and associated equipment, and reconnecting the piping system. 35 to 40 feet of piping was configured and installed, it also included additional piping and the re-installation of flexible hoses to accommodate the new configuration. Electrical wiring had to be disconnected and reconnected.

[13] The third agreed statement of facts regarding to failure to comply with Orders contrary to the *Environmental Protection Act* reads as follows:

Sunrise Propane Energy Group Inc. is and was in August 2008, a corporation duly incorporated under the laws of Ontario. On or about August the 10th, 2008, Sunrise Propane operated a propane business that supplied propane and industrial gases at a facility located at 54 Murray Road in the city of Toronto. Shay Ben-Moshe and Valery Belahov were directors of Sunrise Propane at all relevant times, including between August the 10th, 2008, and August the 24th, 2008.

On August the 10th, 2008, beginning at approximately 3:47 a.m., a series of explosions of propane occurred at the facility. The explosions resulted in a discharge of contaminants from the site onto the surrounding properties in a wide radius around the site. The contaminants included asbestos, particulate matter of solids and dust. Asbestos waste discharged onto the surrounding neighbourhood by the explosions was first identified on August 11th, 2008, by Team Hazco Emergency Services which had started a

cleanup of the neighbourhood impacted by the explosions. The asbestos waste air quality testing started August 12th, 2008, showed that airborne asbestos levels never reached levels that would cause human health effects.

As a result of the explosions, a number of residences and businesses in the area were evacuated until such time as the area was deemed safe from further explosions at the site, and the health risks associated with exposure to the asbestos were assessed and eliminated. In order to prevent a decrease, or eliminate, any adverse effect that may have resulted from a discharge of any contaminants from the facility, Ministry of the Environment provincial officer Marianne White issued a provincial officer's Order #6586-7HGMXF, on August 13th, 2008, to Sunrise Propane. On August the 13th, 2008, between 10:00 a.m. and 10:30 a.m., Officer White and Ministry of the Environment Acting District Manager Kathleen Anderson met with Valery Belahov at the Ministry of the Environment offices at 5775 Yonge Street in the city of Toronto. During this meeting, Officer White reviewed a draft version of the Order with Mr. Belahov which included an overview of each of the seven required work items. After this meeting, Officer White finalized and signed the Order, and at approximately 3:00 p.m., she called Mr. Belahov, and left a voice message indicating the Order was finished, and asked to arrange a meeting so that the Order could be served.

At about 3:18 p.m., Officer White received a call from Robert Warren, counsel at WeirFoulds LLP. Mr. Warren indicated that he was calling on behalf of Valery Belahov and Shay Ben-Moshe.

At about 3:43 p.m., Norm Rankin, counsel at the Ministry of the Environment, e-mailed a copy of the Order to Mr. Warren, and asked that he accept service on behalf of Sunrise Propane.

At 3:57 p.m., Mr. Rankin and Officer White spoke to Mr. Warren and John Buhlman, also counsel at WeirFoulds LLP, and they advised that they did not have instructions to accept service of the Order.

At about 4:41 p.m., Dan Ronen, corporate counsel retained by Sunrise Propane, attended the Ministry of the Environment offices at 5775 Yonge Street, and accepted service of the Order on behalf of Sunrise Propane. Officer White reviewed the Order with Mr. Ronen, and provided him with three copies of the Order. Mr. Ronen advised Officer White and Mr. Rankin that he would be delivering the Order to his client Sunrise Propane when he left the meeting. Mr. Ronen delivered the Order to Shay Ben-Moshe and Valery Belahov, after he left the meeting at 577 Yonge Street,

at sometime between 5:00 and 6:00 p.m. on August 13th, 2008. The Order was never appealed to the Environmental Review Tribunal.

Evidence called at trial

[14] I will go on now to review the evidence called at trial. I will attempt to set out the evidence in chronological order where possible.

Evidence Regarding the Regulation of Transportation and Handling of Propane in Ontario

[15] In 1996 the Ontario Technical Standards and Safety Authority (“TSSA”) was created to deliver public safety services on behalf of the Government of Ontario in a number of key sectors including: (1) boilers and pressure vessels, (2) operation engineers, (3) amusement and elevating devices and (4) fuels (including propane) and (5) upholstered and stuffed articles. The TSSA establishes the legislative and regulatory framework for the management and enforcement of public safety laws in the aforementioned designated sectors under the *Ontario Technical Standards and Safety Act*.

[16] A number of witnesses who were working at the TSSA at the relevant times were called as witnesses during this trial.

Ms. Sandra Cooke

[17] Ms. Sandra Cooke began her employment with the TSSA in 2002 as the technical leader for the fuels engineering program. Her duties included supervising the fuel safety engineers who review facility licence applications, variance approval applications, equipment approval applications and regulatory maintenance.

[18] Ms. Cooke explained that the TSSA administers the *Technical Standards and Safety Act* which empowers the statutory director to issue safety Orders, Director’s Orders, and variances. The Act also allows a right of appeal from the Orders of Inspectors and the Director. The Act is the overarching legislation governing the regulation of fuels. There are a number of regulations below the Act. One of the regulations relevant to this trial is the *Propane Storage and Handling Regulation, Ontario Regulation 211* which contains specific information such as when a facility needs to be licensed, when people handling propane need to be certified and when contractors need to be registered. Below the regulations the TSSA adopts codes. With respect to propane the code involved is the *National Propane Storage and Handling Code* (“the code”). This code sets out, in much greater detail, what is required at a propane filling plant. As part of her duties Ms. Cooke would, along with others, draft Code Adoption Documents. These Code Adoption Documents may make changes or additions to the code or may provide interpretations of sections in the code. The Code Adoption Documents are Director Orders which make the requirements within the code law.

[19] If a propane filling plant was located in a heavily populated area there were special requirements that had to be satisfied. In 1993, the TSSA developed a standard (Branch Standard

No. 9) that was re-issued in 2001. It imposed additional restrictions for propane tank placement in heavily populated areas. A radius of 300 ft. would be drawn around the tank, and then an assessment of building occupancy would be made according to the formula. The standard also said that a tank could not be within 300 ft. of a school, and also could not be within 25 ft. of a residential building.

[20] In 2005 Ms. Cooke sat on a standing committee, the Risk Reduction Group, as part of her duties. The group involved members from the industry as well as two associations: the Ontario Propane Association and the Propane Gas Association of Canada. The Ontario Propane Association represented most of the facility owners in Ontario.

[21] An issue regarding truck-to-truck transfers was brought to the committee by one of the members. She explained that section 7.13 of the code allowed truck-to-truck transfers at a facility that had fixed storage capacity of at least 5,000 USWG. The member had indicated that there was some confusion regarding the industry requirements for transferring propane from one tank truck to another.

[22] There were a number of concerns with truck-to-truck transfers. One concern was that an explosion had occurred in New Jersey in 2003 while a truck-to-truck transfer was being conducted. Another was that a facility could increase its capacity for propane storage without the TSSA knowing about it. For instance, a facility licensed for 5,000 USWG could bring a truck on site that was carrying 20,000 USWG and there would be no way to ensure that ignition sources were far enough away from the truck. This was also a concern as the licensing fees were based on the amount of propane stored at the site.

[23] Ms. Cooke, Mr. Alonzo, (a fuel safety engineer), and Mr. Heyworth, (a fuel safety inspector), prepared an advisory report on these types of transfers. The advisory report they prepared provided clarification and said that trucks were not to be used for storage unless they were fixed and licensed. This meant that the wheels had to be taken off as well as the axle. The advisory also indicated that a proper set-back from sources of ignition would be required. This advisory was provided to the industry on November 1, 2005 and was posted on the TSSA website. Email notifications also went out to the industry members.

[24] The next meeting of the Risk Reduction Group after the November 2005 advisory was released was in May 2006. There was very vigorous debate at this meeting regarding the prohibition against truck-to-truck transfers, with limited exceptions being contained in the advisory. The group was divided as to whether or not it should be allowed. Some of the members of the group believed that the TSSA was re-writing the code.

[25] As a result of that meeting Ms. Cooke decided to prepare a Director's Order which could allow for the change to be adopted as law. She felt that the industry had valid concerns and some pointed out additional concerns as follows;

- that there may not be sufficient lighting where the trucks park if the transfers were con-

ducted in the evening,

- if the TSSA was not aware of how these transfers were being conducted they may not be able to inspect properly, and
- there might not be appropriate clearances from possible sources of ignition depending on where the trucks were parked.

[26] As a result, the code advisory document was withdrawn. Ms. Cooke felt that the industry members had a point when they complained that the TSSA was changing the code through an interpretation process.

[27] The Director's Order was prepared and signed and Ms. Cooke went through the process required to have the Order issued. Although Ms. Cooke could not locate the signed copy of the Director's Order to bring to the court she believes that it was signed and said that it was posted on the TSSA website on October 31, 2006 and in two TSSA newsletters the following March along with an article on truck-to-truck transfers. She believes that the Order was signed because it never would have been posted on the TSSA website if it had not been signed. The intent of the Order was to restrict truck-to-truck transfers to bulk plants only.

[28] Ms. Cooke agreed in cross-examination that the main concern that prompted the creation of the Director's Order was the complaint that some businesses were paying lower fees for licences when they were actually storing larger amounts of propane by having large tanker trucks on site. She also agreed in cross-examination that she was not sure whether or not she was aware of the New Jersey explosion in 2003 when she was drafting the Director's Order and that the TSSA did not have any statistics or studies regarding the threat to public safety while a truck-to-truck transfer of propane was being done. It was Ms. Cooke's view that it is a matter of common sense that there is a threat of an explosion during the transfer process.

[29] A newsletter was sent out in the winter of 2007 that specifically referred to the Director's Order and the entire Order was set out in it. The TSSA used Canada Post to deliver the newsletter and was invoiced for this work on March 16th, 2007. Ms. Cooke believes that it would have been mailed about a week prior to the invoice being issued.

[30] As far as Ms. Cooke was aware there was never an appeal of the Director's Order; however, she was aware of a company in Hanover, Ontario that sought a variance of the Order. That company eventually withdrew the request and installed a fixed tank. She was not aware of any other requests for a variance.

[31] Ms. Cooke was also not aware of any appeal or correspondence regarding the Director's Order. If either had been sent to the TSSA Ms. Cooke advised that it would have come to her attention as she was responsible for the drafting and development of Director's Orders. She was also sure that an appeal and letter regarding the Order would have been discussed with her.

[32] The Director's Order was also included in a Propane Code Adoption Document Amend-

ment dated June 12, 2007 which was issued and posted on the TSSA website on June 14, 2007. [33] Ms. Cooke advised that the TSSA had not approved any truck-to-truck transfers since the Propane Code Adoption Document was issued.

Evidence Regarding the Application for a Modification to the Propane Storage Capacity at 54 Murray Road by 1367229 Ontario Inc.

Marek Kulik

[34] Marek Kulik has been employed by the TSSA as an Engineering Technologist at the time of trial since June of 2007. In 2007 he was assigned to review propane applications regarding distribution and filling. Applications of this type must be accompanied by a pre-installation site check sheet, a letter from the relevant municipality confirming that the applicant's proposed site complies with zoning by-laws, confirmation that the proposed project complies with Branch Standard No. 9 and a site plan.

[35] He reviewed an application for an Ontario Licence to Operate a Propane Cylinder Handling Facility made by 1367229 Ontario Inc. for a modification to the facility located at 54 Murray Road in Toronto. The proposal involved the installation of a 30,000 USWG tank in October of 2007. Sean Ben-Moshe was listed as the owner of the company on the application form and was listed as the applicant on the "Pre-installation Site Checksheet". Sunrise Propane Industrial Gases was listed as the supplier on the form. A letter dated July 9, 2007 from J. Ross Keys was received confirming that he had reviewed the information regarding the proposed 30,000 USWG tank and that it complied with Branch Standard No. 9. In cross-examination Mr. Kulik agreed with counsel for the defendants, that it was possible that the July date was a "typo" but as it was not his document he could not comment further.¹ A letter dated December 4, 2006 to J. Ross Keys from Ted Glass, Zoning Examiner, confirmed that the proposed propane facility would be a permitted use under the zoning code was also received along with a site plan with the name "Sunrise Propane".

[36] In cross-examination Mr. Kulik was asked whether or not he had reviewed the Director's Public Safety Order of October 27, 2006 given that Mr. Keys specifically referenced it in his letter of July 9th, 2007 to Mr. Alonso (which was sent in October of 2007). Mr. Kulik could not recall whether or not he had read the Director's Order while reviewing the package given the passage of time but explained that he did not need to read it to do his job. He was reviewing a proposed modification and not an existing facility. From his perspective the application was for a brand new facility, even though it was the same site. This was because the two 2,000 USWG tanks were not shown on the site plan and this letter was not relevant to what was required of him. An inspector would have already been paid to review the existing facility with the two 2,000 USWG tanks. He would not be reviewing it again and charging the client for it.

[37] Mr. Kulik reviewed the application package, approved it, and sent a letter to Mr. Ben-

¹ Mr. J. R. Keys later confirmed in his evidence that the letter was sent in October of 2007.

Moshe dated November 8, 2007 advising him that an inspection of the site would need to be scheduled and asked him to contact Ms. Mary Ferrari, a TSSA inspector. This letter was copied to Mr. Keys as he was the engineer on the project. Mr. Kulik assigned the inspection to Ms. Ferrari, as assignments were based on the regions the inspectors had been assigned. A copy of the letter would have been sent to the inspection department and Mr. Kulik would have kept a copy of the letter for his files. This meant that construction could begin but the new 30,000 USWG tank would not be able to pump or receive propane until it had been inspected.

[38] Mr. Kulik's November 8, 2007 letter had a licence number in the top left portion of the document; however, Mr. Kulik explained that a license number is assigned at the beginning of the process for tracking purposes. It did not mean that a licence had been issued. Once the inspector completes the inspection a licence could be issued by him or her. An inspector may or may not have had a part to play in a particular application but typically inspectors don't get involved in the process.

[39] Mr. Kulik was asked if he was able to identify some handwriting on his letter to Mr. Ben-Moshe of November 8, 2007 introduced as Ex. 28 tab K. At the top of the document someone had hand-written the following "forward to Don H." In the second paragraph someone had scratched out Ms. Ferrari's name and had written in "Don Heyworth" and at the bottom of the letter someone had written "NOV 16/06 MTG. DRAWINGS SEAN, ROSS, 1.5 HRS." Mr. Kulik did not recognize the writing.

[40] Mr. Kulik was referred to the original site plan which did show the two 2,000 USWG tanks as well as the proposed plan drawing, Ex. 29, and agreed that it did appear that the 30,000 USWG tanks would be in the same approximate area; however, he did not go to the site and could not say for certain. He did not need to review the previous plan to complete his task and confirmed that if the two 2,000 USWG tanks were to be moved, even temporarily, the owner would have to complete an application for a modification of the plan because the prior location was approved based on the code and the new location would have to continue to meet the requirements of the code.

[41] Mr. Kulik was cross-examined about the use of the words in item 9 of the notes on exhibit 29 "facility used for filling plant services for bulk truck and cylinder refilling purposes". In re-examination he made it clear that those notes refer to the new facility to be built. The notes on the previous diagram that show the two 2,000 USWG tanks refer to "facility used for retail cylinder refuelling only".

Donald Heyworth

[42] At the time of trial Mr. Heyworth had worked for the TSSA for 14 years. He is an inspector with the Fuel Safety Division and works out of his home office in Stouffville. His duties require him to conduct bulk propane plant inspections of 55 plants located in the area from Lake Ontario to the south, Parry Sound to the north, Cobourg to the east, and Mississauga to the west. He has an extensive background in working with heating fuels as he had worked for Superior

Propane for 22 years before he started work with the TSSA.

[43] Mr. Heyworth was assigned work in his region and would bring his computer, which contained pre-loaded TSSA forms, as well as a portable printer. He would also use a Hilroy exercise book to take field notes during an inspection. During inspections he would prepare a document titled “Fuel Safety Inspection Report” if a facility was not in compliance and would note what work had to be done in order for a facility to become compliant with the code. If his portable printer was working he would print the form at the site. If the printer was not working he would print it out at the home office and fax it to the facility. The reports would also be forwarded to the TSSA.

[44] Mr. Heyworth had dealings with the defendants for several years. On November 9th, 2006 Mr. Heyworth was assigned by his manager, Mike Scarland, to attend one of the defendant’s propane facilities located at 54 Murray Road in Toronto to ensure that the defendants understood the Director’s Order of October 2006 regarding truck-to-truck transfers of propane. The TSSA had been receiving a lot of complaints from competitors in the propane distribution industry alleging that the defendants had been using truck-to-truck transfers to increase their propane storage capacity without paying the required fee for that increase and without having to build increased storage capacity.

[45] Mr. Heyworth met with Mr. Ben-Moshe at the site and they accessed the TSSA website and viewed the Director’s Order. Mr. Heyworth went through the Order with Mr. Ben-Moshe and advised him that the defendants would no longer be able to fill the smaller Discount Propane bobtail trucks with propane from the larger cargo liners. Mr. Heyworth described a cargo liner as a larger tractor trailer unit that carries large volumes of propane whereas a bobtail or bulk truck is usually a single-axle unit or a tandem rear axle that has a tank on it and would carry a maximum volume of 4,000 USWG. Mr. Ben-Moshe didn’t object to the prohibition during their meeting. In cross-examination Mr. Heyworth did not recall if he placed a telephone call to Mr. Alonzo of the TSSA during the meeting.

[46] Mr. Heyworth prepared a “Fuel Safety Inspection Report” dated November 9, 2006. Item number 4 of that report required that Sunrise Propane comply with the Director’s Public Safety Order dated October 27, 2006 by November 30, 2006. In cross-examination Mr. Heyworth said that the November 30, 2006 compliance date was an error and it should have been November 9, 2006. There were three other deficiencies noted in that report. Item number one noted that an employee was working at the facility and did not have the required training for filling propane cylinders. In cross-examination Mr. Heyworth agreed that the employee who was not trained on November 9, 2006 did get trained shortly thereafter. Unfortunately Mr. Heyworth did not keep his rough notes of the November 9, 2006 inspection.

[47] Item number two referred to a transfer hose used for loading and unloading propane that was connected to the body of a cargo liner on a reel and was unattended. The danger posed by this is that a person could get into the truck and drive away with the hose connected. The third deficiency involved a truck parked without an approved braking method. There were no chock-

blocks placed behind the wheels. The three other items were to be brought into compliance on the same day. Mr. Heyworth explained that everyone has the ability to appeal an Order made by an inspector. If there is an appeal the Director can rescind the Order if the Director feels that it is appropriate. As far as Mr. Heyworth was aware there was never an appeal of the inspection Orders he made that day.

[48] Mr. Heyworth was asked to attend a meeting at the 54 Murray Road location later on in November of 2006 regarding drawings for a 30,000 USWG propane storage tank that the defendants were considering building at the 54 Murray Rd site. Mr. Heyworth's recollection was that Mr. Ross, Mr. Ben-Moshe, Mr. McCullough and Mr. Mizlitsky were there. However, he was not certain that Mr. Mizlitsky, Mr. Ben-Moshe's dispatcher, was in attendance.

[49] Mr. Heyworth's recollection was that the purpose of his invitation to the meeting was for him to review the drawings of this 30,000 USWG tank to see if there was anything that was a problem. He conceded that he didn't recall much about the meeting as it had occurred 5 and ½ years before he was called upon to testify. TSSA inspectors are called on from time to time to do some consulting work of this nature. His understanding was that the defendants wished to increase their storage capacity as they were outgrowing the two 2,000 USWG tanks that they had been using. He was asked if someone brought up the issue of whether or not truck-to-truck transfers could continue and his answer was "Yes, no, sorry, no, my answer to that is no". In cross-examination he said he made a mistake when he initially said yes during his examination-in-chief.

[50] In cross-examination Mr. Heyworth conceded that up until February 1, 2012 he had not recalled that the November meeting regarding the drawings had occurred. A few days prior to February 2012 he called counsel for the Crown, Ministry of the Environment, Mr. Adamson, to advise him that he now did have a recollection of the meeting. Mr. Heyworth also said that he was aware that truck- to-truck transfers were being conducted prior to the Director's Order coming out in October of 2006. Mr. Heyworth agreed that he had told the defendants they could continue to operate but vehemently disagreed that he said they could continue with truck-to-truck transfers. He added that he was not in a position to approve truck-to-truck transfers on behalf of the TSSA and he did not approve this procedure as a temporary arrangement until the larger tank was constructed.

[51] Mr. Heyworth was shown an affidavit of Gary Mizlitsky and was asked if there was a meeting he was at in late November of 2006 where Murray Patton, Mr. Ben-Moshe, Mr. McCullough and Mr. Mizlitsky were present. Mr. Heyworth didn't recall Mr. Patton being at a meeting. He recalled meeting with Mr. Ben-Moshe on November 9th, 2006 to talk about the truck-to-truck transfers but insisted that there was no discussion about these types of transfers in the next meeting in November of 2006 where the drawings of the 30,000 USWG were being discussed. He did recall that someone asked him the question "Can we continue operating" as he left the meeting about the drawings and he recalled saying "yes", but that was it. He meant that the defendants could continue to transfer propane from their cargo liners to their stationary tanks

and fill cylinders from those stationary tanks. In his view it was Discount Propane's business that would be affected as they would no longer be able to transfer propane from the defendants' cargo liners to the Discount bobtail trucks.

[52] Mr. Heyworth attended at the 54 Murray Street location several times in November and December but denied that he ever saw any truck-to-truck transfers going on or that he had any discussions regarding truck-to-truck transfers. However, he did suspect that these transfers were occurring. At one point, he couldn't recall the date, he asked Mr. Ben-Moshe if this was going on and Mr. Ben-Moshe said yes. Mr. Heyworth did not issue a report ordering him to cease and desist. However, he denied that he didn't issue the Order because he had given them permission to do so. Later in cross-examination Mr. Heyworth said that when he asked Mr. Ben-Moshe whether they were doing truck-to-truck transfers it was before the Director's Order had been issued. In re-examination Mr. Heyworth said that the conversation was in the context of the prohibition of truck-to-truck transfers.

[53] Mr. Key's letter, erroneously dated July 9, 2007, was put to Mr. Heyworth. He acknowledged receiving a copy of the letter. A suggestion was made to Mr. Heyworth that he was aware from the letter that the truck-to-truck transfers were going on. Mr. Heyworth didn't appreciate that from the contents of the letter. The letter did not specify that the defendant would continue to conduct truck-to-truck transfers.

[54] On May 29, 2007 Mr. Heyworth returned to the facility located at 54 Murray Road to conduct another inspection and noted that a delivery hose of a cargo liner was attached to the storage tank again. He issued a "Fuel Safety Inspection Report" requiring the deficiency to be addressed by June 26, 2007. The client was charged for "double time" as this was a repeat infraction.

[55] On June 24, 2008 Mr. Heyworth attended at the 54 Murray Road location for a pre-licence inspection regarding two used cargo liners that had been purchased by Discount Propane. This was the first time Mr. Heyworth had seen these two trucks. One of the trucks was unit 861. The trucks passed the inspection and a 90 day temporary licence was issued by the TSSA on July 3, 2008. The subject of truck-to-truck transfers did not come up on this day.

[56] Mr. Heyworth was asked to refer to section 7.3.1 of the code as it was written in 2005. That section requires that an emergency shut-off valve be installed at all tank truck or cargo liner transfer locations when the tank has a capacity in excess of 5,000 USWG or if there are more than one tank that have an aggregate capacity in excess of 5,000 USWG. Mr. Heyworth understood this to mean that at the location the filling or unloading occurs there must be an emergency shut-off valve when the combined or single tank capacity is over 5000 USWG.

[57] Mr. Heyworth was also referred to section 7.3.6 of the code which sets out the mandatory means of closure for an emergency shut-off valve. Mr. Heyworth went through the three required means in the code. The first is an automatic shut-off through thermal actuation which could be either a nitrogen line made of plastic which would melt in the case of fire and automatically

close the valve and stop the flow of propane. Or a facility could use a fusible link shut off which is a small piece of lead about 1½ inches long that melts at 212 degrees Fahrenheit. If a fire occurs it would hit the lead which would melt and the valve would shut off the flow of propane as there is a spring action on the other end of the valve which would snap it shut once the lead melts.

[58] The second required means of emergency shut-off is a manual shut-off from a remote location. Mr. Heyworth explained that this is a type of system that connects all of the safety valves in the plant and would be located away from the tanks. There is generally a chain attached to this type of shut-off valve and once pulled the whole plant would shut down. This allows a person to get to a safe location to shut down the flow of propane.

[59] The third required means of emergency shut-off is a manual shut-off at the installed location. This shut-off valve would be on the piping and would require a person to turn it off if there was a problem.

[60] In cross-examination Mr. Heyworth said that he had met with lawyers for the TSSA regarding this explosion and that in one of the meetings he was advised that another witness was claiming that Mr. Heyworth had given permission for the truck-to-truck transfers to go on. It was suggested that in the meetings Mr. Heyworth had said that “business would be carried out as usual” but Mr. Heyworth did not recall saying that nor did he recall saying that “the TSSA was not in the business of putting people out of business.”

Meetings in November of 2006 Regarding the 30,000 USWG tank

John Ross Keys

[61] Mr. Keys is a professional engineer and has been the owner/operator of Alteng Inc. since 1991. Prior to starting his own business in 1991, he worked at Superior Propane doing projects in the engineering department for a number of years.

[62] He was working with Sunrise Propane in 1999 or 2000, when the company asked him to help them secure propane refill centre licenses through the TSSA. Over the years, Mr. Keys did 20-30 projects with Sunrise and Mr. Ben-Moshe had always instructed him to do things by the book. His normal contact at Sunrise was Mike Martin. Sometimes, he worked with Brent McIntyre, and occasionally he would communicate with Sean Ben-Moshe. Mr. Keys assumed that Brent McIntyre or Mike Martin was responsible for locating sites for possible propane business for Sunrise. Most of the projects were quite small propane tank installations.

[63] The code Mr. Keys refers to is the national code B149.2 “Propane Handling Code”, with the changes that apply to Ontario that Ms. Cooke had referred to earlier. Changes are made through adoption documents and the TSSA sends out pages that can be inserted into the national code that are usually coloured for easy reference. Depending on the zoning, a site could be approved for propane storage, a refilling centre, or a filling plant.

[64] In Toronto, the process involved sending a “permitted use request” to the city. He would commence filling out two application forms that the TSSA required and include drawings with them. Mr. Keys would review these applications, refine drawings where necessary, and then send them out to Mr. Martin or Mr. Ben-Moshe for signature. Then, he would write a letter of declaration confirming that the drawings met the code and the Branch #9 TSSA standard (i.e. calculations of minimum distance required between propane storage and residential housing based on pop. density in a 75 ft. – 300 ft. radius).

[65] Mr. Keys explained that once a facility has storage capacity of more than 5,000 USWG, it can no longer be licensed under the less-restrictive category of a “refill centre”. It must obtain a full license for a “filling plant”. If a professional engineer does drawings that are stamped and sealed by him or her with a legal declaration that, in the engineer’s opinion, the site complies with the code, the company can begin construction without the TSSA’s approval. The site must still be inspected however, before a license is issued and the site can operate.

[66] A tank can only be filled and operated when a temporary license is issued. An approval letter with a license number on it from the TSSA is insufficient. An inspection must be done. A license for a cylinder handling facility permits the site to refill and store cylinders on the site. A license for a container refill centre permits the site to engage in full operations so long as its storage capacity is less than 5,000 USWG. Mr. Key’s understanding was that the defendants were strictly involved in cylinder filling and dispensing propane for vehicles at the 54 Murray Road location.

[67] In November of 2006 Mr. Ben-Moshe contacted Mr. Keys about the Director’s Order that had been issued on October 27, 2006. It wasn’t clear to Mr. Keys what the Director’s Order was – he thought it indicated that a site had to have a storage tank facility on its property that would match or exceed the volume of its largest vehicle. Mr. Keys believed Mr. Ben-Moshe was concerned that the Order was forcing him to put in a larger facility as his two tanks held an aggregate of 4,000 USWG.

[68] Mr. Keys met with Mr. Ben-Moshe on the 16th of November and they discussed the Director’s Order together. No one else was at this meeting. Mr. Ben-Moshe wanted to get clarification on the meaning of the Order from the TSSA. Mr. Keys agreed that it seemed that a larger tank would need to be installed to comply with the Order. Propane tanks come in various sizes. The 18,000 and 30,000 tanks are used about 80% of the time because they are easy to transport and can be mounted on skid frames. Mr. Keys recommended a 30,000 USWG tank as it allowed for more inventory control in terms of being able to dump the contents of a truck into the tank if there was a problem. The defendants decided that they wanted to upgrade their capacity at the 54 Murray Street site by installing a 30,000 USWG fixed tank and modifying their existing license. They asked Mr. Keys to assist with this application.

[69] Mr. Keys agreed to do so and started the process and wrote to the city on November 21st 2006 to determine what the maximum storage capacity at that site would be. Mr. Keys received a letter from Mr. Ted Glass, of the City of Toronto on December 4, 2006 who confirmed that an increase in storage would be a permitted use based on the information provided by Mr. Keys previously. As the letter from the city was not definitive in terms of giving approval and did not refer to a specific amount of storage Mr. Keys wanted to make sure that a 30,000 USWG tank would be permitted. He called Mr. Heyworth of the TSSA to see if there is something in the letter that has to be specific about the storage capacity and asked if they could meet to discuss it. He provided the letter to Mr. Heyworth and asked him to follow up with his colleagues in engineering to see if there had to be something more specific.

[70] Mr. Keys met with Mr. Heyworth and Mr. Ben-Moshe on December 20, 2006 in the morning. Mr. Keys said there wasn't really any discussion about the Director's Order of October 27, 2006. The discussion was centred on Mr. Glass' December 4, 2006 letter to Mr. Keys. Mr. Keys asked Mr. Heyworth to take the letter to the head office and show it to the relevant people at the TSSA. Mr. Keys did not recall anyone mentioning truck-to-truck transfers but said it may have come up. His main concern was getting the process started for a larger tank and to convey to Mr. Heyworth that the defendants were intending to comply with the Order. He also wanted to ensure that the defendants could continue operating their cylinder filling business given that the Director's Order said it was effective immediately and December was not the time to be shutting down a heating business.

[71] In cross-examination Mr. Keys agreed that he knew the difference between metered trucks, which could measure the amount of fuel delivered to a customer, and non-metered trucks which would have to transfer their load to metered trucks before delivering the propane to the customer. The latter would have to be done by way of a truck-to-truck transfer. In re-examination Mr. Keys said that he did not know if the defendants had metered or non-metered trucks.

[72] In cross-examination it was also suggested to Mr. Keys that he knew that the defendants were conducting truck-to-truck transfers and that Mr. Heyworth told Mr. Ben-Moshe that the business could continue on as it had been operating. Mr. Keys said that the truck-to-truck transfers didn't really cross his mind as he was more focused on what kind of tank was required. It was also suggested to Mr. Keys that he had seen a copy of the Fuel Safety Inspector Report dated November 9, 2006. Mr. Keys said he may have seen it but did not recall if he did. The meeting concluded with Mr. Heyworth agreeing to take the letter to the head office but Mr. Keys could not recall anything specific that Mr. Heyworth had said during the meeting but agreed in cross-examination that Mr. Heyworth had said words to the effect of "you can continue business the way you're doing".

[73] Mr. Heyworth called Mr. Keys a week or two after and said that he had spoken to someone at the TSSA and that they would accept the letter if Mr. Keys wanted to proceed. Mr. Keys

told Mr. Ben-Moshe that the TSSA would accept the application if he wanted to go ahead. In cross-examination Mr. Keys agreed that Mr. Heyworth also told him that there would be no deadline for putting up the tank as long as the defendants were serious about doing it and that they could carry on business as usual.

[74] As far as Mr. Keys recalled there was no discussion of a time frame for completion of the project. Construction of the tank could start in the winter but it would have been costly. If the ground is frozen there are additional costs involved for heating the ground with heating equipment and using additives for the concrete to allow it to set quickly. Heating systems would also be required to surround it while the concrete cures. Mr. Keys estimated that the time required for ordering a tank with the engineer's drawings, reviewing shop drawings prepared by the fabricator and final delivery would be approximately four to six months. It would take considerably less time to obtain a used tank.

[75] After Mr. Keys spoke to Mr. Heyworth, he informed Mr. McCullough that the TSSA was accepting the city's letter and giving Sunrise the go-ahead for the new tank. Mr. McCullough was the contractor who was going to install the new tank. Mr. Keys was informed by Mr. McCullough that the defendants wanted to go ahead and obtain a 30,000 USWG tank and they advised him that Pro-Par Manufacturing out of Quebec would be the manufacturer. Mr. Keys wasn't sure when he was advised of that but he thought it was in August, September or October of 2007.

[76] Once the tank arrived at 54 Murray Road Mr. Keys made a site visit on October 15, 2007 and measured the tank for his drawings. It was unusual for him to get to do measurements with the tank actually there. Normally Mr. Keys would not get a chance to see if propane tanks were actually installed as he drew them. He had that opportunity at the Sunrise site to see the locations of the original two 2,000 USWG tanks in comparison to where they would have been on his drawing.

[77] Mr. Keys saw the two 2,000 USWG tanks at the 54 Murray Street location moved on October 15, 2007, but he was not aware if a modification application was actually made. He explained that a move of the tanks from a north/south orientation to an east/west orientation would constitute a modification that required the proper approval from the TSSA in terms of paperwork, drawings, etc. The concern about moving the tanks would be ensuring that the proper setbacks were being adhered to. It was suggested to Mr. Keys in cross-examination that the responsibility for the project was in his hands and he should have spoken to Mr. McCullough about the requirement for a application for a modification regarding the two 2,000 USWG tanks that had been moved. Mr. Keys maintained that he was only responsible for the 30,000 USWG tank as he thought the others were being moved to another site. He did not ask about them when he was there.

[78] Mr. Keys advised that if the two 2,000 USWG tanks were being moved a fair distance, a company would “probably” also need an Electrical Safety Authority certification of inspection and engineer-approved drawings before the tanks could be re-commissioned into service. If such an application was made he wasn’t involved. He didn’t think that the tanks were connected as he had discussions with Mike Martin who advised him that the tanks were going to be moved to a different location. That is why he showed the total storage as being 30,000 instead of 34,000 USWG for this facility.

[79] Mr. Keys proceeded with the application. The name on the application was 1367229 Ontario Inc. The same name had been used in the application for the two 2,000 USWG tanks at that site. However, on this application the name of the supplier was different and was listed as Sunrise Propane Industrial Gases. Mr. Keys indicated that the reason for the switch was that he took the name of the supplier from recent business cards he had obtained from people affiliated with Sunrise. He had no knowledge of who owned or ran Sunrise Propane and Petroleum.

[80] The application showed that applicant wanted to change the storage capacity to 30,000 USWG, making it jump from a “refill centre” classification to a “filling plant” classification. The site list provided all the set-back requirements by the TSSA along with copies of the professional engineer (Mr. Keys’) drawings and declaration that the proposal is in compliance with Branch Standard #9 municipal approval.

[81] Mr. Keys also sent a letter to the attention of Oscar Alonso of the TSSA dated July 9, 2007 declaring that the tank on the drawings would meet the Code and other TSSA standards. Mr. Keys explained that the date on the letter was a mistake and it couldn’t have been written on July 9th because the measurements for the drawings weren’t taken until October 15th of that year. He believes he sent this letter on October 19, 2006. According to Mr. Keys construction couldn’t start until approval of the application had been received from the TSSA. In cross-examination he agreed that it was his idea to copy Mr. Heyworth with the letter. He explained that he wanted Mr. Heyworth to be aware the he was being named in the letter and wanted him to agree to what had happened.

[82] Mr. Keys was asked about truck-to-truck transfers and he advised that he didn’t recall discussing these with anyone. He didn’t think it was something that would be done at the 54 Murray Road site as they could deliver the propane from their cargo liners to their tanks. His understanding was that these types of transfers are not prohibited but they are not normally done.

[83] In reference to his letter erroneously dated July 9, 2007 wherein he mentioned that bulk truck loading as being one of the things that would continue at 54 Murray Road. He explained that because they were applying to be a filling plant as opposed to a filling centre he wanted to capture the types of things that a filling plant could do. He advised that at a filling plant bulk trucks can be filled and cylinders that are stored on docks and trucks can be parked on site. When Mr. Keys wrote his July 9/October 19th 2007 letter, he didn’t think cargo liners were being load-

ed from Sunrise's Murray Road site. He believed that the site was strictly a cylinder filling operation with an auto propane dispenser and a small amount of tank storage. In cross-examination it was suggested to Mr. Keys that he had told Mr. Pate, an employee of the Ministry of Labour, that the reference to "bulk truck loading" in the letter meant truck-to-truck transfers. Mr. Keys said it was possible that he said that but he did not recall saying it.

[84] Mr. Keys received a copy of a letter from Marek Kulik of the TSSA, dated November 8, 2007. The letter said that the documentation Mr. Keys provided to the TSSA for the license upgrade to a filling plant had been reviewed. Mr. Keys took this to mean that because the 54 Murray Road license was only being upgraded, it could continue operations; however, he was unsure what exact operations could be continued until everything had been inspected.

[85] Mr. Keys' involvement with the project essentially ended after this letter was received. He was not involved in obtaining a certification of inspection from the Electrical Safety Authority. This was required, along with the engineer-approved drawings, to be presented to the TSSA inspector during their visit to inspect the final product. In cross-examination Mr. Keys agreed that he and Mr. McCullough were responsible for making sure that the new tank was code compliant.

[86] Mr. Keys was asked to describe the various emergency safety features of bulk propane plants and advised that these types of shut-off buttons are red and tend to be put in places where people have quick access to them, such as; the bulkhead where a driver would be standing, the cylinder dock where a worker would be filling cylinders and at the buildings close to the edge of yard where someone could push them if they were running out of the yard to shut down the entire plant.

[87] During cross-examination Mr. Keys advised that he was being sued by the TSSA as well as Teskey Concrete Co. Ltd., the landlord of the property.

The Construction of the 30,000 USWG tank

Robert McCullough

[88] Mr. McCullough was called by the defence. Mr. McCullough started working in the propane industry in 1993 and learned how to install and repair propane equipment. In 1998 he eventually took over the business, Westside Services, which had been owned by his boss. Mr. McCullough is also registered as a heating fuels contractor under the TSSA which allows him to work in the fuels industry as governed by the TSSA. Sunrise was one of his clients. He had done business with the defendants before he took over the business. Westside Services installed the propane equipment, supplied parts and equipment and re-qualified expired propane cylinders putting them back into service for the defendants. Although Mr. McCullough wasn't certified to do inspections of trucks, he did do a substantial amount of work on the trucks at the 54 Murray Road site as well.

[89] On June 14, 2008 Mr. McCullough was at 54 Murray Road and replaced the delivery nozzle and changed a leaking swivel from a hose attached to unit 1. After completing that work he tested the delivery hose for leaks and it was fine. On June 19, 2008 he was back again and replaced the entire delivery hose as it was still damaged. Mr. McCullough was not sure why he had to go back twice in such a short time but thought he had probably noticed a problem with the hose the first time and ordered a new one as it would normally take 5 days to arrive. The manufacturer was responsible for pressure testing the hose and Mr. McCullough was responsible for testing the connections.

[90] Mr. McCullough did the original installation of the two 2,000 USWG tanks at 54 Murray Road for the defendants. He had known Mr. Keys for a number of years and they had worked together on a number of installations. Mr. McCullough was also involved in the planning for the 30,000 USWG tank. Mr. Ben-Moshe had never asked him to “cut corners” in the work he did for him and employees were authorized to contact him if they needed assistance with the equipment. Mr. McCullough would do regular inspections on all of the equipment to make sure it was in good order; however, he was not in charge of propane safety or supervising employees who used the propane equipment and did not know who was in charge of that aspect.

[91] Mr. McCullough was asked if there was a preventative maintenance system in place at the 54 Murray Road location in cross-examination. His view was that the annual inspections he did at all the sites were preventative maintenance. He had a four page checklist that he would go through and then he would provide it to Mr. Ben-Moshe. In cross-examination Mr. McCullough said that he never prepared invoices for the inspections because they were quick to do as the facilities were in excellent shape given that he had been working on them all year.

[92] In cross-examination Mr. McCullough agreed that he had done work on other sites for the defendants and that back in August of 2008 the defendants owned 56 other sites. Some of these sites were as far away as Kingston and Ottawa. Most of the sites were cylinder fill facilities and some had auto filling capacity. The size of the tanks at these facilities was generally 2,000 USWG. None of the other sites were as large and complicated as the 54 Murray Road site. Mr. McCullough also agreed that he spent most of his time at the other sites. The defendants were his biggest client and accounted for most of his income. When he billed them he would make the bill out to “Sunrise Propane”. As far as he was concerned the company he was dealing with was “Sunrise Propane”.

[93] Mr. McCullough testified that, unlike the defendants, most companies that were in the business of propane distribution in Ontario had bulk plants and would send their trucks to Sarnia to fill up with propane. Once back at the bulk plant they would dump the propane into a big tank and their smaller trucks would then be filled from the large tank and would then distribute the propane to customers. The defendants’ truck, unit 1, was a metered truck that could carry 14,000 USWG.

[94] Mr. McCullough had also known Mr. Heyworth for a number of years as of 2006 through other projects. Mr. McCullough attended the November 16, 2006 meeting at 54 Murray Road

and brought some notes to court to use to refresh his memory. He had made the notes from a spiral notebook he had written in around the time of the events in question.

[95] Mr. McCullough's recollection was that Mr. Ben-Moshe had called him that day to attend a meeting at approximately 10 a.m. The meeting was in the boardroom and Mr. Heyworth, Mr. Ross, Mr. Mizlitsky and Mr. Ben-Moshe were also in attendance. Mr. Heyworth was there to inform Mr. Ben-Moshe of a change in the code from a TSSA Director's Order that required Mr. Ben-Moshe to have a bigger tank in the yard. Mr. McCullough was not aware of any earlier meeting with Mr. Ben-Moshe and Mr. Heyworth that had occurred regarding the Director's Order. As far as he was aware this was the first one.

[96] The discussion at the meeting centred on the fact that a larger tank was required because Mr. Ben-Moshe's largest cargo liner held 19,000 USWG and the logical step would be to have a 30,000 USWG. The municipal approval and set back approvals regarding the tank were also discussed. However, he had no specific recollection of Branch Standard #9 being discussed.

[97] Mr. McCullough did not recall seeing any documentation during the meeting but in cross-examination he conceded that it was possible that Mr. Keys had brought a drawing of the proposed tank. His understanding of what Mr. Heyworth had said was that the defendants would be able to continue operating as they had been, including the conduct of truck-to-truck transfers. In cross-examination Mr. McCullough said he specifically recalled Mr. Heyworth saying that he didn't want to put anybody out of business and that he was there to help them comply with the code changes and was telling them what they had to do to comply. Mr. McCullough conceded that he didn't know what Mr. Heyworth's understanding was of the day to day operations at 54 Murray Road. Mr. McCullough also conceded in cross-examination that he did not know the extent to which the business would be affected by stopping truck-to-truck transfers would be but he expected it would be substantial. Mr. McCullough didn't recall seeing Mr. Heyworth at the site after the November 16, 2006 meeting until after the larger tank was installed.

[98] Mr. McCullough's job was to see that the installation of the 30,000 USWG tank was completed once the approval had been given by the TSSA. On June 11, 2007 Mr. McCullough made a \$10,000.00 deposit on the tank.

[99] Mr. McCullough moved the two 2,000 USWG tanks on September 15, 2007. Given that the approval for the 30,000 USWG tank had not yet come in, he was asked why he had started to move the tanks. Mr. McCullough was not clear but said he had probably received a "verbal" from Mr. Keys that everything was in place and that Mr. Keys was just waiting for the letter. It didn't occur to him that this was a modification to the site as the TSSA and the engineer were both involved in the November 2006 meeting and it was clear from the paperwork that the new tank was going to be in the area where the two 2,000 USWG tanks were. No one told him that he needed TSSA approval to move the tanks.

[100] According to Mr. McCullough the defendants were not involved in the decision to move the tanks; however, Mr. Ben-Moshe was aware that the tanks were being moved. Mr.

McCullough and Mr. Keys made the decision. In order to reorient the tanks he had to disconnect some of the piping and electrical wiring, lift the tanks with a crane and rotate them 90 degrees and then move them to the west. Once that was done he reconnected the piping. Mr. Keys was not on site when the move was being done. In cross-examination Mr. McCullough agreed that he didn't know if Mr. Keys was asked to make an application for a modification by Mr. Ben-Moshe.

[101] The 30,000 USWG tank arrived on September 25, 2007 and Mr. McCullough discussed the installation with Mr. Ben-Moshe. The weather was bad and they both agreed that the project would be on hold until the following year. In the spring of 2008 the weather was very rainy making it difficult to get anything done and the project was delayed further. Mr. McCullough advised that welding pipes in the rain would reduce the integrity of the metal in the pipes as they needed to cool naturally and rain would have made them brittle. Ultimately the strength and integrity of the welds would be negatively affected. He was also concerned that the very delicate technical electronic metering devices would be damaged if exposed to water and he and his co-worker did not like to work in the rain. Mr. McCullough felt that it would be better and safer if the work was done in good weather. When the weather was good they did work on the tank installation.

[102] In cross-examination Mr. McCullough agreed that it could be that the project didn't get started earlier because he was very busy with other work and that he couldn't blame it all on the weather. He also agreed that if Mr. Ben-Moshe had asked him to start it earlier in the rain he would have done so, but he didn't like to make his employees work in those conditions. Once Mr. McCullough started working on installing the tank in June he left his larger truck and all of the tools at the 54 Murray Road site and commuted using a smaller, easier to handle truck.

[103] In Mr. McCullough's opinion the 30,000 USWG tank would have been above the code requirements as Mr. Ben-Moshe was talking about putting in additional safety features that were not required. His estimate of the cost of the installation would be \$300,000.00 and said that the installation of a tank that just met code requirements would cost half of that. In cross-examination he advised that as of August 2008 he hadn't yet gone into the planning stages for the emergency stops and hadn't discussed them with Mr. Ben-Moshe.

[104] While Mr. McCullough was working on the 30,000 USWG tank the defendants' workers would leave the propane hose near the tank. This was annoying to Mr. McCullough and his co-worker, Mr. Kersey, who hid the hose at one point just to annoy them. He was always in touch with Mr. Keys in terms of the work and the progress that had been made.

[105] After the November 16, 2006 meeting, Mr. McCullough did a few installations for the defendants and after the explosion he continued to do work at their other 56 sites. As far as he was aware Mr. Ben-Moshe was not still involved with those sites after the explosion as the sites were supplied with propane by another company. After the explosion Mr. Ben-Moshe had called him and told him that he would be dealing with GM Petroleum instead. When he did work at the sites he invoiced GM Petroleum and dealt with Gary Mizlitsky who had been a dispatcher for the defendants. Mr. McCullough did not know if Mr. Ben-Moshe was involved with GM Petroleum.

[106] Mr. McCullough is being sued as a result of the explosion. When asked if the TSSA was suing him he said that he wasn't sure as there were many names on the statement of claim and he just forwarded it to his lawyer.

Evidence Regarding Mandatory Propane Handling Training

Marius Berkel

[107] Mr. Berkel started working for the TSSA in the year 2000 as a senior heating inspector. In that capacity he was required to inspect gasoline stations and propane facilities. He also investigated incidents such as fuel oil spills and assisted the Office of the Fire Marshal if fuels were suspected of contributing to an incident. In 2003 or 2004 he became the regional supervisor for South Western Ontario and had a number of people reporting to him. In 2007 he took on the role of technical specialist and his duties included dealing with incoming consumer complaints and inquiries, interpreting the code for consumers and liaising between fuel operations and the Information System (IS) department to implement any regulatory changes that were required to the inspection processes.

[108] He was also in charge of dispatching TSSA employees if there was a fuel spill. Among the employees reporting to him there were three training and certification advisors who dealt with the accredited training providers. In order to become a trainer a person would submit their training material to the TSSA for review and approval. If the material satisfied the training needs for the particular certificate the applicant would be accredited. The training and certification advisors were responsible for reviewing these applications. The applicant would then attend a "train the trainer" program.

[109] The TSSA did not keep records of the names of people who have been issued records of training. The TSSA policy document and "Training Provider Agreement" required the trainers to keep records of the people who had been trained. The "Training Provider Agreement" outlined the requirements for a training provider to be authorized to provide the propane plant operator 3 (PPO3) training. In the past the TSSA had conducted audits to ensure that the trainers were keeping records. The records of training (ROT's) were valid for a three year period from the date of the training.

[110] Mr. Berkel identified a document shown to him as the "Policy and Procedures for Gas and Oil burner Technician Certification". There is a reference to the record of training within the document. This document would be provided to accredited training providers. Mr. Berkel advised that TSSA regulation 215 sets out the certification and training requirements for the fuels industry. The TSSA accredits training providers who teach the (PPO3) course introduced on the previous page. The TSSA does not do any training for the PPO3 certificate.

Martina Collingridge

[111] Ms. Collingridge was employed by the Ontario Propane Association for 12 years from

July of 1997 to January of 2010. The OPA no longer exists but was a non-profit association that assisted propane companies and individuals by speaking on their behalf to the TSSA regarding relevant regulations. The association had individual members and corporate members. To become a member one would fill out an application and pay a membership fee.

[112] The OPA provided services such as an emergency response assistance plans and training programs. Sunrise Propane was one of the first members to join the OPA and ended its membership in 2008. There was a board of directors and they would meet two or three times a year.

[113] The OPA had two employees; Ms. Collingridge and Mr. Chartier, who was the President and secretary. Ms. Collingridge started at the OPA as an administrative assistant and then became an executive assistant/office manager. Generally her duties involved typing letters and memos and putting out newsletters. Later, in 1997 they took on issuing the ROTs. The TSSA was established in 1997 and took on the major responsibilities but downloaded that function. The Ministry of Consumer and Commercial Affairs had administered the training previously and in 1997 the OPA, other companies and individuals took it on.

[114] The OPA established workbooks and exams, which were approved by the TSSA, and kept a database of all people who were trained. A software program called “Lotus Approach” was purchased and Ms. Collingridge designed and created the database using it. The workbooks contained written instruction and there was an exam at the end. Hands-on instruction was also required. Members of the OPA who were qualified to train were the trainers. The workbooks were updated on a regular basis as there were often changes to the regulations. Ms Collingridge had no part in developing the content of the workbook; she was only required to input the updates. It was suggested to Ms. Collingridge that there was nothing in the workbook as to what one would do if they saw an unknown cloud coming from a location. She was not able to answer the question.

[115] Trainers would call and ask for the number of workbooks they needed. For those people who passed the exam, which required a mark of 75%, the exams were sent back to the OPA and after double checking the score and ensuring that all required signatures were on the document she would input the first and last name of the person, their address, the course, an ROT number, an issue date and an expiry date. Ms. Collingridge would then print the ROT and send it to the individual. The first name and last name were entered into two different fields. The ROT number would automatically be populated on the document when Ms. Collingridge started a new ROT.

[116] Once the document had been created she would file it numerically based on the ROT number. The files were at the OPA office which had been located at 1155 North Service Road in Oakville. The ROT was a wallet-sized card and contained the holder’s name, expiry date, ROT number and license type. The OPA logo was also on the license along with the address and phone number of the OPA. The expiry date would be three years from the date of issue. Generally the ROTs would be mailed out; however, an individual could come and pick one up if they made that request.

[117] Ms. Collingridge was not the only person who did the data entry for ROTs as there were a couple of part-time people who would assist. Over the years she had three people that had assisted her. Two of those workers were there for less than a year and the third had been there for one year when Ms. Collingridge left. Mr. Chartier also had access to the database, and anyone who knew how to operate the software could get into the database.

[118] If Ms. Collingridge was searching for a particular person on the database to determine if they held a license she would conduct a search using the last name of the individual and would enter it into the relevant field. In this case, after the explosion had occurred, she was asked to see if there was a person by the name of the deceased, Parminder Saini, in the database. She did not find the name in the database. In cross-examination Ms. Collingridge indicated that she was not sure if she was given the name “Singh” to search as a family name.

[119] Ms. Collingridge started with the last name Saini and tried a number of different letter combinations for the name. She also put the name Saini in as a first name in case the names had been reversed. She also did a search using the first name and last name and tried different spellings of that name as well. She spent at least ten or fifteen minutes searching for the names in the database.

[120] The database itself was never purged but the exams were only retained by the OPA for three years. She didn’t know exactly how long after the explosion she was asked to do the search but guessed that it was a few weeks. The search she conducted was a database search. She did not physically go through all of the exams as there were thousands.

[121] The OPA also provided an emergency response assistance plan (ERAP) to its members. Any company transporting propane over the highways within Canada was required by a Transport Canada regulation to have an emergency response assistance plan. The OPA developed a plan that was approved by Transport Canada and were able to offer it to their members. The plan was based on mutual aid. If one member had an incident other members would help regardless of whether or not they were competitors. OPA members were not required to be involved with the plan.

[122] If an OPA member wanted to become a member of the plan they would make that request. The plan was sent out to all members who wanted to be involved. The plan was titled “Transportation ERAP” and was assigned the number 2-1672 by Transport Canada. The document always had the word “draft” at the top as they considered it a live document that was always updated. Sunrise Propane was part of this plan from the beginning until after the incident in 2008.

[123] If an incident occurred the affected member would call the 1-800 number on the first page of the plan that was operational 24 hours a day and seven days a week. The phone number was owned by the OPA; however, the phone was answered by an answering service.

[124] The OPA also conducted audits and in June of 2008 an audit was conducted at Sunrise Propane and it passed the OPA's ERAP plan. There had been an earlier audit in April of 2008 where there had been a number of deficiencies.

Michael Martin

[125] Mr. Martin has been in the propane business for several years. For the past 14 years he owned his own business named Promar Petroleum. He offers propane handling training, propane consulting, site development and also assists sites acquired suppliers.

[126] Mr. Martin first began doing business with the defendants when they were operating a single gas station. His primary contact person was Mr. Ben-Moshe. The main service he provided was propane training. However, he would also connect Sunrise Propane with future customers who wished to install a propane retail site. Sunrise Propane would enter into a contract with the other company, supply the capital and equipment for the site as well as the propane. Mr. Martin would get a commission on the propane sales. In his experience the defendants never asked him to cut corners when it came to safety. He did not work exclusively for the defendants as he provided similar services for other companies.

[127] Mr. Martin testified that anyone who is handling propane requires training. The most common propane course is the Propane Plant Operator 3 (PPO3). This course is provided to individuals who work at retail facilities whether they are filling cylinders or automobiles and is a requirement under Ontario Regulation 215/01. There is another course that teaches only cylinder filling but most people take the PPO3 training. Mr. Martin offered both these courses and others. Over the years Mr. Martin has trained hundreds if not thousands of people how to handle propane.

[128] Mr. Martin trained people at the 54 Murray Road site. He would teach the course using the PPO3 workbook that is provided by the Ontario Propane Association. An examination comes with the workbook and it is always the same examination. There is also an affidavit in the workbook that must be signed by the student and the examiner regarding hands-on training.

[129] Mr. Martin would provide his students with a copy of the workbook. There are two components of the course, classroom theory and hands-on practical training. When he was doing training at 54 Murray Road he would teach the classroom component at the office on site first, then he would take students to the equipment on site for the hands-on training. Mr. Martin estimated that the average person would complete the course in four to six hours.

[130] The application for a ROT was also contained in the workbook package. After completing the training a person would receive a temporary ninety day license. The exam would be forwarded to the OPA and the OPA would issue the actual ROT, which is a wallet-sized certificate with the individual's name on it, the course taken, license number and an expiry date. Generally the ROT would expire after three years from the date it was issued. During an inspection any employee handling propane would be expected to produce the ROT as proof that they are li-

censed. On certain occasions Mr. Martin would teach more than was required in the workbook depending on the circumstances of the client's yard.

[131] Safety training is part of the theory and hands-on training and it includes identifying internal safety control valves, emergency shut-offs, the fill point and the pressure relief valve of a tank, the fusible link and all components of the tank. There would also be training on how to identify a leak and how to control it. That would include training as to what one would do if the leak could not be controlled. The trainee would be instructed to call their manager, supervisor or 9-1-1 if appropriate. Basically, the trainee is taught how to initiate and execute the emergency response plan which could require ventilation of the area or evacuation.

[132] In cross-examination Mr. Martin explained that if there was a leak you would be able to smell the propane. If you didn't smell it you would hear the leak as well as see the leak. Mr. Martin was asked what one would do if they didn't know there was a leak and Mr. Martin said there would be nothing to do.

[133] The safety training would also include instruction as to what to do if a fire broke out at a plant. Mr. Martin said the first rule is to contain the propane flow. The first step would be to close the Internal Safety Control valve (ISC valve) on the tank, hit the emergency shut-off and then call 9-1-1. The emergency shut-off would stop the power to the entire plant and people would be evacuated.

[134] Mr. Martin did not keep records of the people he trained. After the explosion he was approached by a number of people asking whether or not he had trained the deceased, Mr. Parminder Singh Saini. When he was asked he did not recognize the name. He contacted the OPA to see if that name was in their database and was told that it was not. Mr. Martin's main contact at the OPA was Martina Collingridge. Mr. Martin's view was that he probably did not train him.

[135] Mr. Martin was directed to look at item one on the "Fuel Safety Inspection Report" dated November 9, 2006 which was prepared by Mr. Heyworth. Mr. Martin had not seen this document before. However, he agreed that the deficiency noted was that an employee named Ihor Shalyhin was working without an ROT. Mr. Martin's attention was then drawn to an "Application for Record of Training" which was dated November 10, 2006 with the name Ihor Shalyhin as applicant and name Mike Martin as examiner. Mr. Martin identified the document and his signature on it. Mr. Martin also noted that his OPA identification number was on the document. Mr. Martin did not recall how he was approached to do this particular training session.

[136] Mr. Martin was directed to photocopies of three cheques from Ex. 1 volumes 1-4 tab 42J. The first was a photocopy of a cancelled cheque payable to Promar Petroleum Inc. in the amount of \$10,876.61 for services rendered; the second was a photocopy of another cancelled cheque dated October 7, 2008 payable to Promar Petroleum in the amount of \$2,983.21. Mr. Martin said that the October 7, 2008 cheque would have been for commission on retail sales at the retail sites and the third cancelled cheque was dated October 24, 2008 payable to Promar Petroleum Inc. in the amount of \$3,746.18 which was also for commission on retail sales. Mr. Martin was not sure

if these cheques were for services rendered and commissions before or after the explosion as it took months to be paid as Sunrise Propane was constantly behind and didn't pay him on a regular basis. All three of the cheques had the name "Sunrise Propane Energy Group Inc." written in the top left corner.

[137] Mr. Martin was asked if he was familiar with the following company names; 1376229 Ontario Ltd., Sunrise Propane and Petroleum, Sunrise Propane Industrial Gases and replied that as far as he was concerned he referred to them as Sunrise Propane. To him they were all the same.

Brent McIntyre

[138] Mr. McIntyre has been involved in the propane industry for 23 years. His work in the industry was restricted to finding customers for the bulk trucks to deliver to. He started working with Sunrise Propane in 2005 as a business development manager and his boss was Sean Ben-Moshe. Mr. McIntyre also knew Gary Mizlitsky, who ran a separate company, Discount Propane, out of the Murray Road site. While working for the defendants Mr. McIntyre was on the road most of the time going to businesses and trying to increase the defendants' sales. He would attend the Murray Road site about two times a week and never saw Mr. Ben-Moshe take any shortcuts in terms of safety.

[139] Mr. McIntyre was also qualified to train people in handling propane; however, since the explosion his training qualifications have been revoked. The training was offered as an extra service to new customers whose employees hadn't been trained. Most of the training Mr. McIntyre did was on construction sites instructing people on how to handle portable propane heaters. He would attend at the work site and train the workers there. Mr. McIntyre was trained to be an instructor by Mr. Martin. Mr. McIntyre acknowledged that in addition to the OPA, there were other organizations that were able to issue licenses or certificates to people who had been trained in propane, such that the OPA didn't have a monopoly on training.

[140] The materials used by Mr. McIntyre to train people were the same that Mr. Martin used and came from the now-largely defunct OPA. The materials included exams and videos. After successful completion of the course Mr. McIntyre would submit the completed exam to the OPA and they would issue a ROT. Mr. McIntyre was not in the habit of keeping photocopies of the materials he sent the OPA. As far as Mr. McIntyre was concerned his involvement with training an individual ended when he sent the completed exam to the OPA. He did not train employees of the defendants' and did not train Mr. Parminder Saini.

[141] After the explosion, Mr. McIntyre initially said that he had stopped working for Sunrise. However, in cross examination Mr. McIntyre was shown three cheques from various dates between August 15th and September 26th 2008 made out to Mr. McIntyre from Sunrise Propane. They ranged in amounts up to \$2,200.00. After being shown the cheques Mr. McIntyre said he had helped wrap up operations and organized what was left of the business after the explosion.

[142] The 54 Murray Road site was the head office and all of the documentation at that site had been destroyed. He worked very long hours during this time to the end of September of 2008 to satisfy customer needs as best as the company could after the explosion. Mr. McIntyre filled empty cylinders from another site on Rexdale Boulevard and returned them to the customers.

[143] Mr. McIntyre was not aware of Sunrise making any bulk deliveries to end user customers after the explosion, but he did remember seeing a Carling Propane truck fill up from one of Sunrise's vertical tanks at the Rexdale Blvd site. During the period of time where Mr. McIntyre continued to serve pre-existing customers after the explosion, he gave himself his own instructions and made his own decisions.

[144] Mr. McIntyre considered Sunrise Propane, Sunrise Propane & Petroleum and Sunrise Propane Industrial Gases to all be the same company and identified Carling Propane and Primemax Energy Inc. as propane distributors (Primemax a bulk distributor). Carling Propane was hired after the explosion to service pre-existing customers because all of the Sunrise trucks were destroyed in the explosion.

The Explosion August 10, 2008

Abdul Chaudry

[145] The transcript and DVD of an interview conducted by Joseph Pate of the Ministry of Labour on May 27, 2009 of this witness were filed as exhibits in this proceeding. On August 10, 2008 in the early morning hours Mr. Chaudry was operating a taxi for Diamond Taxi. He was working a 12 hour shift from 5 p.m. on August 9, 2008 to 5 a.m. on August 10, 2008. The cab he was driving used propane and gasoline as a fuel source.

[146] At approximately 3:30 or 4 a.m. on August 10, 2008 Mr. Chaudry drove to Sunrise Propane on Murray Avenue to fill up the propane tank. He usually went to that location as the price was good. When he drove into the yard he saw several trucks. He thought that there were three trucks and one of them was running with a person sitting in it. He was not able to provide a description of the man. Mr. Chaudry did not notice any smoke or fog in the area when he was there and didn't smell anything unusual. Mr. Chaudry was aware of what propane smells like.

[147] Mr. Chaudry drove up to the propane filling station and the attendant was in the kiosk speaking with someone on the phone. The attendant came out of the kiosk and was still speaking with someone through a blue tooth device. Mr. Chaudry asked the attendant to fill up the propane tank, and the attendant did so. They had some conversation about the placement of the propane tanks and Mr. Chaudry drove off. Mr. Chaudry did not see any other taxis in the yard while he was there and did not hear or see an explosion.

Brian Bittles

[148] Mr. Bittles lived in a house located at 176 Spalding Road, across the street from the Sunrise bulk propane plant. On August 10, 2008 he went to bed at approximately 1 o'clock in the morning. His wife and two daughters had gone to bed earlier in the evening. Just after three in the morning a noise woke him up and he went to the window in his bedroom and opened it. He heard a very loud noise coming from across the road where the Sunrise propane plant was located that sounded like a jet taking off. He looked towards the Sunrise plant and couldn't see the fence that he knew was there because fog was covering it. The fog was close to the ground.

[149] By the time Mr. Bittles opened his window there was, what he termed, a "giant explosion". Something hit him in the face, the window broke and parts of the ceiling came down. He realized that he needed to get his family out of the house quickly and took his wife and daughters and drove away in their vehicle to his wife's parents' house to tell them to wake up. He and his family were not able to return to their home for three weeks.

Felipe De Leon

[150] Mr. De Leon was contracted by Sunrise Propane to haul propane in August of 2008. Mr. De Leon had worked in the propane industry for a number of years. Prior to working for Sunrise Propane Mr. De Leon had been working as a forklift operator for a propane company in Mississauga for approximately six months. Before that he had worked with propane in the Philippines where he had his own business distributing cylinders of propane that were filled by someone else.

[151] When Mr. De Leon came to Canada he obtained an AZ licence which allowed him to drive large trucks. A friend recommended him as a driver to Sunrise Propane. This fellow was an independent contractor who drove trucks for them. Soon after Mr. De Leon began his training with Sunrise he completed safety exams at the Sunrise offices after reviewing books that had been given to him. He was given one week to review the books and then he wrote the exam in one day. He didn't recall who his instructor was.

[152] Mr. De Leon was taught how to do truck-to-truck transfers and all of the safety measures required for those transfers. The units he trained on for the truck-to-truck transfers were unit 1 and unit 861. Again, Mr. De Leon could not recall who had trained him. Mr. De Leon's recollection was that he spent approximately one month of training regarding truck-to-truck transfers, but then said this period of time also included the time he spent riding along in the truck with a driver named Mr. De Castro. Mr. De Leon rode along with him five days a week. He could not recall who it was that trained him but he said that it was someone who worked for Sunrise.

[153] The main truck Mr. De Leon trained on and drove was unit 1. Unit 1 was used primarily for making deliveries of propane around the city. There were other trucks he did use, but unit 1

was the truck he was most familiar with. On a typical day Mr. De Leon would start anywhere between 6 a.m. or 7 a.m. and when he arrived at work he would go to a kiosk as the list of his deliveries would be posted there. Once he retrieved the list he would go to the truck and make sure it was safe and get started with the deliveries. Once the deliveries had been completed it was his practice to call the dispatcher, Gary Mizlitsky, to see if there were any other deliveries to be made.

[154] For the most part Mr. De Leon worked the day shift as the other driver could not work during the day. In cross-examination he agreed that most of the time he would work one day on and one day off. The truck would always be full when Mr. De Leon started his shift as it was the practice for each driver to fill up the tank after their shift had been completed.

[155] On some occasions, when the regular driver was not available, Mr. De Leon would drive a cargo liner to Sarnia and back. Mr. De Leon was required to take specific training before he was allowed to do this. This training took place in two different locations in Sarnia. Mr. De Leon could not recall when he had taken the training or how long the course was. However, he did recall receiving training on safety procedures in both of the training sites. For instance, he recalled that there were buttons inside and outside of the kiosk that you could push to shut down the propane if there was a leak in the hose. Mr. De Leon was given certificates after he had completed the various types of training but he could not recall what they were given the passage of time.

[156] Mr. De Leon saw Mr. Ben-Moshe at times, but not very often, because he was out on the road. Mr. Ben-Moshe did not ever correct anything he had done and he did not see him correcting anything anyone else had done.

[157] Mr. De Leon understood that the name of the company was Sunrise Propane. While he was working with Sunrise Propane he was occasionally asked to drive trucks for Discount Propane; however, that was only on three or four occasions. Mr. De Leon believed that he was an employee of Sunrise Propane and said that he was paid by cheque. In cross-examination Mr. De Leon agreed that he was not an employee, but was a self employed independent contractor who invoices the company. He charged \$18.00 per hour for his services.

[158] After Mr. De Leon started driving with Sunrise Propane he did not receive any further training. He was also not provided with any performance evaluations. At the time of the explosion Mr. De Leon thought he had been driving for Sunrise Propane for one year. In cross-examination Mr. De Leon recalled, after being referred to a previous statement, that he had applied to Sunrise Propane in November of 2007 and had completed several training courses in December of 2007 and January of 2008. Mr. De Leon also recalled that he was riding along with other drivers for three or four months before he started driving the trucks on his own. During that entire time period Mr. De Leon was not being paid by Sunrise and was continuing his work as a fork lift operator. Mr. De Leon agreed in cross-examination that it might have been during the month of April that he starting driving the Sunrise Propane trucks on his own.

[159] On the evening just prior to the explosion Mr. De Leon started his evening shift at 9:00 pm and came in through the gate, which he said was always open. When he arrived Mr. Saini was on site. He did not know Mr. Saini's name on that day but came to know it after the explosion. Mr. Saini was loading propane into taxis. Mr. De Leon had never loaded propane into taxis at the Sunrise location as he was told he was not allowed to do it.

[160] Mr. De Leon went to the kiosk and took the list of the deliveries and then did a circle check of the truck, unit 1. He proceeded to make deliveries to gas stations at Airport Road, Derby Road and Martin Grove Road. Once he had completed those deliveries he called Gary Mizlitsky and was instructed to go to another location in Guelph. He called Gary Mizlitsky again and was told to bring the truck back to the yard and to fill it up with propane. The maximum capacity of unit 1 was 42,000 litres and Mr. De Leon estimated that it was half full when he arrived back at 54 Murray Road at approximately 3 a.m. He noticed that Mr. Saini was there when he arrived along with two taxi cabs.

[161] Mr. De Leon pulled his truck, unit 1, up beside unit 861. He put on his hand brake and did a circle check of his truck to make sure that it was safe. Mr. De Leon made sure that the lights on both trucks were off to ensure that no spark could go off and then put blocks against the wheels so they would not roll. The next step was to get the hoses to check them for leaks and then attach them one by one. If there was a leak in any of the hose he would have expected to see white smoke coming out and he did not see that. He would also have expected to hear a hissing sound if propane was leaking and he did not hear that.

[162] Mr. De Leon connected the two hydraulic hoses. Hydraulic hoses contain hydraulic oil and are connected to the power-take-off ("PTO") in the cab of the truck; it supplies the power to pump the liquid propane from one truck to the other. Once that had been completed Mr. De Leon looked for the liquid and vapour hoses and connected them. The liquid propane hose is larger than the vapour hose. He connected the hoses to fittings on the sides of the truck and then checked all of the openings to ensure that there was no leak and then went to the cab of the truck to open the PTO. The PTO is located in the middle of the cab.

[163] After the PTO was operating he went back to check the hoses and to watch the transfer of propane until the truck, unit 1, was filled. Mr. De Leon said that it is necessary for an operator to watch the process to ensure that the truck did not get overfilled. He advised that he was able to tell when the truck was 85% full by looking at the breather and gauges. When the tank is 85% full the breather protrudes from the truck and a small amount of white smoke is emitted. The process took approximately 30 minutes. Mr. De Leon advised that once you see the smoke it is necessary to close the breather and then turn off the PTO to stop the liquid from flowing.

[164] At this point in the process the engine was still running. Mr. De Leon removed the hydraulic hoses and had planned to close the valves when he saw smoke. At first he thought the

smoke was fog because it was early in the morning. He estimated the smoke to be about 60 feet away and said that it was very close to the ground (1 to 1.5 feet). At this point he had not closed the valves on the tankers. He testified that his idea was to go back to them but he wanted to know what was going on. Mr. De Leon agreed in cross-examination that he could smell propane but he said the entire facility smells like propane so that didn't alert him to anything in particular.

[165] Mr. De Leon said it would have taken about three minutes to close the valves because there are four of them, two in unit 1 and two on unit 861. Mr. De Leon was not aware of any other way to close the valve in an emergency situation. He said he was startled and shocked and did not know what to do. Mr. De Leon was not aware of any other location on unit 861 that would allow him to close the valves.

[166] In cross-examination counsel for Sunrise suggested that Mr. De Leon forgot that he had been shown that there were emergency manual activation buttons on the tanks. Mr. De Leon said he really did not remember because too much time had gone by. He had never had any problems with unit 1 in the past. In cross-examination Mr. De Leon recalled that unit 861 did have emergency shut-offs, but said that he did not touch those because they were not the problem. He agreed with counsel in cross-examination that it was his confusion that made him forget about the emergency shut-offs. He also said that in his confusion he forgot all of his training. In re-examination Mr. De Leon added that he did not think that the point of the problem was with the trucks.

[167] Mr. De Leon said he ran quickly towards the man that was in the kiosk to tell him about the smoke he had seen and to ask him if he knew what it was. Mr. De Leon told Mr. Saini, who was inside the kiosk, about the smoke and they both went outside to look at it. Mr. Saini told Mr. De Leon that he did not know what it was. Mr. De Leon said that the cloud of smoke started getting bigger and after five minutes they heard a hissing sound in the distance and then a small explosion.

[168] According to Mr. De Leon he told Mr. Saini not to go towards the smoke as they would not be safe there but Mr. Saini ran towards the sound. In cross-examination Mr. De Leon agreed that he has always said that he thought the smoke was coming from the north.

[169] Mr. De Leon ran towards the fence when he heard the sound of an explosion and climbed up on some 100 pound cylinders and jumped over the fence and fell onto his stomach. Mr. De Leon was able to get up and ran towards Murray Road. While he was running and climbing he could feel heat but he could not see the fire. Mr. De Leon saw a police officer and called him because something hit the back of his head when he fell and he was bleeding. While he was talking to the police officer he saw the big explosion and described it as a "ball of fire". The police officer took him to emergency medical personnel who were located a short distance away.

[170] Mr. De Leon agreed in cross-examination that safety was very important to Sunrise Propane and that he felt safe while he was working at the yard and when making deliveries. Mr. De Leon knew that even a small leak could be dangerous and that he had to report it.

Evidence as to what Caused the Explosion

James Bennett

[171] Mr. Bennett was qualified as an expert in the investigation of the origin and causes of fires and explosions. Mr. Bennett holds an engineering degree and has been certified by the National Association of Fire Investigators as a fire and explosion investigator and is also an instructor for the same organization. Mr. Bennett has testified five times as an expert witness.

[172] Mr. Bennett has worked with the Office of the Fire Marshal as a protection engineer since October of 2005. His role is to provide technical support to investigators on investigations of explosions and fires and to attend the field, examine exhibits and review witness statements. The Office of the Fire Marshal is charged with fire safety in the province of Ontario. Since 2005 Mr. Bennett had been involved with the investigation of 227 fires and explosions and of that 22 were explosions.

[173] Prior to working for the Office of the Fire Marshal Mr. Bennett had worked as a consulting engineer for Rochon engineering, a private engineering firm, for seven years. While there he was involved with 1200 investigations, 40 of which were explosions.

[174] Mr. Bennett's role in the investigation of the Sunrise Propane explosion was as lead engineer and he was tasked with writing the report with the assistance of two engineers. His involvement began when he was contacted on August 11, 2008. He arrived on scene on August 12, 2008 and was working with three other engineers and numerous investigators. It took almost two years to gather all of the data required for the report. Mr. Bennett's opinion was based on an examination of a number of sources including video footage, eyewitness accounts and simulations.

(i) Cause of the explosion

[175] Mr. Bennett's opinion was that the cause of the explosion was an accidental release of propane at the site resulting in a vapour cloud of propane being ignited. This ignition resulted in additional containers of propane on site exploding. This caused the fire to burn for several hours. After reviewing all of the evidence and conducting computerized simulations it was his opinion that the source of the propane leak that caused the explosion was the tanker identified as unit 861. Mr. Bennett was able to narrow the location of the leak on unit 861 to two possibilities; either the hose used to transfer the liquid propane or the flexible hose that was part of a bypass for the tank pump. All other possible leak sources were analyzed and unit 861 was the only tank on the site that had enough propane in it to cause the explosion. Unfortunately he and his team were not able to recover the flexible hose. In cross-examination he agreed that this could, most likely

be characterized as a mechanical failure with respect to both the hose and the by-pass system. Mr. Bennett was able to determine that the hose on unit 861 was manufactured sometime after December 2006 by looking at the mill stamp. The pump bypass components were never recovered.

[176] Liquid propane is stored in a cylinder at a temperature that is above its boiling point. Therefore, once propane leaks into the atmosphere it vaporizes and a white vapour cloud would be seen by anyone in the area. The vapour cloud would be caused by condensation of water and the transition of the propane from the liquid to a gas state would cause cooling in the immediate area because the propane absorbs energy during that process. Propane vapour is invisible and would extend beyond the white vapour cloud. 1 litre of liquid propane would expand into 270 litres of gas; therefore, once it starts to dilute with air the propane gas would cover a large area. Propane does not have an odour; however, an odorant is added to it to assist with the detection of leaked propane.

[177] Propane is only flammable in a certain range when mixed with air. Commercial propane in Canada is flammable in air between 2.4% and 9.5%. Anything below 2.4 % would not have enough air to be flammable and anything over 9.5% air, would be too much propane to be flammable. Mr. Bennett was able to determine what the approximate concentration of propane was on that evening based on the relative humidity that was recorded at the time of the incident and concluded that it was at the lower limit.

[178] Mr. Bennett was not able to say what the source of ignition was for the explosion. There were a number of possible ignition sources in the area and the video footage wasn't detailed enough to find the first ignition sequence. However, the Fire Marshal was more concerned about the source of the leak as it was clear that ignition had occurred given that there was an explosion. He explained that it is common with a vapour-cloud explosion to have multiple possible ignition sources.

(ii) 54 Murray Road

[179] Mr. Bennett was shown a diagram from page 189 of his report - figure 242. This diagram was created by Mr. Bennett and shows two trucks. One truck is numbered 861 and the other was unit 1. These were the two trucks involved in a truck-to-truck transfer of liquid propane from unit 861 to unit 1 just prior to the explosion.

[180] In order to transfer liquid propane from unit 861 a pump on the underside of unit 1 was used as the pump on 861 was not working. The pump is utilized to pump the liquid through a liquid transfer hose into unit 1. The vapour hose shown on the diagram connects the vapour space of the two tanks allowing the pressure between them to equalize, making it easier to transfer the liquid.

[181] The pump on the underside of unit 1 was driven by a hydraulic power take off (PTO). The PTO is driven by the engine of the truck; therefore the engine has to be running during the transfer. The PTO had a flex line that could be used to attach it to another trailer. The flex line would typically be connected to the front area of the trailer. The pump itself had an internal relief valve. This part of the pump had a preset pressure which allowed liquid to re-circulate if an operator couldn't pump any more liquid into the intended truck. The internal relief valve would let the excess propane back into the truck that was pumping the propane.

[182] The internal relief valve and the hosing between it and the tank of unit 1 were not recovered after the explosion; however Mr. Bennett was of the opinion that it was a possible source of the leak. He explained that if the pump was left running and some blockage occurred, or if there was an increase in pressure, there could have been a failure in the hose breaking it and causing it to leak propane.

[183] The tanks on both unit 861 and unit 1 had emergency manual shut-offs. According to the Canadian Standards Association these shut-offs, are to be located on the diagonal ends of the trailer and are connected to the valves. Mr. Bennett attended at Weldex, a manufacturer, which specializes in bulk propane transportation and storage vessels. An employee demonstrated how the emergency shut-offs work. Once the emergency shut-off is activated it shuts off all of the valves with one action, stopping any significant leak of propane. There could be some leakage but not a substantial amount.

(iii) The Propane Sources that were ruled out

[184] A number of other possible sources of the propane leak were examined. There were a number of 100 pound cylinders on site that had the capacity to hold 24 USWG. That was the largest cylinder type on the Sunrise site. That size cylinder did not have enough propane to cause this type of explosion so those cylinders were eliminated as possible sources of the leak.

[185] Another truck, unit 90, was also examined. This truck sustained a mechanical failure during the explosion and was propelled into the air in a northward direction. All of the valves on the unit were closed with dust caps in place and there was no propane in it. Mr. Bennett spoke with witnesses who advised him that this truck was down for repairs and did not have any propane in it, therefore it was eliminated as a possible source of the leak.

[186] Unit 3, another truck, was also examined on site. All of the valves were in a closed position and all of the connectors had dust caps on so there was no offloading of the propane at the time of the explosion. There was a perforation, but there was no indication of a catastrophic leak. Witnesses also advised him that there was no propane in this unit.

[187] Two bobtail trucks (smaller trucks used to haul propane) were also examined. Mr. Bennett eliminated both of these trucks as possible sources for the leaks as there was still propane in

them that had to be flared off by the emergency responders. If there had been a leak they would not have had any propane left in them.

[188] Unit 2, again a truck, was examined as a possible source. It was parked just south of the two 2,000 USWG tanks. All of the dust caps on that unit were closed and it still had propane in it. Tide lines were seen on the outside of the unit. These are lines of demarcation caused by exposure to fire. The liquid propane absorbed the heat more easily than vapour and a line was created that is representative of the liquid level while the fire was burning. Unit 2 was eliminated as being the possible cause of the fire.

[189] Unit 1 was considered in Mr. Bennett's search for the source of the leak. This unit was torn open on the top and was flipped upside down. The container had sustained a boiling liquid expanding vapour explosion (BLEVE). The BLEVE of this container is shown later on in the video footage taken from the Federal Express video camera. Mr. Bennett was of the opinion that unit 1 could have contributed a minor amount of propane to the initial explosion. Mr. Bennett was able to observe lines of demarcation that indicated that the container was at least 82% full at the time it was exposed to fire. That would mean that only 3% of the gas could have leaked, given that tanks are only filled to 85%, and that would not be enough propane to cause this type of explosion.

[190] Mr. Bennett and his team conducted simulations using this amount of propane and were not able to recreate the same type of explosion. The internal combination valve from unit 1 was recovered and was closed. The body of the valve was fractured and Mr. Bennett advised that it would have closed when it was fractured. He was unable to determine whether it had been closed or open at the time of the explosion from his examination of it. The only information that he had was from the operator, Mr. De Leon, that he had left it open. Two other valves from unit 1 were located. The valve on the east side of the tanker was open and the other one was found in the closed position.

[191] The 30,000 USWG tank was found on scene and was intact. Witnesses indicated that there was no propane in the tank.

[192] Unit 861 was examined and it was determined that it was the source of the leak based on their examination, witnesses accounts, simulations and the examination of the videos. It was the only remaining tank on the site that had enough propane in it to cause the explosion and there were no tide lines showing a level of propane in the tank at the time of exposure to fire.

[193] The two inch transfer hose from unit 861 was recovered at the site and was submitted to the Centre of Forensic Sciences for a detailed analysis; however, they were unable to provide any information about the status of the hose prior to the explosion.

[194] In order to determine how much propane would have been available in unit 861 Mr. Bennett and his team received a bill of lading and used information from witness accounts and determined that it was anywhere from 23 to 34% full (4,200 USWG to 6,100 USWG).

[195] One of Mr. Bennett's colleagues ran hundreds of simulations based on the amount of propane remaining in unit 861 leaking at 250 gallons per minute (that was the discharge capacity of unit 861) and determined that after 2½ to 3½ minutes a vapour cloud was created similar to that observed by Mr. Brian Bittles.

[196] Mr. Bennett and his team knew that there was a narrow time frame for the development of the vapour cloud seen by Mr. Bittles because there was a taxi cab driver who had been at the Sunrise site 14 to 15 minutes prior to that time. They interviewed the cab driver and he saw nothing unusual.

(iv) Video footage

[197] Mr. Bennett and his team were able to locate several videotapes of the explosions which assisted him in determining the cause. Video footage was obtained from several sources including an external camera from a Federal Express office located 800 metres south of the Sunrise site, two schools, the Bombardier company and YouTube. The video was from closed circuit television video recordings.

[198] Mr. Bennett looked at all of the videotaped footage and broke the videos down frame by frame and was able to estimate the speed of the flame front after conducting two dimensional simulations. He noticed significant flame speed acceleration which led his team to do more analysis. They were able to estimate how large the fire ball was as they knew the location of the camera and the location of the sunrise facility. Mr. Bennett testified that when vapour is ignited it typically travels at slow speeds; however if it encounters significant obstructions it causes the flame front to distort and accelerate which can cause all of the fuel to ignite at once. In his opinion the flame front did accelerate and all of the fuel in unit 1 ignited at once causing a BLEVE. By measuring the "tide" line remaining in the tank of unit 1 Mr. Bennett was able to determine that the tank was 82% full at the time it exploded.

(v) Atlas Foundry Incident - October 6, 2007 Tacoma Washington

[199] As part of their research Mr. Bennett and his team reviewed an incident that occurred on October 6, 2007 in Tacoma Washington where there was a leak in a liquid transfer hose on a cargo liner that was travelling on a highway. There was an explosion and the driver was killed. Images of the cargo liner before and after the explosion were captured on video. A white cloud of condensed vapour could be seen just prior to the explosion. This cloud completely enveloped the cab of the truck before the BLEVE. The vapour ignited 32 seconds after the leak and the fuel burned for 7½ to 8 minutes. The investigators found that the propane had continued to leak after

the vapour cloud ignition. In the Sunrise incident Mr. Bennett and his team were able to calculate that the minimum leak that continued to pump, even though the pump was off, was at least 50 gallons per minute.

(vi) Vapour Cloud observed by Brian Bittles

[200] Mr. Bennett and his team had information that Mr. Bittles had observed a vapour cloud. To understand how this happened they did simulations of leaks on site and compared them to the observations of Mr. Bittles. Mr. Bittles had seen what he called “fog” coming out to the building area. Using computer software, Mr. Bennett’s team put various leaks on the site and estimated where the various leak rates would cause this to occur. Then he and his team looked at other propane containers on site. Unit 2, another truck, had demarcation lines inside that showed the liquid level at the time of the explosion. After examining all of the containers at the site he was able to conclude that the only source with enough propane in it to cause the explosion was unit 861.

[201] In cross-examination Mr. Bennett agreed that, among other things, he had relied upon the statement of the driver of the tanker, Mr. De Leon. Mr. Bennett noted that he and his team would assess the physical evidence in comparison to what a witness told them. For instance, they were able to compare the valve positioning physically and were able to confirm that a lot of the manually manipulated valves were involved. They don’t rely exclusively on what a witness tells them. Mr. Bennett also agreed in cross-examination that his conclusion is essentially a hypothesis and agreed that it had been difficult to reach because so much of the evidence had been damaged.

[202] Mr. Bennett also agreed in cross-examination that the incident had been classified by the Ontario Fire Marshal’s office as being “accidental”; however, in re-examination he clarified that the only categories used by the Ontario Fire Marshal’s office are “undetermined”, “incindery”, “purposeful” and “accidental”.

(vii) Ignition of the Vapour cloud

[203] Mr. Bennett was not able to draw any conclusion as to what caused the ignition of the vapour cloud as there were many possible sources such as static electricity, a vehicle engine running or sources in adjacent building. His evidence was that it is common with a vapour cloud investigation to have multiple possible sources of ignition. He was more interested in finding the source of the leak because without the fuel leak the explosion could not occur.

The Cleanup after the Explosion

Wesley Hicks

[204] Mr. Hicks worked for a company called First Response Environmental which offers emergency response services for environmental emergencies. He is the Director of Operations and has held that position since 2010. Prior to that he worked for Hazco Environmental and held the position of Operations Manager. His duties included dispatching the staff, the fleet and inventory as well as approving accounts receivable. In addition to this he would be the Incident Commander when there was an environmental incident. Hazco Environmental was a 24 hour a day, 7 day a week service with a 1-800 number that clients could call at any time.

[205] On Sunday, August 10, 2008 he received a telephone call from his operations supervisor, Steve Tylliros, advising him that there had been an explosion at the Sunrise Propane site located at 54 Murray Road in Toronto. Hazco Environmental administered the Ontario Propane Association's Emergency Response Action Plan (ERAP). The plan, or ERAP, was based on mutual aid of the member companies. If one company had an emergency all of the other companies would be called upon to assist with the incident. Hazco Environmental had an answering service for their 1-800 number and provided a staff member who could answer and then deal with the communication between Canutech, (a Canadian government organization that supplies information to government agencies that need to be notified in emergency situations and private companies). If it was logical for Hazco to respond they would, otherwise they would coordinate the response.

[206] Later that evening at approximately 11:30 p.m. Mr. Hicks was instructed to go to the Hazco facility and pick up a fit tester. A fit tester is a piece of equipment that is used to fit test a person who is going to be wearing an assisted breathing apparatus. The assisted breathing apparatus must be fitted to an individual's face. The apparatus is fitted with a cartridge that filters out certain impurities from the air. The Toronto Police wanted to conduct a search of the property to look for potential body parts as they were still looking for a missing employee and wanted to use the assisted breathing apparatus while searching.

[207] Mr. Hicks arrived sometime between midnight and 12:30 a.m. on Monday, August 11, 2008. When he arrived he went to the command centre and started fit testing the officers that were going to be taking part in the search of the area. Mr. Hicks described the site as being "a mess" and he noticed that the windows of houses had been blown out. While he was walking around the site he discovered what he thought was asbestos on both sides of the street and on the street itself. He advised the other agencies on site of this discovery. Mr. Hicks took some samples and brought them to a lab in Mississauga that morning. The lab confirmed that the material was transite asbestos that was used in the 1980s for roofing and siding in buildings. Most of the asbestos found was transite; however, about 20% of it was the friable type of asbestos that can break apart and get into a person's lungs.

[208] Mr. Hicks received an email from Ms. Marianne White of the Ministry of the Environment asking for a plan regarding the clean-up of the asbestos. He had met her the previous day at the site. Mr. Hicks responded to the email and advised her that the plans had changed somewhat as the body of Mr. Saini had been discovered.

[209] Mr. Hicks made a telephone call to Mr. Belahov of Sunrise Propane to advise him that asbestos had been located at the site. Mr. Belahov told him to deal with what Sunrise Propane was responsible for. Mr. Belahov also made a commitment to have someone come to the site to sign paperwork and meet with him later that day; however, no one did. Normally, Hazco would use daily occurrence reports to invoice their customers. The customer would authorize and sign those documents on a daily basis. By August 13, 2008 Mr. Hicks was getting pressure from other employees in his organization to get written confirmation from Sunrise Propane that they would be getting paid.

[210] Mr. Hicks was shown the work Order that was issued by Ms. White to Sunrise Propane Energy Group Inc. and 2094528 Ontario Inc. on August 13, 2008 and confirmed that Hazco Environmental was capable of doing all of the work that was listed on the Order. At some point, Mr. Hicks didn't recall if it was before or after he had seen Ms. White's Order, he received a telephone call from a person who said they were a lawyer representing Sunrise Propane. This person asked whether Hazco Environmental would be working on behalf of Sunrise Propane to fulfill the requirements of the Order and Mr. Hicks said they would be willing to do that. This person also said that someone would be meeting Mr. Hicks at the site to discuss and sign the documentation. Mr. Hicks asked who was going to be paying for the cleanup and was told that Sunrise Propane's insurance was going to be paying for it. Mr. Hicks told the lawyer Hazco Environmental was looking for a large amount of money upfront, probably approximately \$200,000.00. He was given an insurance broker's name to follow up with.

[211] Mr. Hicks called the insurance broker and he was told that someone from the adjuster's office, Cunningham Lindsay, was going to go to the site and sign the paperwork that Hazco Environmental required. During the conversation Mr. Hicks advised the broker that Hazco Environmental's bill was getting close to the maximum figure and there was a fair bit of work that still needed to be done. The broker, Mr. Mohotoll, advised Mr. Hicks that there was a very limited amount of money available regarding environmental liability. Mr. Hicks estimated that the bill at that point was approximately \$50,000.00. No one from the adjuster's office ever did meet with him. Mr. Hicks was trying to reach someone at Sunrise Propane. He had several cell phone numbers but whenever he called the voicemail boxes were full.

[212] The City of Toronto became heavily involved in the cleanup of the area on August 14, 2008 and hired Hazco Environmental to continue to do the work they had been doing and paid them for the work that had already been done.

Marianne White

[213] Ms. White is a senior environmental officer with the Toronto district office of the Ministry of the Environment. Her responsibilities include responding to complaints and spills. She also reviews applications that companies make to discharge a contaminant to the natural environment. She had been in charge of the area which included 54 Murray Road since 2005. Ms. White received her designation as a provincial officer pursuant to the *Environmental Protection Act* in the fall of 2001.

[214] On the day of the explosion Ms. White was off duty; however, she became involved the next day, August 11, 2008. When she first attended at the scene at 9:45 a.m. she met with emergency response personnel from the previous day and with provincial officer Michael Stevenson, who was the emergency response person from the Ministry of the Environment. She was advised that Team Hazco had identified a suspicious material and was having it tested to determine if it was asbestos. They updated her as to the activities the Ministry of Environment had been involved with up to that point. Officer Stevenson accompanied her onto the site.

[215] The site was quite chaotic as there were a number of people from various agencies in attendance including Toronto Fire Services, Toronto Police, the TSSA, Toronto Public Health, Team Hazco and the Ministry of Labour. There was a centralized incident command centre that Toronto Fire Services had set up.

[216] Ms. White was determining whether or not there were any issues on site that fell under the jurisdiction of the Ministry of Environment such as contaminants that needed to be cleaned up. Ms. White found that the explosion had caused the discharge of debris into the area surrounding the site. She explained that the debris is considered to be waste that needed to be cleaned up. Ms. White attended at the site on several days after the explosion.

[217] Ms. White had been informed by provincial officer Stevenson that Team Hazco had been retained by Sunrise Propane and the Ontario Propane Association to respond as part of their emergency response plan for propane emergencies. She noted after arriving on site that Team Hazco was doing clean-up work. On August 12, 2008 Ms. White was advised by an employee of Team Hazco, Mr. Hicks, that he was unsure as to how much longer Team Hazco could continue with the clean-up as they had not been able to get in touch with officials at Sunrise Propane. This concerned Ms. White as there were a great number of people that were being adversely affected by the situation and the clean-up had to happen quickly. However, Mr. Hicks had provided her with a written clean-up plan in relation to the asbestos that day.

[218] On August 13, 2008 Ms. White issued a Provincial Officer's Report which is part of the Order she wrote the same day. The Order was issued to Sunrise Propane Energy Group Inc. and 2094528 Ontario Inc. Ms. White issued the Order to clearly indicate what her expectations were for the clean-up of the debris and waste that had been discharged from the site as well as the clean-up of the site. The clean-up was to be conducted in two phases. The site was still under the control of the Office of the Fire Marshal so phase one involved the clean-up of the residential area surrounding the site. The Order related primarily to the residential area. Phase two would start after the completion of the on-site investigation when the property at 54 Murray Road was released back to the owners.

[219] The reasons for issuing the Order are set out in the Provincial Officer's Report. The Order was being issued pursuant to sections 157 and 157.1 of the *Environmental Protection Act*. For ease of reference the sections read as follows;

157. (1) A provincial officer may issue an Order to any person that the provincial officer reasonably believes is contravening or has contravened,

- (a) a provision of this Act or the regulations;
- (b) a provision of an Order under this Act, other than an Order under section 99.1, 100.1, 150 or 182.1 or an Order of a court; or
- (c) a term or condition of an environmental compliance approval, certificate of property use, renewable energy approval, licence or permit under this Act. 1998, c. 35, s. 16; 2001, c. 17, s. 2 (33); 2005, c. 12, s. 1 (34); 2009, c. 12, Sched. G, s. 15 (1); 2009, c. 33, Sched. 15, s. 5 (3); 2010, c. 16, Sched. 7, s. 2 (60).

Contravention of s. 14

(1.1) Subsection (1) does not apply to a contravention of section 14 unless,

- (a) an Order to pay an environmental penalty could be issued in respect of the contravention; or
- (b) the contravention involves a discharge that causes or is likely to cause an adverse effect. 2005, c. 12, s. 1 (35).

Information to be included in Order

(2) The Order shall,

- (a) specify the provision, term or condition that the provincial officer believes is being or has been contravened;
- (b) briefly describe the nature and, where applicable, the location of the contravention;
- (b.1) in the case of a contravention of section 14 for which an Order to pay an environmental penalty could be issued, describe the adverse effects that were caused by or that may be caused by the contravention; and
- (c) state that a review of the Order may be requested in accordance with section 157.3. 1998, c. 35, s. 16; 2005, c. 12, s. 1 (36).

What Order may require

(3) The Order may require the person to whom it is directed to comply with any directions set out in the Order within the time specified relating to,

- (a) achieving compliance with the provision, term or condition;
- (b) preventing the continuation or repetition of the contravention;
- (c) securing, whether through locks, gates, fences, security guards or other means, any land, place or thing;
- (d) where the contravention is related to the deposit of waste, removing the waste;
- (e) where the contravention has injured, damaged or endangered animal life, plant life, human health or safety, or the natural environment or is likely to injure, damage or endanger animal life, plant life, human health or safety, or the natural environment,
 - (i) repairing the injury or damage,
 - (ii) preventing the injury or damage,
 - (iii) decreasing, eliminating or ameliorating the effects of the damage, and
 - (iv) restoring the natural environment;
- (f) where the contravention has caused damage to or endangered or is likely to cause damage to or endanger existing water supplies, providing temporary or permanent alternate water supplies;
- (g) submitting a plan for achieving compliance with the provision, term or condition, including the engagement of contractors or consultants satisfactory to a provincial officer;
- (h) submitting an application for an environmental compliance approval, renewable energy approval, licence or permit;
- (h.1) registering an activity under Part II.2;

- (i) monitoring and recording in relation to the natural environment and reporting on the monitoring and recording;
- (j) posting notice of the Order; and
- (k) if the provincial officer reasonably believes that a term or condition of a renewable energy approval is being or has been contravened, doing any other thing referred to in subsection 16 (3) of the *Ontario Water Resources Act*. 1998, c. 35, s. 16; 2005, c. 12, s. 1 (37); 2009, c. 12, Sched. G, s. 15 (2, 3); 2010, c. 16, Sched. 7, s. 2 (61, 62).

And

157.1 (1) A provincial officer may issue an Order to any person who owns or who has management or control of an undertaking or property if the provincial officer reasonably believes that the requirements specified in the Order are necessary or advisable so as,

- (a) to prevent or reduce the risk of a discharge of a contaminant into the natural environment from the undertaking or property; or
- (b) to prevent, decrease or eliminate an adverse effect that may result from,
 - (i) the discharge of a contaminant from the undertaking, or
 - (ii) the presence or discharge of a contaminant in, on or under the property. 2005, c. 12, s. 1 (38).

Information to be included in Order

(2) The Order shall,

- (a) briefly describe the reasons for the Order and the circumstances on which the reasons are based; and
- (b) state that a review of the Order may be requested in accordance with section 157.3. 1998, c. 35, s. 16.

What the Order may require

(3) The Order may require the person to whom it is directed to comply with any directions specified under subsection (4), within the time specified. 1998, c. 35, s. 16.

Same

(4) The following directions may be specified in the Order:

1. Any direction listed in subsection 18 (1).
2. A direction to secure, by means of locks, gates, fences, security guards or other means, any land, place or thing. 1998, c. 35, s. 16.

Where Order requires report

(5) Where the Order requires a person to make a report, the report shall be made to a provincial officer. 1998, c. 35, s. 16.

[220] Section 157 refers to contraventions of the Act and section 157.1 refers to preventative measures. In paragraph two of the report Ms. White set out that she reasonably believed that Sunrise Propane had;

“Contravened s. 14 of the Environment Protection Act by causing or permitting a discharge of a contaminant into the natural environment that causes and continues to cause an adverse effect, which includes injury or damage to property, plant or animal life, harm or material discomfort to any person, impairment of the safety of a person, rendering any property or plant or animal life unfit for human use, loss of enjoyment of normal use of property or interference with the normal conduct of business.”

[221] On page three of the report in the definition section Ms. White referred to “Sunrise means Sunrise Propane Energy Group Inc., which is also known as Sunrise Propane Industrial Gases, and is a tenant of the site.” Ms. White explained that provincial officer Stevenson had provided

her with a business card. She was told that an employee of the company named Murray Patton had provided the card to Officer Stevenson. The business card had the name “Sunrise Propane Industrial Gases” on it. Ms. White had also looked up the company’s website which referred to that name as well.

[222] The Order Ms. White issued was prepared using a template that officers can download. The Order indicates that the Order is being issued pursuant to s. 157 but does not list s. 157.1. Ms. White explained that the template at the time didn’t allow for the listing of multiple sections.

The first item ordered reads as follows;

By 17:00 August 13, 2008, Sunrise shall provide confirmation to the Provincial Officer that it is able and willing to comply with the requirements of this Order. This notice shall be made verbally with a written confirmation.

[223] Ms. White explained that given the situation she needed to have answers in a very tight time frame. Item number 1 was ordered to allow her to get written confirmation that Sunrise Propane was willing and able to do the clean-up. Ms. White indicated that the written confirmation didn’t have to be formal. She would have accepted an email or a fax with the company’s information and the signature of someone authorized to act on behalf of the company.

Item number two required the following;

Effective immediately Sunrise and 2094528 shall provide at least twelve hours notification to the provincial officer. If for whatever reason they cannot and/or are unwilling to continue to be in compliance with the requirements of this Order, this notification shall be made verbally with a written follow-up confirmation.

[224] Ms. White explained that she made this Order as the Ministry of Environment needed notice if the company was going to stop the clean-up as alternate arrangements would have to be made. She wanted verbal and written confirmation as the situation required action quickly.

[225] Item number three of the Order required Sunrise Propane and/or the numbered company to “retain the services of one or more qualified persons to carry out the work required by this Order.” Ms. White referred to page two of her report which defined a qualified person as “a person who had demonstrated knowledge, experience and expertise in the area related to the work required by this Order.” This meant that the company needed to hire someone who had expertise in handling asbestos and propane cylinders as well as familiarity with the legal requirements and safety measures that needed to be taken. The company could have retained a company to work on their behalf if it didn’t have the expertise required in-house.

[226] Item number four of the Order required that Sunrise and/or 2094528 provide written verification to Ms. White that a qualified person had been retained to do the work in item number three. Item number five required Sunrise to continue the cleanup efforts immediately in the one kilometre radius of the site. This item required the defendants to restore the natural environment and take whatever measures were reasonable to do that. The expectation was that the debris and waste associated to the explosion was to be removed. The debris included, but was not limited

to, things like pieces of metal, shingles, wood, broken glass, asbestos waste, insulation and limbs from trees.

[227] Item number six required Sunrise to develop and provide a written clean-up plan to Ms. White. Item number six also included a number of minimum requirements for the clean-up plan. Item number seven required that Sunrise and, or 2094528 provide written copies of any sample results of asbestos testing (both material and ambient) to Ms. White and to Toronto Public Health. The last item, number eight, required Sunrise and, or 2094528 to develop a clean-up plan within 24 hours that was satisfactory to Ms. White.

[228] Any item numbers that referred to the residential clean-up did not require the property owner to do work. Sunrise Propane alone was responsible for this.

[229] Some of the items of the Order were effective immediately, others had a deadline of 5 p.m. of August 13, 2008 and one was to be complied with in twenty-four hours. Ms. White explained that the deadlines were very short because the work needed to happen quickly and the Ministry of the Environment had to know if Sunrise was going to do the work. Ms. White also explained that on the right side of the document after each item number there was a compliance date listed as August 13, 2008. She noted that this was an issue with the template. Ms. White also noted that the items “A” and “B” listed on page 3 of the Order are included in every Order. She had crossed out item “A”, which required the Order to be posted at the site. As the buildings where it was to be posted were destroyed during the explosion she felt this requirement did not apply.

[230] Appeal information is listed on the back of the Order. Ms. White explained that this information is automatically included in every Order as it is part of the template and that if someone wanted to dispute something in the Order they could appeal to the Director. The Director would review the Order and the information provided, submit and decide if there was to be any change to the Order.

[231] Ms. White first attempted to contact someone from Sunrise on August 12, 2008. She reached an employee named Murray Patton by email. He advised her that he was meeting with the owners that evening and would pass on her contact information. Ms. White conducted a corporate profile report which indicated that the officers of the company were Valerie Belahov and Shay Ben Moshe. On August 13, 2008 at approximately 9:32 a.m. she spoke with Valerie Belahov. Her manager had arranged a meeting for that day and she was calling Mr. Belahov to ensure that they were still going to meet.

[232] At 10:00 a.m. Mr. Belahov arrived at her office located at 5775 Yonge Street and they subsequently had a meeting in the boardroom with the acting manager, Ms. Kathleen Anderson. Ms. White showed Mr. Belahov a copy of the Order she had drafted and explained what Sunrise was expected to do. The draft Order was not significantly different than the one she issued later that day.

[233] In terms of compliance with the items in the Order Ms. White received verbal information through legal counsel that Sunrise would not be able to comply with the requirements of the Order until their issues with their insurance company had been resolved. She never did receive anything in writing, so, item one was never complied with. Item two was not complied with as she had not received written or verbal confirmation that they could not or were unwilling to comply with the Order. Ms. White also did not receive any written or verbal confirmation that someone had been hired to conduct the cleanup; therefore items four and five had not been complied with. Items five and six were also not complied with as the City of Toronto took over the cleanup of the residential area. The cleanup plan previously provided by Mr. Hicks of Hazco was not sufficient to meet the requirements in item six.

[234] Ms. White became aware that a gentleman by the name of Dan Ronen had identified himself as corporate counsel for Sunrise Propane and said that he was accepting service on their behalf. Mr. Ronen also advised that his clients were looking to retain legal counsel for environmental matters. Ms. White understood that in-house counsel for the Ministry, Norm Rankin, had spoken to two lawyers named Robert Warren and John Buhlman.

[235] At 3:00 p.m. on August 13, 2008 Ms. White called Mr. Belahov and left a voicemail message to advise him that the Order had been finalized and to tell him that she wanted to meet with him to go through it again. A short time later Robert Warren called inquiring about the Order. Ms. White and Mr. Rankin provided an electronic copy of the Order to Mr. Warren and the property owner and then called Mr. Warren to discuss the Order. Mr. Warren advised that he had only been asked to make inquiries about the Order and could not accept service of the Order and that they would relay the message to have somebody come by to accept service of the provincial officer's Order.

[236] On August 13, 2008 Ms. White was advised by Mr. Ronen that his clients would be meeting with their legal counsel the next day to discuss the Order. An email dated August 13, 2008 at 3:18 p.m. was sent to Ms. White from Mr. Warren advising that his firm had been retained to advise Sunrise Propane regarding certain aspects of the explosion at their site. Mr. Warren asked Ms. White to contact him or his partner John Buhlman to discuss the Order she had issued.

[237] The next day at 12:00 noon Ms. White called to get an update and was told that they had not discussed the Order yet. By that time the deadlines for items 1 - 5 had passed and neither Mr. Warren nor Mr. Buhlman asked for an extension of timelines.

[238] On August 15th, 2008 Ms. White was with Mr. Rankin who was composing an email asking for an update of the situation. Ms. White did not have any further conversation with anyone regarding the residential area and was never informed of any efforts on behalf of Sunrise Propane to comply with items five or six of her Order. There were some discussions regarding two other provincial officer Orders that were issued regarding the site cleanup.

[239] Ms. White testified that there were some items in the Order that could have been complied with without significant financial resources. For instance items number one and two only required communication. Also, if a company had employees trained in clean-up operations item three could be complied with as well. Although the other items required resources, she has seen Orders appealed in the past to the Director to have certain requirements changed or revoked. That was not done in this case. There was only a request made to her by either Robert Warren or Dan Ronen to remove a line from the report that Sunrise Propane had retained Team Hazco. This request was made at the time the document had been served.

[240] The City of Toronto started the clean-up of the residential area as defined in the Order on August 16, 2008. Most of the debris was located east of the site, but there was a small amount to the west of the site. Two types of asbestos were located, friable and non-friable. The non-friable type was found within concrete and was closer to 54 Murray Road. The friable type was found further away. The cleanup of the residential area was completed by August 22, 2008. Sunrise Propane was never told that they did not have to conduct the cleanup of the residential area now that the City of Toronto had stepped in to do it.

Evidence of the Defence

Robert Warren

[241] Mr. Warren was called by the defence. Mr. Warren is a lawyer authorized to practise in the Province of Ontario. He was called to the bar in 1977 and started with WeirFoulds as an articling student in 1975. Among other areas of law Mr. Warren established a practice in environmental law in the early 1980s when the provincial government enacted legislation dealing with the transportation of hazardous liquid waste. Although Mr. Warren had not dealt with cases where explosions had occurred he did have experience in relation to the long-term impact of contamination and was retained by the province of Newfoundland to provide advice regarding remediation options for contamination at several sites that were owned by Abitibi Bowater.

[242] Through the course of his practice in environmental work Mr. Warren has worked regularly with environmental firms that do assessment and remediation work. In terms of the payment for assessment and clean-up work it has been his experience that if the consultant has a regular client their payment is in the ordinary course; however, if the consultants are dealing with a company that is unknown to them the consultant would normally ask for a form of retainer which would need to be refreshed on a regular basis. With respect to the case at hand Mr. Warren's partner, Mr. John Buhlman, had contact with Hazco Environmental. Mr. Warren advised that based on his experience of contamination clean-ups the clean-up of a site like the site at 54 Murray Road would cost at least one million dollars for the on-site clean up.

[243] Mr. Warren was contacted by Mr. Ronen either on August 11, 2008 or August 12, 2008 who enquired as to whether or not WeirFoulds had sufficient expertise in dealing with the TSSA. In Mr. Warren's opinion Mr. Ronen and another lawyer, Mr. Landy, were scrambling to try to

determine what had happened and what their client's exposure was. Mr. Warren answered that they did have sufficient expertise and the firm was retained.

[244] Mr. Warren was asked by Mr. Landy to contact Ms. White. Mr. Warren called her and left her a message. Then, Mr. Warren sent an email to Ms. White advising her that his firm had been retained to deal with certain aspects and that the clients did not understand the nature of the Order that they had been asked to sign. As of that time Mr. Warren was not aware of which Order it was.

[245] Mr. Rankin, counsel for the Ministry of the Environment sent an email to Mr. Warren enclosing a copy of Ms. White's Order dated August 13, 2008; however, he did not have instructions to accept service at the time. Mr. Warren had some conversations with Mr. Landy and Mr. Ronen and they made it clear to him that the ability of Sunrise to do anything on the site was a function of a number of variables, primarily, whether or not their insurers would provide the funds for the clean-up. Later Mr. Ronen dropped off a copy of the signed Order that he received at 4:41 p.m. that day. Mr. Warren met with his clients the next day, August 14, 2008. On that day his firm was retained. Mr. Warren could not recall the amount of the retainer but typically his firm would ask for a \$10,000.00 retainer.

[246] On August 14, 2008 he met with the clients Mr. Belahov and Mr. Ben-Moshe. He was aware that they were both directors and officers of Sunrise Propane. Mr. Warren advised them that as directors and officers of the corporation they were obliged to take all reasonable steps to ensure that the corporation complied with the Order. In Mr. Warren's view his clients were not in a position to comply with item one, which required them to provide confirmation to the provincial officer that there were able and willing to comply with the requirements of the Order by 5:00 p.m. August 13, 2008 because it was too late and because his understanding was that the client's did not have the money to comply with the Order unless the insurers became involved. Mr. Warren could not recall whether or not he was aware that Mr. Belahov had signed a work Order on August 10th for Hazco Environmental to conduct clean-up work.

[247] Mr. Warren was also directed to a passage in the report by Ms. White, also dated August 13, 2008, which referred to a discussion that an employee of the Ministry of the Environment, Ms. Anderson, had with Mr. Belahov that indicated that Mr. Belahov had indicated that he had hired Hazco to handle the clean up. Mr. Warren was also of the opinion, based on his experience that the Order, on its face, could not be varied verbally or informally between the parties. In cross-examination Mr. Warren agreed that the obligation to comply with the Order continues notwithstanding the fact that his clients had not confirmed that the insurers would be paying for the work.

[248] His clients were still not in a position to comply with number one the next day, August 14, 2008. Mr. Warren had a number of conversations with Mr. Rankin on a regular basis over the next two days and indicated that his clients were willing to do what they could in the circumstances. Mr. Warren told Mr. Rankin that his clients ability to do anything was a function of getting proceeds from the insurance firm and at some point on the 14th or 15th of August Mr. Rankin

asked if it would assist if he or a representative from the Ministry of the Environment contacted the insurers. In Mr. Warren's view he had satisfied the verbal requirement of notifying the Ministry of the Environment that his clients were not able to comply; however, he was not sure if he had confirmed this in writing.

[249] Mr. Warren provided Mr. Rankin with the names of the insurers by a facsimile message and they continued to have conversations. Mr. Rankin repeatedly mentioned that the fundamental concern was to get someone on-site to take on the remediation work and all of this was complicated by the fact that the Fire Marshal would not release the site to anyone. At some point, Mr. Warren felt that it was likely on the 15th of August, Mr. Rankin advised him that the City of Toronto was going to take on the responsibility for securing the site and doing whatever remediation work was required right away.

[250] With respect to item two of the Order, which reads, "Effective immediately Sunrise and 2094528 shall provide at least twelve hours notification to the provincial officer. If for whatever reason they cannot and/or are unwilling to continue to be in compliance with the requirements of this Order, this notification shall be made verbally with a written follow-up confirmation", Mr. Warren's view was that if his clients were not in compliance in the first place they could not continue to be in compliance and to his knowledge they had not been in compliance in the first place.

[251] Mr. Warren also indicated that his clients were not able to comply with item three of the Order, which required his clients to "retain the services of one or more qualified persons to carry out the work required by this Order" or item number four which required his clients to provide written verification to Ms. White that a qualified person had been retained to do the work in item number three. His clients were also not able to comply with item five which required his clients to carry out the clean-up work in the residential Order or item six which required them to provide the provincial officer with a clean-up plan acceptable to her.

[252] Mr. Warren was of the view that the Order of Ms. White remained in force and that whether or not it could be complied with was a different matter. Mr. Warren was not instructed to appeal the Order. In Mr. Warren's view there was not any provision to change the compliance dates on the face of the Order and to his knowledge there was not any discussion or amended Order made to give greater leeway for the compliance of the items by granting an extension of time. In cross-examination Mr. Warren agreed that he based his conclusion that his clients were not in a position to comply with the Order on information supplied to him by them. He did not have an opportunity to review their bank accounts. He also agreed that he had advised his clients that they were obliged to take all reasonable steps to comply with the Order.

[253] Mr. Warren's also saw an Environment Canada Order that his clients were also served with. The first item in that particular Order required Sunrise to provide certain information to Environment Canada by October 13, 2008 and by that time his firm's retainer was at an end. He did not know if it had been complied with. Item 2 of that Order was consistent with the provin-

cial Order from the Ontario Ministry of the Environment and the focus was on compliance with the provincial officer's order.

Statements of Shaye Ben-Moshe

[254] Mr. Shaye Ben-Moshe was interviewed on August 13, 2008 by Detective Constable Sean Griffiths and Detective Hunter Smith. The statement was video-recorded and Mr. Ben-Moshe was under oath.

[255] Mr. Ben-Moshe started the business with his brothers-in-law Valery Belahov and Leon Belahov in 1994. They started buying and selling small independent gas stations, they were also operating and then began to focus on propane. They entered into a contract with Petro-Canada and started to deliver propane to other gas stations.

[256] Mr. Ben-Moshe ran the operations of the company. He started off doing everything, including dispatching, but was able to hire two dispatchers later on. Sunrise Propane began leasing the property at the 54 Murray Road location approximately four years prior to the incident from Teskey. At the time of the explosion Mr. Ben-Moshe estimated that there were approximately 30 employees and there were separate divisions. There was a separate company for the industrial gases; there was a bulk propane supply company that supplied many locations across Ontario. They would sell 2.4 to 2.8 million litres of propane a month. The amount of profit would vary according to the price. Mr. Ben-Moshe advised that he was very concerned about safety at the site and as far as he was aware they did not have any safety issues.

[257] A new 30,000 USWG tank was about two weeks away from being finished. Mr. Ben-Moshe was having this installed because a new regulation was created by the TSSA that required him to install it which would mean they would not have to do truck-to-truck transfers of propane. Mr. Ben-Moshe explained that they ran into some difficulties in installing the tank because after they had obtained the approvals for the installation of it it was already winter and they couldn't dig into the ground because it was frozen. He advised that Mr. Heyworth had called him approximately two weeks before the explosion to get an update as to when he could come to inspect the tank. Mr. Ben-Moshe advised him that it wasn't finished.

[258] The two 2,000 USWG tanks had been moved to a new location to allow the 30,000 USWG tank to be placed where they had been but Mr. Ben-Moshe did not know exactly when that was done or if they had been inspected after they were moved. While they waited for the larger tank to be installed and inspected they continued to conduct truck-to-truck transfers of propane. The trucks would be driven to the most "empty place, or the most far place" to conduct the truck-to-truck transfer.

[259] Mr. Ben-Moshe was asked "So, so did the TSSA give you, did they come to you and say okay you're putting in the big tank we're going to give you a temporary permit to do the transfer truck, truck to truck." Mr. Ben-Moshe responded by saying "There's no temporary permit, you see, our, our property was, our property, we, we pay the lease before this ah, whatever regulation

or, or not regulation, exactly I'm not sure (inaudible word). So, so it's either that we, we cease our operation or something like this, or that we, we put a thirty-thousand gallon and then we start to work from there. So it was a no brainier [sic] for us to put a thirty-thousand, if the City would allow. So it all depends if the City wouldn't allow we would put maybe a, we had discussion to put the bulk head between the trailer, to do something else. But because the City has allowed us to put a thirty-thousand gallon, we said okay let's put a thirty-thousand gallon. You know it's going to take time, everybody knew it's going to take time and it's, again it's not up to us because you have to wait for the guy to manufacture it and he was delay [sic], you have to, to wait for Rob to install it, you have to wait for electrician, you have to order the parts, you have to, million things which is not in our control right. But again yeah, we, we, we, we made the investment to make sure that everybody is ah you know for the benefit of everybody".

[260] Mr. Ben-Moshe advised that Mr. Saini would work fuelling taxis with propane during the weekend evenings. The bulk propane end of the business at 54 Murray Road only operated during the week in the summer. Mr. Ben-Moshe advised that Mr. Saini had been trained; however, he could not recall who had trained him and the records in the office at the site had been destroyed. Mr. Ben-Moshe was very emotional at the end of the interview. It was clear that this incident has taken a great toll on him emotionally.

[261] Mr. Ben-Moshe also provided a statement on August 21, 2008 at 2:15 p.m. to Mr. Buhlman and Ms. Bunker 130 King St. West, 15th Floor. This statement was reduced to writing and was signed by Mr. Ben-Moshe. It reads as follows:

My name is Shay Ben-Moshe and I am the operations manager and a part owner of Sunrise Propane. Hard to tell the exact number but I had approximately 20-25 years working at Sunrise Propane. There were maybe 8 drivers, 6-7 guys working in yard, 4 salesman and about 5 in the office/dispatch. The drivers would go long haul to Sarnia and back and deliver propane to GTA area and surrounding area. The facility guys would fill propane cylinders, filled cylinders for forklifts, food caters, construction heaters, we were more busy in winter than in summer. The guys would also fill up BBQ cylinders, limos and taxis. Typically there would only be one guy on site to fill the taxis and BBQ cylinders. The sales people were usually on the road and the office did paperwork and dispatch.

Yes, Parminder Singh Saini was employed by Sunrise Propane. He was scheduled to work the night of the explosion. I have not heard from him since. Parminder was a part time worker. He was with Sunrise Propane for about 5 months. Parminder's job was to fill up taxis, only taxis. I am aware of the propane training requirements of the job. Sunrise has 3 trainers, maybe Mike Martin trained Parminder. Either myself, Mike Martin, the main trainer or Brent McIntyre would do training. I don't remember training Parminder, I spoke with Mike Martin, he thinks he did but he is not sure.

I have no documentation regarding any training records. Everything I had was at the office and now it is gone. I had everything, training, licence, policies, procedures everything was in place like it should be and now it is gone. I am trying to

get some of it back from people who have copies but it is hard. We had a Joint Health and Safety Committee in place, myself, Brent and Gary Mistlefsky were on it. We would discuss things daily, not sure if members got certification training, not sure what that is, if a driver is hired Gary does it. I do hiring for the yard or Malik does the hiring. I did not hire Parminder. Malik brought him to work for us as I recall. I was not involved in the hiring process or paperwork for Parminder. I only saw Parminder a few times, hi, bye, nothing beyond that I had all required licenses from TSSA for drivers, propane filling guys and in the plant. We are licensed as a plant. I need to see wording on license to tell you what that means.

Sunrise Propane has been operating at the site for about 4 years. We opened in August 2004. We were in process of final installation of 30,000 US WG propane tank. The tank was designed by John Keys. He is an engineer; he designed everything you see at the site. Right from the beginning, he got zoning from the city, everything, he designed everything, he supervised the construction. Mr. McCullough did the construction work for Sunrise. We were installing the new tank because the TSSA required everybody to have a permanent tank equal to or larger than the largest tanker.

The installation of the new tank started in the fall of 2007. It was a cold winter and we were not able to dig to do the electrical connections. The tank was waiting for final inspection from the TSSA. The engineer got approval from the city; it was not full at the time of the explosion. Don Hayward [sic] was senior Inspector from TSSA, he was on site maybe one to one and a half months before the explosion. Discount Propane has nothing to do with me or Sunrise. It is run by Gary, he is a customer of mine, he owes me money, Gary is also a dispatcher for Sunrise.

I, Shay Ben-Moshe, have provided the information contained in this statement freely and without threat, inducement, coercion or intimidation. I have read the entire statement and agree that the information contained in the entire statement is an accurate account of the facts and details related to the explosion that occurred on Sunday August 10, 2008 at 54 Murray Road at the Sunrise Propane depot.

Statement of Valery Belahov

[262] Mr. Belahov was interviewed on September 30, 2010 by two police officers, Detective Constable Hunter Smith and Detective Constable Michelle Powell, and his statement was admitted into evidence on consent. The interview was video-recorded.

[263] Mr. Belahov has been a co-owner of Sunrise Propane since its inception in 1996 along with his brother Leon Belahov and Mr. Ben-Moshe. Mr. Ben-Moshe is married to the sister of the Belahov brothers. Mr. Valery Belahov did not have any involvement in the day-to-day operation of the company. He would speak with Mr. Ben-Moshe approximately once every week or two weeks about how the business was going and would visit the site on rare occasions. The business started off with a gas station at Wilson Avenue and Keele Street in the City of Toronto

which sold gas and propane. They gradually increased the number of retail sites they leased and operated.

[264] Mr. Belahov's brother Leon had even less involvement with the day-to-day operations of the business. According to Mr. Valery Belahov, Leon Belahov had had nothing to do with the operation of Sunrise Propane for a few years. At the time of the incident Leon Belahov had been in Panama for approximately one year and had only returned to Canada for a few visits.

[265] As far as Mr. Belahov was aware the propane side of the business involved distributing it to gas stations and filling cylinders for businesses that needed them in order to operate fork-lifts. Mr. Belahov did not have any concerns about safety issues at the plant. Mr. Belahov indicated that the business had been doing well and as far as he was aware they did not owe a lot of money to creditors.

[266] All of the paperwork for the company was kept in the office at 54 Murray Road and it was all destroyed during the explosion. In terms of training Mr. Belahov indicated that Mike Martin was an independent contractor that they hired to train people that worked for them.

[267] Mr. Belahov found out about the explosion on the same day when he was on his way to the airport.

[268] Three documents were filed in reply on consent. The documents consist of a company profile report, a business names report for GM Petroleum and a list of current business names for the numbered company that was GM Petroleum. (Ex. 52 (a) (b) and (c).

The Occupational Health and Safety Charges – Information #05001902

[269] The first count on the information put before the court by the Ministry of Labour with respect to charges under the *Occupational Health and Safety Act* R.S.S. 1990,c.0.1 as amended (OHSA) requires a determination as to whether or not Sunrise Propane Energy Group Inc. failed to provide information, instruction, and/or supervision to the deceased worker on safe work practices and recognition of hazards associated with propane storage, dispensing and handling, and on appropriate emergency response to propane leaks contrary to section 25(2)(h) of the *Act*.

[270] The second count against Sunrise Propane Energy Group Inc. refers to the movement of the two 2,000 USWG tanks to make way for the 30,000 USWG tank and charges that by doing so the defendants failed as an employer to take every precaution reasonable in the circumstances for the protection of a worker at a workplace contrary to section 25(2)(h) of the OHSA.

Position of the Parties

[271] All parties agree that the charges before the court are strict liability offences, as set out in the seminal decision of *R. v. Sault Ste. Marie (City)*, [1978] 40 C.C.C. (2nd) 353. The burden of

proof is upon the Crown to prove the *actus reus* on the criminal standard. If the Crown succeeds in proving the charges beyond a reasonable doubt the burden shifts to the defence to show on a balance of probabilities that they have shown reasonable care or that there was a mistake of fact.

Position of the Crown

[272] The Crown submits that the OHSA is public welfare legislation as the purpose of the Act is to ensure the provision of a minimum level of health and safety in the workplace. The Crown relies on *R v. Ellis Don Ltd.* (1990), 1 O.R. (3d) 193, at 202, 210-1, 215-6 (C.A.); rev'd (1992), 7 O. R. (3d) 320 (S.C.C.), *R v. Timminco Ltd.* (2001), 153 C.C.C. (3d) 521 at p. 528 (Ont. C.A.), *Ontario (Ministry of Labour) v. Hamilton (City)* (2002), 58 O.R. (3d) 37 at 43-44 (C.A.), *Ontario (Ministry of Labour) v. United Independent Operators Ltd.* (2011), 104 O.R. (3d) 1 at 8, 14 (C.A.) and *R. v. Brampton Brick Ltd.* (2004), 189 O.A.C. 44, at 51 (C.A.) for the proposition that when looking at public welfare legislation the provisions of the *Act* involved should be interpreted and applied in a manner consonant with the broad purpose of the legislation.

[273] The Crown points to section 25 of the OHSA which sets out a number of specified responsibilities of an employer. Section 25 reads as follows;

25. (1) An employer shall ensure that,

- (a) the equipment, materials and protective devices as prescribed are provided;
- (b) the equipment, materials and protective devices provided by the employer are maintained in good condition;
- (c) the measures and procedures prescribed are carried out in the workplace;
- (d) the equipment, materials and protective devices provided by the employer are used as prescribed; and
- (e) a building, structure, or any part thereof, or any other part of a workplace, whether temporary or permanent, is capable of supporting any loads that may be applied to it,
 - (i) as determined by the applicable design requirements established under the version of the Building Code that was in force at the time of its construction,
 - (ii) in accordance with such other requirements as may be prescribed, or
 - (iii) in accordance with good engineering practice, if subclauses (i) and (ii) do not apply. R.S.O. 1990, c. O.1, s. 25 (1); 2011, c. 11, s. 9.

Idem

(2) Without limiting the strict duty imposed by subsection (1), an employer shall,

- (a) provide information, instruction and supervision to a worker to protect the health or safety of the worker;
- (b) in a medical emergency for the purpose of diagnosis or treatment, provide, upon request, information in the possession of the employer, including confidential business information, to a legally qualified medical practitioner and to such other persons as may be prescribed;
- (c) when appointing a supervisor, appoint a competent person;
- (d) acquaint a worker or a person in authority over a worker with any hazard in the work and in the handling, storage, use, disposal and transport of any article, device, equipment or a biological, chemical or physical agent;

- (e) afford assistance and co-operation to a committee and a health and safety representative in the carrying out by the committee and the health and safety representative of any of their functions;
- (f) only employ in or about a workplace a person over such age as may be prescribed;
- (g) not knowingly permit a person who is under such age as may be prescribed to be in or about a workplace;
- (h) take every precaution reasonable in the circumstances for the protection of a worker;
- (i) post, in the workplace, a copy of this Act and any explanatory material prepared by the Ministry, both in English and the majority language of the workplace, outlining the rights, responsibilities and duties of workers;
- (j) prepare and review at least annually a written occupational health and safety policy and develop and maintain a program to implement that policy;
- (k) post at a conspicuous location in the workplace a copy of the occupational health and safety policy;
- (l) provide to the committee or to a health and safety representative the results of a report respecting occupational health and safety that is in the employer's possession and, if that report is in writing, a copy of the portions of the report that concern occupational health and safety; and
- (m) advise workers of the results of a report referred to in clause (l) and, if the report is in writing, make available to them on request copies of the portions of the report that concern occupational health and safety. R.S.O. 1990, c. O.1, s. 25 (2).

Idem

(3) For the purposes of clause (2)(c), an employer may appoint himself or herself as a supervisor where the employer is a competent person. R.S.O. 1990, c. O.1, s. 25 (3).

Same

(3.1) Any explanatory material referred to under clause (2) (i) may be published as part of the poster required under section 2 of the *Employment Standards Act, 2000*. 2009, c. 23, s. 2.

Idem

(4) Clause (2) (j) does not apply with respect to a workplace at which five or fewer workers are regularly employed. R.S.O. 1990, c. O.1, s. 25 (4); 2011, c. 1, Sched. 7, s. 2 (2).

[274] The Crown submits that formal averments that must be proved are the following:

- Identity of the corporate accused;
- The location of the workplace;
- The date of the incident in respect of which the training/supervision deficiency is alleged;
- That the accused was an “employer” as defined in the OHSA;
- The identity of the deceased worker; and
- That the deceased was a “worker” as defined in the OHSA.

[275] The position of the Crown is that the formal averments have been proven by the agreed statement of facts or by corporate exhibits filed.

[276] The substantive averment to be proved, the Crown submits, is that the accused failed to provide information, instruction, and supervision to the deceased worker on safe work practices and recognition of hazards associated with propane storage, dispensing and handling, and on appropriate emergency response to propane leaks. The Crown points out that this means that the

defendants were required to provide the training themselves and cannot rely on an assertion that he may have been trained elsewhere.

[277] Counsel for the Ministry of Labour, Mr. Wilson, points out that the defence seems to be taking the position that the Crown has to disprove that the deceased was trained by calling virtually every training service provider in the province and asking them all if they trained Mr. Saini. Mr. Wilson submits that count one is cast in such a way that what has to be proved is that Sunrise Propane failed in its obligation under s. 25(2)(a) to provide information, instruction and training to Mr. Saini.

[278] Further, the Crown submits that it does not have to prove a causal link between the lack of information, instruction and supervision and the death of the worker. All that is required is a failure to provide any one of the three, it is then up to the defence to prove, on a balance of probabilities, either that they took all reasonable care or, that they were mistaken about an issue of fact that would otherwise give them a defence.

[279] The Crown relies on the decision in *R. v. Wyssen* (1992), 10 O.R. (3d) 193 (Ont. C.A.), at para.198 where the court discusses how all encompassing the responsibility for safety is with respect to employers and the fact that this responsibility cannot be contracted;

Here the definition of "employer" must be considered in context with the enforcement provisions in s. 14(1) and (2). These underline the intention of the legislature to make an "employer" responsible for compliance with the Act and Regulations. Section 14(1) imposes on an employer what s. 14(2) properly describes as a "strict duty". An "employer" is obliged by s. 14(1) to "ensure" that the "measures and procedures" prescribed by the Regulations are carried out in the "workplace". The relevant definition of "ensure" in the Shorter Oxford English Dictionary, (3rd ed.) is "make certain". Section 14(1), therefore, puts an "employer" virtually in the position of an insurer who must make certain that the prescribed regulations for safety in the workplace have been complied with before work is undertaken by either employees or independent contractors.

The duty imposed by s. 14(2)(g) is even more sweeping, requiring an employer "to take every precaution reasonable in the circumstances for the protection of a worker". The duties imposed on an "employer" by s. 14(1) and (2) are undeniably strict and, in my opinion, non-delegable. The legislature clearly intended to make an "employer" responsible for safety in the "workplace". The employer's duty under the Act and Regulations cannot be evaded by contracting out performance of the work to independent contractors.

[280] In the Crown's submission this Ontario Court of Appeal decision directs that an employer is an insurer, or a guarantor, of safety in the workplace and cannot relieve itself of responsibility by saying that someone else was responsible for deficiencies when the statute assigns specific duties for the employer to carry out.

[281] Mr. Wilson also referred to the decisions of *R. v. Strucform International Ltd.* [1992], O.J. No. 1711 (Gen. Div.) and *R. v. Campbell*, [2004] O.J. No. 129 (C.J.);aff'd (unreported, February 24, 2006. S.C.J.) In *Strucform* a scaffold was not properly erected and an employee fell and was injured. There were multiple employers involved in the construction of the structure. The employer argued that there was no evidence to show that it knew that the scaffold was improperly built. At page 6 of that decision the court said;

The case law is clear that one employer cannot point a finger at another employer who might be closer to the situation. Every employer has a duty to see that the workplace is safe. And in the complexity of construction it is important that every employer use knowledge, due diligence, etc., to ensure that the workplace is safe. An employer is not entitled to say it is someone else's responsibility.

[282] In *Campbell* an employee cut down a tree that fell into an energized power line and then onto another employee resulting in severe burns which caused the need for the amputation of both legs, his right arm and shoulder and one finger of his left hand. The victim had not been provided with any information, instruction or supervision regarding work near energized power lines by the employer. In that case the court also found at para. 71 that the "finger pointing" defence does not provide a valid defence (unless it fits a successful due diligence defence). Liability in the workplace is joint and several. The misconduct of one participant in the workplace does not exonerate the misconduct of another participant. Each participant must be considered separately to determine that participant's compliance with duties. *R. v. Stelco*, [1989] O.J. No. 3122, 1 C.O.H.S.C. 76 (Ont. Prov. Ct.).

[283] The Crown also relies on the cases *Ontario (Ministry of Labour) v. Dofasco Inc.* (2007) (2007), 230 C.C.C. (3d) 280m at 299 (Ont.C.A.); leave to S.C.C. refused [2008] S.C.C.A. No. 24 and *R. v. Spanway Buildings Limited* (unreported, April 3, 1986 Ont.Prov. Ct.) for the submission that mistakes, carelessness, recklessness, or even negligent acts of a worker do not afford a defence to an employer who has not complied with the requirements of the statute regarding safety in the workplace.

[284] In the Crown's submission the requirement in section 25(2)(a) for the provision of information, instruction and supervision to a worker is for the purpose of protecting the health and safety of the worker and requires a sufficiency component as well as a relevance component. This training must be specific to ensuring the health of the employee and not generic training. The Crown relies on *R. v. Falconbridge Limited* (unreported, May 6, 2004, at para. 3, nt. C.J.); affd (unreported, August 28, 2006 S.C.J.) to illustrate this point. In *Falconbridge* the court found that the employer had to provide training specific to that workplace.

[285] The Crown also submits that words "information, instruction and supervision" in section 25(2)(a) are conjunctive and the employer must provide all three. A failure to provide any one of them is sufficient to ground a conviction.

[286] The Crown points out that the relevant evidence with respect to this count is as follows;

- The deceased had been working part-time on weekend evenings at Sunrise Propane for 4 to 5 ½ months filling automobiles with propane.
- Sunrise Propane used three trainers, Shay Ben-Moshe, Mike Martin and Brent McIntyre.
- Mr. Ben-Moshe did not train the deceased.
- Brent McIntyre testified that he did not train the deceased.

- Mike Martin testified that he probably did not train the deceased. His practice was to have each student print their own name on the form and then he would provide the OPA with all the documentation required with respect to the students he had trained
- The OPA were required to keep ROTs and Ms. Collingridge, who was in charge of the record keeping, did a thorough search of the records and did not locate a ROT for Parminder Saini
- Mr. Saini worked alone during his shifts unless a truck driver happened to be present which meant that he was the only person available to respond to an emergency.

[287] If I accept this evidence the Crown's position is that the *actus reus* has been proved beyond a reasonable doubt.

[288] Mr. Wilson, on behalf of the Crown, also submitted that the court has to be careful not to engage in the kind of speculation that counsel for the defence suggests and relies on the decision in *R. v. Wild* [1971] S.C.R. 101 (S.C.C.) for the principle that reasonable doubt cannot be based on speculation. If there is another inference to be made it must be grounded in the evidence.

[289] In the *Wild* decision the trial judge was considering a circumstantial case of criminal negligence causing death. The accused and friends had been out drinking excessive amounts of alcohol and then all four got into the accused's vehicle which was being driven at 70 to 80 k.p.h before crashing into a metal pole. Three of the passengers were killed as a result of the crash. The accused was found pinned under the steering wheel, which was badly bent. His left leg was to the left of the steering column and he was pinned such that a hydraulic jack was required to release him from the vehicle.

[290] The accused claimed that he could not remember anything about what happened after they left the bar. The trial judge acquitted the accused as he felt that the Crown had not proven that he was the driver beyond a reasonable doubt and said "while it is probable he was driving, there are these factors which make it, although not likely, but possible that someone else was at the wheel."

[291] The Supreme Court of Canada found that the trial judge had misapplied the rule in Hodge's case regarding circumstantial evidence in that he based his finding of reasonable doubt on non-existent evidence. The court said the following at page 8 of the decision.

The vital circumstance in this case, which is barely mentioned by the learned trial judge, is that the person who was found behind the wheel of the car after the accident was pinned in that position so completely that he could only be released by the use of an hydraulic jack. The pinning in that position must have occurred immediately upon the violent impact which occurred when the car struck the power pole. The theory propounded on behalf of the appellant involved the proposition that, following that violent impact, with the car turning in a clockwise direction (which would result in the passengers' being subject to a force carrying them toward their right, as illustrated by the position of two of the bodies after the accident), the appellant was hurled out of the back seat into the driver's position on the left-hand side of the front seat, that he landed there in a sitting position, with his left leg to the left of the steering column, and that then, and only then, he was pinned into position.

In his reasons, the learned trial judge says that:

What can happen to the occupants of a vehicle which comes to such a sudden stop, is, I think, a matter for conjecture.

On the facts of this case, however, the issue to be determined was whether, in the light of the appellant's having been pinned behind the wheel, there was any rational conclusion, on the evidence, other than that the appellant was the driver of the car at the time of the accident. He did not find that there was such a rational conclusion. What he did was to conjecture that the appellant might have been riding as a passenger in the back seat and, if so, might have been thrown into the front seat on impact.

[292] The Crown submits that, similar to the *Wild* decision, it does not have to negate every possibility which might be consistent with the innocence of the accused. The Crown simply has to prove the offence beyond a reasonable doubt on the evidence that has been called. The court cannot speculate in order to create a competing inference. In the Crown's submission there is no evidence at all that documents were created with respect to Mr. Saini and it would be pure speculation to say that something happened to them after they had been placed in the mail, or that someone lost them, or the names had been misspelled.

[293] The Crown also submits that the defence failed to lead any evidence that would be capable of establishing due diligence as there was no evidence that the defendants reasonably believed that Mr. Saini had been trained, no evidence that the defendants had taken all reasonable steps to ensure that he was trained and there was no evidence that he was supervised. The Crown also submits that there was no evidence that Mr. Saini worked in the propane industry prior to working at Sunrise Propane. As in the *Campbell* decision, Mr. Wilson notes that the defendants are not compellable but the decision not to testify about these issues is at their own peril if there is no evidence for the court to assess regarding the defence of due diligence.

[294] The Crown submits that, unlike Mr. Saini, there was abundant evidence that Mr. De Leon was trained and because of his training he recognized the dangerous situation when he observed the vapour cloud, the hissing sound and the bang and turned and ran and saved his own life. In contrast Mr. Saini ran directly into the hazard. The Crown submits that it cannot be known if the deceased would have reacted differently if he had been provided with sufficient information, instruction and supervision. The point of the statutory obligation is to provide the employee with sufficient knowledge to allow him to recognize the hazard and the emergency responses available. In the absence of providing those tools it cannot lie in the mouth of the defence to suggest either that it would not have made a difference had he been properly trained and supervised or that the inappropriateness of the worker's response was his own fault. The Crown also notes that the evidence of Mr. Heyworth was that on November 9, 2006 another employee was working with propane on the property without the required PPO3 ROT. This evidence demonstrates that Mr. Saini's lack of training was not a one-off anomaly.

[295] The Crown did not suggest that there always needs to be an on-site supervisor for an employee who is working a night shift; however, it is the position of the Crown that it would have

been open for the defence to demonstrate on the civil standard that notwithstanding no supervisor being physically present, all reasonable steps had been taken to ensure that the supervision was nevertheless in effect. There was no such evidence of any alternate supervisory arrangements such as availability by telephone or spot checks or any other surrogate means of affording adequate supervision.

[296] Although there was some suggestion that there were video cameras on site, the Crown submits that there was no evidence that those cameras were being used for a supervisory purpose, as opposed to a security purpose. There was also no evidence that the cameras could even capture the kiosk and immediate surrounding area. Therefore, the Crown submits, it cannot be argued that the video cameras were some form of surrogate supervisor.

[297] The Crown referred to the case in *R. v. Cementation Canada Inc.* [2008] O.J. No. 1145 (Ont. C.A.). In that case the employer was charged and convicted with failing to provide information, instruction and supervision to an employee. The Applicant appealed its conviction. The employee was working alone at night and was using a forklift and a chain to make repairs to a large piece of equipment called a “sinking clam”. The employee, Mr. Howe, was seriously injured while working on this piece of equipment. His head was cut and he suffered a broken leg in three places. Mr. Howe testified that he had been instructed to use the forklift to repair the sinking clam. His supervisor, Mr. Colbourne, told him to “use chains if need be or forks”. Mr. Howe testified that Mr. Colbourne did not explain or demonstrate how to set up the clam or flip the clam using the forklift. He also testified that he had not received any job-specific written information or instruction on the day of the incident or throughout his employment.

[298] Mr. Colbourne did not testify at the trial; however, another employee, Mr. Parker, testified that he had told Mr. Howe on Mr. Howe’s first day of work not to take the clam apart while working on the night shift and that he had provided other instructions regarding the procedure for flipping the clam. The parties agreed that Mr. Howe had used forklifts in the past at various jobs but was not certified by Cementation on how to use a forklift at the Red Lake Mine. It was also common ground that Mr. Howe was not being supervised directly.

[299] The trial judge found that the information and instruction provided to Mr. Howe concerning repair work on the clam was not adequate to protect his health and safety and also said that the information that was provided was contradictory. Mr. Parker was not on site when Mr. Colbourne gave Mr. Howe the order to use the forklift and the court found that it was reasonable for Mr. Howe to follow his direction.

[300] The trial judge accepted the evidence of Mr. Parker but found that the supervision available to the night shift employees working alone at that site was vague and indefinite. No evidence was led that the shaft crew leader, whom the accused claimed was supervising Mr. Howe, had any contact that evening with him. The trial judge found that Mr. Howe worked 12-hour shifts with no supervision of any kind. The trial judge also said that the company could have set up,

with minimal time and expense, a method of communication and supervision between employees who worked alone at night.

Justice Cronk noted at para. 29 that,

the level of information, instruction and supervision contemplated by s. 25(2)(a) will vary from case to case, depending on the factual context of the workplace incident in question. At its core, s. 25(2)(a) contemplates information, instruction and supervision that is reasonable in all the circumstances.

And later at para. 31,

Second, the determination of whether an employer has discharged its duty under s. 25(2)(a) is a fact-driven inquiry that depends on an evaluation of the evidence as a whole.

[301] Justice Cronk agreed with the test that the trial judge applied, that is, whether a reasonable person would have foreseen that the information, instruction and supervision provided were insufficient in light of the task and any associated hazard. The appeal was dismissed. The Crown submits that essentially what the court is referring to is the lack of an internal responsibility system. Mr. Wilson submits that the requirement for a supervisory system is what the section is referring to and that the defendants could have developed any number of economical and efficient ways to supervise Mr. Saini and that there is no evidence that anything was done.

[302] Mr. Wilson further submits that the court cannot assume that Mr. Saini had a telephone number to call in the event of an emergency as Mr. De Leon did as there is no evidence of this.

[303] In terms of the due diligence defence Crown relies on *R. v. Raham* (2010), 99 O.R. (3d) 241 (Ont. C.A.) in terms of what the reasonable steps taken by an accused have to refer to. In *Raham* the Court was considering the categorization of a relatively new offence in Ontario of stunt driving. The court discussed the defence of due diligence and at para. 48 as follows;

[48] The due diligence defence relates to the doing of the prohibited act with which the defendant is charged and not to the defendant's conduct in a larger sense. The defendant must show he took reasonable steps to avoid committing the offence charged, not that he or she was acting lawfully in a broader sense: see John Swaiqen, *Regulatory Offences in Canada: Liability & Defences* (Toronto: Carswell, 1992), at pp. 98-100. The point is well made in Kurtzman, at para. 37: "The due diligence defence must relate to the commission of the prohibited act, not some broader notion of acting reasonably" (emphasis in original). Just as a due diligence defence is not made out by acting generally in a reasonable way, it is not necessarily lost by virtue of actions surrounding the prohibited act, legal or illegal, unless those actions establish that the defendant, in committing the prohibited act, failed to take all reasonable care.

[304] Mr. Wilson submits that the evidence led that there was a general atmosphere of safety at 54 Murray Road is not relevant to this charge as the due diligence, as noted in *Raham*, must relate to the prohibited act.

[305] The Crown submits that the decision in *R. v. Gondor* (1981), 62 C.C.C. (2d) 326 (Y.T.C.) sets out what reasonable steps have to be taken by an employer to provide safety in a particular workplace. The *Gondor* decision involved charges under the Games Ordinance of interfering or touching a trap. Mr. Gondor had obtained a licence to drive a cat train on a wilderness road with

a number of traps on it. Many traps were near the road and were damaged by the vehicle. The court was considering the question of reasonable care in a due diligence context. At page 332 of that decision the court set out the following;

Reasonable care implies a scale of caring. The reasonableness of the care is inextricably related to the special circumstances of each case. A variable standard of care is necessary to ensure the requisite flexibility to raise or lower the requirements of care in accord with the special circumstances of each factual setting. The degree of care warranted in each case is principally governed by the following circumstances:

- (a) Gravity of potential harm.
- (b) Alternatives available to the accused.
- (c) Likelihood of harm.
- (d) Degree of knowledge or skill expected of the accused.
- (e) Extent underlying causes of the offence are beyond the control of the accused.

23 (a) *Gravity of potential harm* -- The greater the potential for substantial injury, the greater the degree of care required. The magnitude of potential damage to the environment or to property, business or to the safety of individuals are the primary factors governing the measure of care required.

24 Pressing on with the cat train without moving the traps neither significantly increased the danger to anyone or caused substantial financial losses. The potential gravity of harm in the circumstances of this case does not call for any particularly high standard of care.

25 (b) *Alternatives available to the accused* -- Reasonableness of care is often best measured by comparing what was done against what could have been done. The reasonableness of alternatives the accused knew or ought to have known were available is a primary measure of due diligence. To successfully plead the defence of reasonable care the accused must establish on a balance of probabilities there were no reasonable feasible alternatives that might have avoided or minimized injury to others.

[306] Ultimately, the Court found that Mr. Gondor had taken reasonable steps in all of the circumstances. Mr. Wilson noted that the courts in *R. v. Inco Ltd.*, [2001] O.J. No. 4938 and in *Brampton Brick* adopted the *Gondor* analysis. In *Inco* the defendants were charged with three counts under the OHSA. A worker was killed in an explosion after placing a charge on a large boulder which was detonated by another worker. There was a miscommunication between the victim and another worker who thought the victim had left the blasting area and detonated the charge. The accused was charged with failing to provide information and instruction to workers on the importance of maintaining clear radio communication during a blasting operation among other things.

[307] In considering the offence of due diligence the court quoted *Gondor* and applied the analysis set out in that case. The Court took note of the fact that the business the accused were engaged in was very dangerous and at paragraph 49 said;

I find on the facts of this case that neither Inco Limited nor Mr. Roque acted with a degree of due diligence commensurate with the potential gravity of harm resulting from this business activity. As indicated by the Crown, it is difficult to imagine an employment related circumstance where the dangers are more apparent or more severe and the need for due diligence extremely high and strict. I conclude that the defendants have not satisfied the onus of establishing the defense of due diligence on a balance of probabilities.

[308] In this case Mr. Wilson submits that the standard of care is high, given that the propane business is inherently dangerous and the potential gravity of harm resulting from improper handling is obviously catastrophic.

[309] Further, Mr. Wilson submits that the standard of care is not measured by the low statistical probability of an explosion of this nature occurring. In *Campbell* at paragraphs 82 to 84 Justice Keast makes the point with respect to the tree cutting procedures;

82 It makes no difference that he can cut a tree safely in this fashion ninety-nine out of one hundred times, when the failure to do so on the one hundredth time leads to a significant injury to a fellow employee. This is like the safety harness cases - wherein employees must wear certain harness devices when working on scaffolds at certain heights above the ground. There have been workers that have taken a chance that they won't fall. Perhaps you can do such several times without incident. However, if the time comes that there is a fall, the past history does not mean the failure to wear the harness was a safe practice. The successful history of not falling is of no consolation if there is a fall and death or serious injury takes place. Unlike the safety harness cases, this situation is more serious because of the risk to other employees.

83 The low statistical chance of something going wrong is not how you measure the standard of care. Consideration has to be given to the nature of the consequences of a low statistical chance materializing in an accident. The higher the potential consequences then the lower the tolerance for any cutting method that does not virtually eliminate even a small statistical chance of something going wrong. This is why industry standards call for the utilization of different methods for cutting trees in these circumstances, such as the use of guy wires to virtually guarantee the direction that a tree will fall.

84 The cutting of a tree in these circumstances is not an exact and predictable science. There are a number of variables over which the cutter can lose control. That is what happened to Mr. Campbell. The back cut appeared not to be exact and the wind was probably a factor. Roulette finally caught up with Mr. Campbell.

[310] Therefore the Crown argues that the statistical probability of an explosion of this nature occurring is not a factor to consider.

[311] With respect to foreseeability the Crown submits that the focus is not whether the defendant could have foreseen that a hose would leak, the focus is on whether it was foreseeable that having an untrained worker in a propane yard would place him in serious danger. The Crown relies on the decision in *R. v. Rio Algom Ltd.* (1988), 46 C.C.C. (3d) 242 (Ont. C.A.) That case involved a gate which had been installed at the front of a dump site to prevent mining cars from inadvertently going into the dump area. Over time the gate was damaged and resulted in an overswing to the degree where the gate could swing into the path of a parallel set of rail tracks.

[312] An accident occurred when the gate swung into the path of mining cars on the parallel set of tracks crushing one of the accused's employees to death. It was clear that the company was aware of the damaged gate; however the accused argued that it could not have foreseen this particular type of accident occurring. The Ontario Court of Appeal found that the trial judge had erred and applied the wrong test when he determined that none of the witnesses foresaw "this type of accident happening" and that "no one had foreseen the happening of what happened on September 3rd". At page 250 the court set out the test that the judge should have used;

25 The trial judge, however, appears to have focused his attention on the fact that none of the witnesses foresaw "this type of accident happening" and that "no one had foreseen the happening of what happened on September 3rd". In my view, in purporting to determine whether the respondent had taken the care which a reasonable man might have been expected to have taken in the circumstances, he applied the wrong test. The test which should have been applied was not whether a reasonable man in the circumstances would have foreseen the accident happening in the way that it did happen, but rather whether a reasonable man in the circumstances would have foreseen that an "overswing" of the gate could be dangerous in the circumstances and if so whether the respondent in this case had proven it was not negligent in failing to check the extent of overswing in order to consider and determine whether it created in any way a potential source of danger to employees and in failing to take corrective action to remove the source of danger.

[313] Mistake of fact is another route to a defence of due diligence. In the Crown's submission the mistake of fact that the defendants are suggesting is not made out as the mistake as to a set of facts has to be at the time of the incident and not after. In the Crown's submission there is no evidence that the defendants mistakenly believed that the deceased was trained; therefore, the defendants fail in any assertion that there was due diligence in this manner.

[314] The Crown submits that count one has been proven and that there has been no evidence of due diligence.

[315] With respect to count two the defendants are charged with failing as an employer to take every precaution reasonable in the circumstances for the protection of a worker at a workplace contrary to section 25(2)(h) of the OHSA. For ease of reference I have set out the section.

25. (1) An employer shall ensure that,

- (a) the equipment, materials and protective devices as prescribed are provided;
- (b) the equipment, materials and protective devices provided by the employer are maintained in good condition;
- (c) the measures and procedures prescribed are carried out in the workplace;
- (d) the equipment, materials and protective devices provided by the employer are used as prescribed; and
- (e) a building, structure, or any part thereof, or any other part of a workplace, whether temporary or permanent, is capable of supporting any loads that may be applied to it,
 - (i) as determined by the applicable design requirements established under the version of the Building Code that was in force at the time of its construction,
 - (ii) in accordance with such other requirements as may be prescribed, or
 - (iii) in accordance with good engineering practice, if subclauses (i) and (ii) do not apply. R.S.O. 1990, c. O.1, s. 25 (1); 2011, c. 11, s. 9.

Idem

(2) Without limiting the strict duty imposed by subsection (1), an employer shall,

- (h) take every precaution reasonable in the circumstances for the protection of a worker;

[316] The Crown submits that, although the defence submission is that the charge does not disclose the step that was not taken, that the charge has been sufficiently particularized as it states that the defendants failed to take the reasonable precaution of "ensuring that a propane facility was installed and operated in accordance with regulatory requirements and safe industry practice." The Crown submits that the movement of the two 2,000 USWG tanks were not done with

the approval of the TSSA and that this charge does not have anything to do with the explosion as it would be subject to prosecution even if the explosion had not occurred.

[317] The Crown submits that the evidence was that Mr. Keys would usually handle these types of applications at the behest of his clients and that a suggestion has been made the Mr. Ben-Moshe does not get involved with these applications to move existing equipment or to install new equipment. The Crown refers to the *Wyssen*, case which in no uncertain terms sets out that those responsibilities for safety are not to be delegated. Therefore it is no defence when the defendants say that they were relying on Mr. Keys and Mr. McCullough.

[318] Mr. Wilson points out that there was significant work required to enable this movement of the two 2,000 USWG tanks. The tanks had to be moved 35 - 40 feet and required additional lengths of piping and electrical lines had to be disconnected and reconnected. In addition to this, the location and orientation was now different from that approved of by the TSSA. The TSSA did not have the opportunity to ensure that the required distances to various buildings, geological features, and populations was within approved allowances. It is clear, in the Crown's submission, that compliance with the TSSA application for modification process was a necessary step to ensure safety of the workplace and surrounding area and that this was not done. Given that there can be no delegation of this "reasonable step" the defendants should be found guilty of this count as well.

Position of the Defence re: The Occupational Health and Safety Charges

Information # 05001902

Count One – Failure to provide information, instruction and supervision

[319] Mr. Adler, on behalf of the defendants, takes the position that the Ministry of Labour must prove, beyond a reasonable doubt, that Mr. Saini had not received the information, instruction or supervision that the Crown alleges he ought to have acquired or received by or on the date in question from any party, not just the defendant.

[320] Further it is Mr. Adler's submission that the evidence is that all records of the defendant were destroyed in the fire.

[321] Mr. Adler submits that at the time of the alleged offence there were no legislated standards by which to evaluate any training programs or trainers. Mr. Adler conceded that s. 26(1)(l) of the OHSA as of 2008 did require employers to carry out such training programs as may be prescribed; however, the only training program that had been prescribed in August of 2008 was regulation 780/94 which didn't relate to the issue at hand. For ease of reference I have included the regulation below.

ONTARIO REGULATION 780/94

TRAINING PROGRAMS

Historical version for the period December 16, 1994 to January 25, 2009.

No amendments.

This Regulation is made in English only.

1. (1) The employer is required under clause 26 (1) (l) of the Act to carry out the training programs necessary to enable a committee member to become a certified member, which must be selected in accordance with the policies and guidelines of the Workplace Health and Safety Agency. O. Reg. 780/94, s. 1 (1).

(2) In subsection (1),

“carry out” includes paying for the training. O. Reg. 780/94, s. 1 (2).

[322] Mr. Adler notes that the wording of section 25(2)(a) on the OHSA is very precise and specific and does not deal with training. It reads as follows;

25. (1) An employer shall ensure that,

Idem

(2) Without limiting the strict duty imposed by subsection (1), an employer shall,

(a) provide information, instruction and supervision to a worker to protect the health or safety of the worker;

In contrast Mr. Adler submits that section 26(1)(l) does deal with training. The section reads,

26. (1) In addition to the duties imposed by section 25, an employer shall,

(l) carry out such training programs for workers, supervisors and committee members as may be prescribed.

[323] Therefore, he submits, that the rules of statutory interpretation dictate that one cannot read in training into section 25. In Mr. Adler’s view the issue as framed by the Crown in count one of the information turns not on training, but on information, instruction and supervision regarding propane hazards.

[324] The defendants point to the following evidence, in relation to the PP03 training, in support of their submission that the Crown has failed to prove the actus reus of the offence beyond a reasonable doubt;

- a) it is personal and belongs to the holder,
- b) it is portable and can be taken by the holder from one employer to another,
- c) it can be obtained from any trainer, and the trainer is not obligated to keep records of who he trained,

- d) the PPO3 certificate can be issued by a myriad of groups, the OPA and CPA being just examples of issuing bodies,
- e) there is no over-all centralized agency that was required to keep a database of who issued PPO3 certificates to whom,
- f) there were difficulties and issues in the issuing and record-keeping processes, such as inaccurate names, inordinate delays, etc.,
- g) there was no legal requirement for an employer to specifically train and issue a PPO3 certificate to an employee, due to its personal and portable characteristic,
- h) as long as the employee had such a certificate he was permitted to do the work specified by that certificate,
- i) the Crown was unable to prove that Mr. Saini had not obtained a PPO3 certificate, simply because, apart from the OPA, no effort was made by them to canvass other certificate-issuers, despite the legal onus on the Crown to prove that he wasn't certified,
- j) PPO3 certificate or not, the Crown has failed to prove that Sunrise did not specifically provide the information, instruction or supervision to Mr. Saini that was alleged to have been required to be provided on the day alleged,
- k) the PPO3 training, like all other forms of information, instruction and supervision, stresses safety, but no safety training program can ever be perfect— and, ultimately, people react the way they do, despite or in spite of what they had been taught.

[325] Mr. Adler also takes the position that if the Crown's hypothesis is that the PP03 card is irrelevant and that it is the "on-site, hands-on" information that is important, then there is ample evidence of how seriously the defendants regarded safety at the workplace through the evidence of Messrs. De Leon, Martin, McIntyre and McCullough who all said that safety at the 54 Murray Road site was paramount. Mr. Adler submits that the evidence of Mr. DeLeon speaks to everything that the Crown says was not done and proves that the defendants did do everything that was required of them.

[326] Mr. Adler pointed out that there was no evidence of any prior complaints or problems relating to Mr. Saini and that this can be used as evidence that he was properly informed, instructed and/or supervised. He added that there was no evidence that Mr. Saini was treated any differently than Mr. De Leon with respect to training and that there was no evidence of a lack of training.

[327] With respect to the issue of supervision Mr. Adler submits that I have to consider whether or not having a supervisor present would increase the safety of the worksite. He submits that there is no evidence that on-site supervision would have provided a safer worksite given that there was no evidence of any prior problems during the night and this was a completely unforeseen event. Further, he submits that the Crown has not shown that there was a legal obligation, regulatory regime, or industry accepted practice that required the defendants to have a night supervisor for Mr. Saini.

[328] Mr. Adler submits that the Crown has not accounted for the “human factor” and points to the fact that Mr. De Leon panicked, despite the extensive training he had in handling propane. He also notes that Mr. De Leon did tell the deceased to flee after the explosions started and instead Mr. Saini ran towards them.

[329] Mr. Adler submits that this type of explosion was not foreseeable as it was unprecedented, apart from the incident Ms. Cooke had referred to in New Jersey and the Tacoma incident referred to by Mr. Bennett. He suggests that the evidence of Messrs. Bittles, De Leon and Bennett in combination with the videos make it obvious that this unusual event unfolded very quickly.

[330] Mr. Adler referred to *Ontario (Ministry of Labour) v. 1126449 Ontario Inc (c.o.b. KD Farm Services)* [2011] O.J. No. 6255(C.J.). In that case a worker had been crushed to death after being run over by a trailer while he was in the process of catching chickens. The employer was charged under section 25 of the OHSA of failing to provide information, instruction and supervision to a worker along with two other charges.

[331] Mr. Adler pointed to para. 65 of that decision which outlined what the Crown needed to prove in order to obtain a conviction. The paragraph reads as follows:

65 In order to prove counts one and two, the Crown needs to satisfy the Court that it was the lack of the defendant's provision of appropriate information, instruction and supervision and the lack of its having in place a procedure for individuals working near vehicles that created the hazardous situation.

[332] Mr. Adler submits that the Crown has failed to prove this lack of appropriate information, instruction and supervision in this case.

[333] The Court in *K.D. Farms* accepted the evidence of the witnesses who testified that to their knowledge there had never been a similar incident within the industry. The Court also noted that “while the Crown's suggestion that having a supervisor present as well as one or two spotters to observe any moving of the truck might theoretically increase the safety of the worksite, there is no concrete evidence that it would, in fact, do so.” The Court accepted that the company had provided verbal on-the-job information, instruction and supervision and dismissed that count.

[334] Mr. Adler submits that this type of explosion was not foreseeable and that no information or instruction or supervision could have been given to the deceased, or anyone, as to this specific hazard because it came about because of a defective manufacturing process.

[335] Finally, Mr. Adler submits that even if I find that the company did not impart the necessary information and instruction and supervision about all of the foreseeable hazards of propane that due diligence defence has been made out.

Count 2 – Failure to take reasonable precaution of ensuring that a propane facility was installed and operated in accordance with regulatory requirements and safe industry practice

[336] Mr. Adler submits that the Crown has failed to prove this charge because the reorientation of the two 2,000 USWG tanks played no role in the explosion therefore there is no evidence that the reorientation resulted in any lack of protection of a worker at the workplace. This evidence comes from Mr. Bennett who prepared the report for the Office of the Fire Marshal. Mr. Bennett testified that it was the failure of the hose or pump bypass which caused the leak.

[337] Mr. Adler also submits that the Crown has failed to introduce any evidence as to what constitutes safe industry practice and that the evidence from many of the witnesses was that Sunrise Propane was always a safety-first facility and no short-cuts were taken when it came to safety.

[338] Further, Mr. Adler also submits that the defendants cannot be faulted as they were relying on trusted professionals whom had complied with all industry and regulatory requirements in the past. He submits that the defendants had done everything they could because they had left the matter in the hands of the experts who had the necessary experience and expertise to do the work and, in any event, Mr. Keys said that the location where the two tanks were placed did comply with the setback location.

[339] In support of this submission Mr. Adler relies on the decision in *R. v. Bata Industries Ltd.* [1992] O.J. No. 236 (O.C.J.). In this case the defendant company was charged with a number of offences under the Ontario *Water Resources Act* as well as the Ontario *Environmental Protection Act* as there was a large chemical waste barrel storage site and chemicals were discharged into the environment. There was an issue with respect to Director liability for chemicals leaking into the ground from rusty containers. In considering the issue Justice Ormston said at para. 134 that “the directors are responsible for reviewing the Environmental Compliance Reports provided by the officers of the corporation, but are justified in placing reasonable reliance on reports provided to them by corporate officers, consultants, counsel or other informed parties.”

[340] Mr. Adler relies on the decision in *R. v. Canada Brick Ltd.* (2004), with respect to the defence of no reasonable foreseeability of danger resulting from the act, in this case the reorienting of the tanks.

[341] In *Canada Brick* a worker was permanently disabled after a piece of machinery crushed him. The company was charged with failing to take reasonable precaution for the safety of the worker. At paragraph 137 Justice Hill discusses the defence of due diligence and foreseeability. It reads as follows:

137 Turning first to the foreseeability issue, subjective foresight of a defendant respecting a hazard is a factor for consideration in a due care defence presentation but not to the exclusion of the overarching approach of an objective assessment of the reasonableness of the foresight

of circumstances of harm or a potential accident. "Negligence ... measures the conduct of the accused on the basis of an objective standard, irrespective of the accused's subjective mental state": *R. v. Wholesale Travel Group Inc.*, [1991] 3 S.C.R. 154, 67 C.C.C. (3d) 193 (S.C.C.), at p. 252 per Cory J. In other words, liability exists where a defendant knew, or ought to have known, of the dangerous work conditions. In *R. v. Rio Algom Ltd.*, at pages 250-1, the court stated:

- I am not prepared to say that every failure to comply with the provisions s. 14(1)(b) [s. 25(1)] of the Occupational Health and Safety Act will result in a conviction thereunder. In applying the principle espoused by Dickson J. in Chapin quoted above, it is my view that the reasonable foreseeability of danger resulting from an act or omission which constitutes prima facie proof of the offence alleged is one of the factors to be considered in deciding whether an accused took all the care which a reasonable man might have been expected to take in the circumstances. If that is what the trial judge purported to do he was correct in so doing.
- The trial judge, however, appears to have focused his attention on the fact that none of the witnesses foresaw "this type of accident happening" and that "no one had foreseen the happening of what happened on September 3rd". In my view, in purporting to determine whether the respondent had taken the care which a reasonable man might have been expected to have taken in the circumstances, he applied the wrong test. The test which should have been applied was not whether a reasonable man in the circumstances would have foreseen the accident happening in the way that it did happen, but rather whether a reasonable man in the circumstances would have foreseen that an "overswing" of the gate could be dangerous in the circumstances and if so whether the respondent in this case had proven it was not negligent in failing to check the extent of overswing in order to consider and determine whether it created in any way a potential source of danger to employees and in failing to take corrective action to remove the source of danger.
- I am further of the view that the trial judge erred in fact and in law in reaching his conclusion that the accident which happened was not reasonably foreseeable by a reasonable man on the ground the 11 witnesses had not foreseen this type of accident happening and accordingly there was no negligence attributable to the respondent.

[342] Mr. Adler submits that the corporate defendant did all that it could do by hiring the two people who were the best in the business and had always complied in the past.

[343] With respect to the likelihood of harm, Mr. Adler submits that there was no evidence of what the potential degree of harm was.

[344] Mr. Adler submitted that the cases that the Crown was referring to were dealing with situations where the employer knew that there was a problem and in the case before the court there was no knowledge as to what the problem was.

Analysis – Occupational Health and Safety Charges Information # 05001902

Count 1- Failing to provide appropriate information, instruction and supervision to Mr. Saini regarding the safe work practices and recognition of hazards associated with propane storage, dispensing and handling, and on appropriate emergency response to propane leaks.

[345] In terms of the formal averments of the charge it is common ground that those have been proven by the agreed statement of facts that was filed with the court. The issue here is what the Crown has to prove with respect to the substantive averment of the *actus reus*.

[346] In *R. v. Sault Ste. Marie*, (1978) 40 C.C.C.(2d) 353 (S.C.C.) the Supreme Court of Canada set out the approach regarding strict liability offences such as these at page 374 as follows:

Offences in which there is no necessity for the prosecution to prove the existence of mens rea; the doing of the prohibited act prima facie imports the offence, leaving it open to the accused to avoid liability by proving that he took all reasonable care. This involves consideration of what a reasonable man would have done in the circumstances. The defence will be available if the accused reasonably believed in a mistaken set of facts which, if true, would render the act or omission innocent, or if he took all reasonable steps to avoid the particular event. These offences may properly be called offences of strict liability. Mr. Justice Estey so referred to them in Hickey's case.

[347] At page 373 of the decision the Court explained why it was necessary to relieve the Crown of the burden of proving mens rea in cases such as this.

In a normal case, the accused alone will have knowledge of what he has done to avoid the breach and it is not improper to expect him to come forward with the evidence of due diligence. This is particularly so when it is alleged, for example, that pollution was caused by the activities of a large and complex corporation. Equally, there is nothing wrong with rejecting absolute liability and admitting the defence of reasonable care.

[348] I agree with the position of the Crown that the actus reus to be proven is that the defendant failed to provide information, instruction and supervision to the deceased. Justice Libman dealt with the issue in a precise and succinct manner in his authoritative text. *Libman on Regulatory Offences in Canada*. Loose-leaf (Salt Spring Island, B.C.: Earls court Legal Press, 2002) regarding the defence of due diligence at page 7-2 where he writes:

It is not enough just to raise a reasonable doubt when asserting the due diligence defence. The Crown cannot be required to disprove due diligence beyond a reasonable doubt if regulatory schemes are to operate effectively. To put it another way, the burden of an accused to raise a reasonable doubt "is not as great" as the burden of an accused in a strict liability offence, to establish due diligence by a balance of probabilities.

Since the burden of proof rests upon the accused, he or she must establish on the balance of probabilities by credible evidence the defence of mistake of fact or the absence of negligence; "whether the defence met that burden is a matter for the trial judge".

There is no onus on the prosecution to establish negligence on the part of the defendant.

[349] In other words the Crown does not have to prove a negative by showing that the deceased was not provided with information, instruction or supervision regarding the safe handling of propane by anyone. The charge in the information itself clearly states that it is Sunrise Property Energy Group Inc. that failed to provide information, instruction and supervision to Mr. Saini regarding the safe handling of propane. When one considers the reason for placing the burden of establishing due diligence on defendants it makes sense as the corporate defendant in this case is expected to have the knowledge of what was done at the workplace.

[350] The defendant bears the burden of establishing, on a balance of probabilities that as part of it due diligence defence information, instruction and supervision was provided to the deceased on a balance of probabilities. The level of responsibility to provide the information, instruction and supervision is very high and non-delegable and this accords with the intent of health and safety legislation, to place the obligation on the defendant for the purposes of protecting its workers. As stated in *Wyssen*,

The duty imposed by s. 14(2)(g) is even more sweeping, requiring an employer "to take every precaution reasonable in the circumstances for the protection of a worker". The duties imposed on an "employer" by s. 14(1) and (2) are undeniably strict and, in my opinion, non-delegable. The legislature clearly intended to make an "employer" responsible for safety in the "workplace". The employer's duty under the Act and Regulations cannot be evaded by contracting out performance of the work to independent contractors. For these reasons, I conclude, with respect, that the courts below erred in holding that the Act did not apply to the respondent because he had employed an independent contractor. A new trial will be required to determine whether in fact the Act and the Regulations were breached in the performance of the work of window-cleaning by the deceased.

Also see, *Campbell*, *Strucform* and *Dofasco*.

[351] As noted in the *Inco* and *Gondor* decisions the standard of care expected of the defendant is extremely high and strict given the nature of the propane business. Propane is, of course, a very dangerous substance that can cause catastrophic damage when not handled properly. Therefore the potential for substantial injury or death is extremely high. The *Campbell* decision addressed how the standard of care should be measured as said the following at para. 83,

The low statistical chance of something going wrong is not how you measure the standard of care. Consideration has to be given to the nature of the consequences of a low statistical chance materializing in an accident. The higher the potential consequences then the lower the tolerance for any cutting method that does not virtually eliminate even a small statistical chance of something going wrong. This is why industry standards call for the utilization of different methods for cutting trees in these circumstances, such as the use of guy wires to virtually guarantee the direction that a tree will fall.

[352] In considering this charge I can only look at the evidence I have before me. I cannot speculate as to what might have happened or as to what documents may have existed that were subsequently destroyed by the explosion: see *Wild*.

[353] In this case the evidence has established that there were three individuals who provided training, or instruction and information to employees; Mr. Ben-Moshe, Mr. Martin and Mr. McIntyre. In a statement taken on August 13, 2008, which was admitted into evidence on consent, Mr. Ben-Moshe said that Mr. Saini had been trained but he didn't know who had trained him and the records in the office had been destroyed. This bald assertion is not evidence of train-

ing in my view. Mr. Ben-Moshe provided another statement on August 21, 2008 which was also admitted into evidence on consent, and said that he didn't remember training Mr. Saini and felt that perhaps Mr. Martin did. It is clear to me that Mr. Ben-Moshe did not know very much about the deceased.

[354] Mr. McIntyre testified that he would train employees of clients in the handling of propane as an extra service. His practice was to send the completed exams to the Ontario Propane Association. He did not train Mr. Saini.

[355] Mr. Martin testified that the main service he provided was propane training and he has trained hundreds, if not thousands, of people. He taught the PP03 course at the 54 Murray Road site in Toronto but did not train the deceased. Emergency response in the case of a propane leak was part of what he taught in his course. His practice was to send the completed exams to the Ontario Propane Association. After the explosion he was asked if he had trained Mr. Saini and he said he didn't recognize the name. He contacted the Ontario Propane Association and was told that there was no record of Mr. Saini having been trained.

[356] Ms. Collingridge testified that she developed the database for tracking the names of people who had received training in propane handling by the Ontario Propane Association. After the explosion she was asked whether or not there was a record of Mr. Saini being trained. She went through the data base and tried searching in different ways and did not find a record showing that Mr. Saini had been trained. I disagree with the defence submission that there were difficulties and issues in the issuing and record-keeping processes. Her evidence was that the system worked well and I accept her evidence.

[357] Mr. Adler submitted that I could make an inference that the deceased had been provided with instruction and information given that there is no evidence that there were any complaints made about him. In my view I would be engaging in impermissible speculation if I were to make this inference on what amounts to a lack of evidence and I decline to do so.

[358] I found Ms. Collingridge, Mr. Martin and Mr. McIntyre to be honest witnesses. They all were cooperative and provided their evidence in a forthright manner. I don't have any reason to disbelieve their evidence regarding the issue of training and Mr. Ben-Moshe's statement does not provide any evidence that the deceased had been properly instructed or advised as to how to handle propane. In fact there was no evidence of any kind of mandatory or optional ongoing training whatsoever.

[359] Given the evidence, the only rational inference I can draw is that Mr. Saini was not provided with sufficient information and instruction because of the way he reacted to the sound of the explosion. As Mr. De Leon testified, Mr. Saini ran in the direction of the explosion instead of away from it. I find as a fact that Mr. Saini was not provided with the relevant instruction or information.

[360] With respect to supervision, there is absolutely no evidence that Mr. Saini was supervised while working at the 54 Murray Road site. While I agree with Mr. Adler that it would not make sense to hire a second worker to supervise Mr. Saini, I also agree with Mr. Wilson that it would have been fairly simple to set up some type of supervisory process that would address the need

for supervision. This could be as simple as providing Mr. Saini with a telephone number of someone who could provide answers to any questions Mr. Saini had. A telephone call could also be placed to Mr. Saini to check in on him.

[361] I agree with the Crown's submission that Mr. Saini was put in the place of being in charge of the yard and this was not acceptable given his lack of experience. He was effectively in charge of the yard because he was the only employee there except for the additional truck drivers, like Mr. De Leon, who would come into the yard to refill the trucks they were driving. There was no evidence that these truck drivers provided any kind of supervision. In fact, Mr. De Leon went over to the deceased to ask him if he knew what the smoke was that he had seen. Therefore I find as a fact that Mr. Saini was not provided with appropriate supervision. The Crown has proven the *actus reus* of this charge beyond a reasonable doubt.

[362] I turn now to the question as to whether or not the defendant has established due diligence. The defendant submitted that due diligence has been made out because this type of explosion was not foreseeable because it had not happened before.

[363] The issue of foreseeability is addressed in the *Rio Algom* case. The issue was foreseeability. In finding that the incident was not foreseeable the trial judge focussed on the fact that none of the witnesses had foreseen the incident happening in the way it did. The Court of Appeal at page 250 found that the trial judge had used the wrong test and set out the correct test as follows,

The trial judge, however, appears to have focused his attention on the fact that none of the witnesses foresaw "this type of accident happening" and that "no one had foreseen the happening of what happened on September 3rd". In my view, in purporting to determine whether the respondent had taken the care which a reasonable man might have been expected to have taken in the circumstances, he applied the wrong test. The test which should have been applied was not whether a reasonable man in the circumstances would have foreseen the accident happening in the way that it did happen, but rather whether a reasonable man in the circumstances would have foreseen that an "overswing" of the gate could be dangerous in the circumstances and if so whether the respondent in this case had proven it was not negligent in failing to check the extent of overswing in order to consider and determine whether it created in any way a potential source of danger to employees and in failing to take corrective action to remove the source of danger.

[364] Therefore, the issue is whether or not the reasonable person, apprised of the facts, would have foreseen that those facts could have been dangerous in the circumstances. In this case would a reasonable person have foreseen that having a worker who was only authorized to fill taxis alone at night working at a propane filling station would be dangerous? The answer has to be yes. It is difficult to imagine a more dangerous workplace than a yard filled with propane where a leak would cause explosions given that there are so many possible sources of ignition available at any given time.

[365] Although there was evidence of a general atmosphere of safety there were also some examples of deficiencies. During an inspection on November 9th 2006 a worker in the yard did not have the training for filling propane cylinders, there was also a transfer hose that was left unattended that created a risk for a pull-away where a person gets in the truck and drives away with the hose attached, and a truck had been parked without chock-blocks placed behind the wheels. On May 29, 2007 Mr. Heyworth returned to the facility at 54 Murray Road to conduct another inspection and noted that a delivery hose of a cargo liner was attached to the storage tank again.

He issued a “Fuel Safety Inspection Report” requiring the deficiency to be addressed by June 26, 2007. The client was charged “double time” as it was a repeat infraction.

[366] Further, a general atmosphere of safety is not sufficient to address the requirement to provide information, instruction and supervision on a balance of probabilities. The Ontario Court of Appeal made it clear in *Raham*, a case involving Ontario’s stunt driving offence, that the due diligence shown must be related to the specific offence charged. It stated at para. 48,

The due diligence defence relates to the doing of the prohibited act with which the defendant is charged and not to the defendant's conduct in a larger sense. The defendant must show he took reasonable steps to avoid committing the offence charged, not that he or she was acting lawfully in a broader sense: see John Swaigen, *Regulatory Offences in Canada: Liability & Defences* (Toronto: Carswell, 1992), at pp. 98-100. The point is well made in *Kurtzman*, at para. 37: “The due diligence defence must relate to the commission of the prohibited act, *not* some broader notion of acting reasonably” (emphasis in original). Just as a due diligence defence is not made out by acting generally in a reasonable way, it is not necessarily lost by virtue of actions surrounding the prohibited act, legal or illegal, unless those actions establish that the defendant, in committing the prohibited act, failed to take all reasonable care.

[367] The evidence before the court falls short of establishing due diligence as the due diligence must relate to the instruction, training and supervision directly. The evidence on this issue was vague and contrary to the evidence of deficiencies that were found by the Inspector. I am sure that the defendants were well meaning, to a degree, but in an inherently dangerous business such as this there must be a high degree of attention to detail and processes in place that address day-to-day issues, particularly instructing, training and supervision for people handling this very dangerous fuel. People make mistakes and processes assist in mitigating any damage that arises when employees make those mistakes.

[368] As the actus reus has been proven beyond a reasonable doubt and the defence of due diligence has not been established the defendant is found guilty of count one.

Count 2 – Failure to take reasonable precaution of ensuring that a propane facility was installed and operated in accordance with regulatory requirements and safe industry practice

[369] This count refers to the movement of the two 2,000 USWG tanks. It is common ground that the actus reus of this offence has been proven beyond a reasonable doubt. The evidence of Mr. Kulik and of Mr. Keys establishes this. Mr. Kulik’s evidence was that if the two 2,000 USWG tanks were to be moved, even temporarily, the owner would have to complete an application for a modification because the prior location was approved based on the code and the new location would have to continue to meet with the code. Mr. Kulik was not challenged on this statement.

[370] Mr. Keys testified that he was not aware as to whether or not a modification application was made regarding the two 2,000 USWG tanks. He denied being responsible for making an application for the modification and said that he was only responsible for the installation of the

30,000 USWG tank. He believed that the two 2,000 USWG tanks were going to be moved to an entirely different location.

[371] Mr. McCullough testified that he moved the two 2,000 USWG tanks on September 15, 2007. It didn't occur to him that this was a modification to the site. He also said that the inspector was at the meeting in November regarding the need for a larger tank and it was clear from that meeting that the 30,000 USWG tank would need to be placed in the same location where the two 2,000 USWG tanks were. He said that no one told him that TSSA approval was required.

[372] Mr. Adler submitted that the movement of the two tanks was in a sense irrelevant as there is no evidence that they were in any way a cause of the explosion. That is true; however, that movement may well have resulted in a very dangerous situation given that the site was very close to a residential neighbourhood. The moving of the tanks without the appropriate approval from the TSSA was highly risky behaviour.

[373] Mr. Adler took the position that the defendant company has established due diligence as it was entitled to rely on the expertise of Mr. Keys and Mr. McCullough. The defence relies on the decision in *R. v. Bata* [192] O.J. No.26 (O.C.J.). In my view the *Bata* decision does not assist the defence for a number of reasons. That case involved chemicals that had been used in the shoe manufacturing process that were stored at a location near the factory in barrels. These barrels rusted and the chemicals leaked into the ground contaminating the environment.

[374] The judge in that case found that the two directors who worked at the site were responsible and were found guilty, but found that Mr. Bata, who was often travelling out of the country, and was rarely at the site was not liable. The judge also found that Mr. Bata had placed an experienced director at the site and that he "was entitled to assume that his on-site manager/director was entitled to assume that the director was addressing environmental concerns. This decision stands in stark contrast to the decisions in *Wyssen*, *Campbell*, *Strucform* and *Dofasco* which all stand for the principle that responsibility cannot be delegated to another party.

[375] In my view the law is very clear, as I discussed with respect to count 1 that the defendants are not entitled to rely on Mr. Keys and Mr. McCullough to take reasonable precautions in their place. The key concept is control and the defendants clearly had control of the site and are liable as per the cases referred to above.

[376] In this case Mr. Ben-Moshe was the day-to-day on-site manager and I find it shocking that there was no system in place to ensure that the requirements of the TSSA were complied with, particularly given that this filling plant was located in a densely populated area. There was a total lack of communication among Mr. Ben-Moshe, Mr. Keys and Mr. McCullough. This resulted in a lack of prevention to ensure that the propane tanks were properly installed.

[377] Therefore, I conclude that the defence of due diligence has not been established and the defendant is guilty of this count as well, and a conviction will be registered.

Environmental Protection Act Charges Informations #s 10400978 & 0900354

[378] Sunrise Propane Energy Group Inc. and 1367229 Ontario Inc. are jointly charged with discharging or causing or permitting the discharge of a contaminant, namely sound, vibration, heat, gas vapour or solids, into the natural environment that caused or was likely to have caused an adverse effect, contrary to section 14(1) of the *Environmental Protection Act*, (EPA) R.S.O. 1990. The section reads as follows,

14. (1) Subject to subsection (2) but despite any other provision of this Act or the regulations, a person shall not discharge a contaminant or cause or permit the discharge of a contaminant into the natural environment, if the discharge causes or may cause an adverse effect. 2005, c. 12, s. 1 (5).

[379] Sunrise Propane Energy Group Inc. is also charged with five counts of failing to comply with a provincial officer's Order contrary to section 186(2) of the EPA.

The Section 14 Charge – Information # 10400978

Position of the Parties

Position of the Crown

The Actus Reus

[380] Mr. Adamson, on behalf of the Crown, argued the section 14 charge before the court. The Crown submits that the actus reus has been proven beyond a reasonable doubt and refers to the agreed statement of fact regarding the discharge. The agreed statement of fact is set out in the beginning of this judgment.

[381] Section 1(1) of the EPA sets out the definition of several terms in the section as follows:

“administrative penalty” means a penalty imposed under section 182.3; (pénalité administrative)”

“adverse effect” means one or more of,

- (a) impairment of the quality of the natural environment for any use that can be made of it,
- (b) injury or damage to property or to plant or animal life,
- (c) harm or material discomfort to any person,
- (d) an adverse effect on the health of any person,
- (e) impairment of the safety of any person,
- (f) rendering any property or plant or animal life unfit for human use,
- (g) loss of enjoyment of normal use of property, and

(h) interference with the normal conduct of business; (“conséquence préjudiciable”)

[382] Section 186 of the Act states that “Every person who contravenes this Act or the regulations is guilty of an offence. R.S.O. 1990, c. E.19, s. 186 (1).” There is an exception in 186 (1.1)” Subsection (1) does not apply to a contravention of section 14 unless the contravention causes or is likely to cause an adverse effect. 2005, c. 12, s. 1 (54).” Thus a breach of s. 14 is an offence under the Act only if the discharge at issue either caused or was likely to cause an adverse effect.

[383] The Crown submits that in order to prove the *actus reus* that the Crown must establish (a) the defendants discharged, or caused or permitted the discharge (b) of a contaminant (c) into the environment and (d) that caused and adverse fact. The agreed statement of facts clearly shows that there were a variety of devastating effects.

[384] The test for proof of the *actus reus* is found in *Sault Ste. Marie* as follows,

It may be helpful, however, to consider in a general way the principles to be applied in determining whether a person or municipality has committed the *actus reus* of discharging, causing, or permitting pollution within the terms of s. 32(1), in particular in connection with pollution from garbage disposal. The prohibited act would, in my opinion, be committed by those who undertake the collection and disposal of garbage, who are in a position to exercise continued control of this activity and prevent the pollution from occurring, but fail to do so. The “discharging” aspect of the offence centres on direct acts of pollution. The “causing” aspect centres on the defendant’s active undertaking of something which it is in a position to control and which results in pollution. The “permitting” aspect of the offence centres on the defendant’s passive lack of interference or, in other words, its failure to prevent an occurrence which it ought to have foreseen.... And

The test is a factual one, based on an assessment of the defendant’s position with respect to the activity which it undertakes and which causes pollution. If it can and should control the activity at the point where pollution occurs, then it is responsible for the pollution. Whether it “discharges,” “causes,” or “permits” the pollution will be a question of degree, depending on whether it is actively involved at the point where pollution occurs, or whether it merely passively fails to prevent the pollution.

[385] The *Sault Ste Marie* case is the foundational case on the interpretation of the phrase “discharge or caused or permitted the discharge of.” The Supreme Court found that the *actus reus* of the offence involves discharging or causing or permitting a discharge where the defendant had the ability and responsibility to control the activity that resulted in the discharge but failed to prevent the discharge from happening.

[386] The Court also found that the city could not pass off responsibility on the independent contractor and said the following:

A municipality cannot slough off responsibility by contracting out the work. It is in a position to control those whom it hires to carry out garbage disposal operations, and to supervise the activity, either through the provisions of the contract or by municipal by-laws. It fails to do so at its peril.

[387] The Crown submits that subsequent case law has followed this approach. In *R. v. Nitrochem Inc.*, [1992] O.J. No. 3890, the company was shipping acid to a customer using a common carrier. When the acid was being loaded at Nitrochem’s loading dock some leaked and ended up in the river nearby. The company tried to argue that it didn’t discharge the acid as it was another

company that was transporting it; however, the Court found that the company was liable as it had the ability to control how operations were conducted in its loading yard and found that the company was liable for the actus reus.

[388] In *Placer Development Ltd.* [1983] Carswell Yukon 14 (Yk Terr. Ct.) the corporate defendant had a subcontractor who was responsible for maintaining a fuel tank farm on a remote northern mine exploration site. As a result of the way the fuel tank farm was maintained there was a large spill of diesel oil into a river. The corporate defendant claimed that the subcontractor was responsible for the spill. The Court went through the *Sault Ste. Marie* case and concluded that “within the criteria established by *Sault Ste. Marie*, supra, the accused was in a position to control or influence the offending activity and therefore had a responsibility to do so.” The Crown also cited other authorities for this liability when work is done by third parties in *R. v. Lopes*, [1996] O.J. No. 96, and *Regulatory Offences in Canada: Liability and Defences*. John Swaigen at p. 127 and 128.

[389] In the case before the court the Crown submits that it is clear that the defendants had the ability to control everything that happened at the 54 Murray Street Road yard and that is enough to establish the actus reus. The evidence has shown that 1367229 Ontario Inc. is one of a cluster of companies including Sunrise Propane, 1186728 Ontario Limited (which operated under the registered business name “Sunrise Propane Industrial Cylinders”). All of the companies appeared to be operated by what was effectively one business.

[390] The Crown submits that despite the fact that 1367229 Ontario Inc. did not admit that it had management and control it admitted to being the holder of the lease for the site and that lease places the burden on the tenant to comply with all applicable regulations at 2.17 of the lease. This numbered company also holds the TSSA licence and the insurance policy. The Crown noted that there is an endorsement on the insurance policy that says “it is hereby understood and agreed that the named insured is amended to read as follows: 1367229 Ontario Inc. operating as Sunrise Propane Industrial Gases and Sunrise Propane Energy Group Inc. and 1369630 Ontario Inc. and 1355643 Ontario Ltd.” This, in the Crown’s submission, shows that these companies are effectively one entity.

[391] The Crown submitted that foreseeability is not a proper consideration when the Court is looking at the actus reus. In *R. v. Timminco Ltd.*, (2001), 153 C.C.C. (3d) 521 (Ont. C.A.), the plant Timminco operated processed dolomite and other raw materials to produce magnesium metal and alloys. A press operator employed by Timminco, died from injuries he sustained in a workplace accident on Timminco’s premises. In discussing foreseeability the court referred to the Ontario Court of Appeal decision in *Rio Algom* and at para 28 said, “The foreseeability of a hazard is properly to be considered as part of a due diligence defence.”

Due Diligence

[392] Once the actus reus is proven the burden shifts to the defence to establish due diligence on a balance of probabilities. The Crown position is that the defendants failed to exercise due

diligence as they failed to take numerous steps that would have prevented the accident from occurring. The standard of care required in this case is a very high one given that propane is inherently dangerous.

[393] The Crown submits that given that the exact cause of the explosion is not known, the defence must show that there was due diligence with respect to both the pump and the hose. The Crown referred to the decision in *R. v. Petro-Canada*, [2003] 63 O.R. (3d) 219 (Ont. C.A.) which addresses the issue of establishing due diligence where there is uncertainty of the cause of a certain event. In that decision the Ontario Court of Appeal referred back to the *Sault Ste. Marie* decision and said that where the cause is not known the defendant can prove due diligence by establishing a preventative system. The Court said the following at para. 15

[15] While, in the end, Dickson J. ordered a new trial, he did describe briefly how the defence of reasonable care might operate in the context of the charge in that case. At p. 1331 S.C.R., p. 377 C.C.C., he made clear that the question would be whether the accused had negated its wilful involvement in the act charged and "... whether the accused exercised all reasonable care by establishing a proper system to prevent commission of the offence and by taking reasonable steps to ensure the effective operation of the system". The focus of the defence is the discharge and the steps taken to prevent it.

[394] In the Crown submission there has been no evidence of a preventative system whatsoever.

The Failure to Stop Truck-to-Truck Transfers

The Director's Order was made on October 31, 2006 and said the following:

Fuels Safety Program
DIRECTOR'S PUBLIC SAFETY ORDER
IN THE MATTER OF:
THE TECHNICAL STANDARDS AND SAFETY ACT, 2000,
S. O. 2000, c. 16

- and -

ONTARIO REGULATION 211/01 made under the
Technical Standards and Safety Act, 2000
(Propane Storage and Handling)

Subject: Tank Truck to Tank Truck Transfer of Propane

Sent to: Propane Industry Advisory Council, Propane RRG, TSSA web-site

Pursuant to subsection 31.2 of the *Technical Standards and Safety Act, 2000*, the Director hereby orders the following:

Clause 8.13.3 of the CSA B149.2-05 is revoked and the following substituted:

8.13.3 The contents of a tank on a tank truck or a cargo liner shall not be transferred to the cargo tank on another tank truck or cargo liner unless the operation is carried out at a bulk plant.

A bulk plant is defined for this specific clause as a facility where the primary function is to store LP-Gas prior to further distribution (where LP-Gas is received by cargo tank vehicle, railroad tank car, or pipeline, and then distributed by portable container (package) delivery, by cargo tank vehicle, or through gas piping).

Note: “(package) delivery” means, in the above definition, the delivery of portable containers for bulk distribution, but excludes the delivery of containers brought for filling by the owner of the container.

The bulk plant to be used as a location to transfer propane from a cargo tank to another tank truck or cargo liner shall be approved by TSSA, except for an emergency such as a loss of power due to unexpected natural weather. This approval shall include:

- Satisfying Branch Standard #9;
- Having space to accommodate both tank trucks without blocking any emergency exits;
- Satisfying municipal approvals;
- Having a permanent licensed storage capacity at least equal to the largest tank truck or have the capacity of truck to truck transfer specifically approved by TSSA;
- Satisfying clearances as stated in CSA B149.2-05;
- Having a Propane Truck Operator (PTO) certificate holder perform the transfer, and
- Satisfying clause 7.3 of CSA B149.2-05. (Note: Both tank trucks, if compliant with CSA B620-03, are accepted as satisfying clause 7.3 of CSA B149.2-05).

[395] Mr. Heyworth attended at the Sunrise Propane site to specifically direct them to comply with the Order and ordered them to comply with it by November 30, 2006. Despite these two Orders the defendants continued to conduct the truck-to-truck transfers until August 2008 when the explosion occurred.

[396] The Crown submits that even if I find that Mr. Heyworth did advise the defendants that they could continue to conduct truck-to-truck transfers the defendants had been put on notice that there was a safety issue with the transfers. It is common ground that the Director’s Order was brought to the attention of the defendants and that the defendants did not seek a variance of the Order. There was also evidence that there was a newsletter that went out to the industry in the winter of 2007 that explained the Order and set out the entire text of the Order and that Sunrise Propane was on the mailing list.

[397] The Crown submits that although I heard evidence about the meeting with Mr. Heyworth, Mr. Ben-Moshe, Mr. McCullough and Mr. Keys, there was no evidence that Mr. Ben-Moshe made an inquiry as to why the Order had been made and what was dangerous about the truck-to-truck transfers. There was no clear question asked of Mr. Heyworth as to whether or not they

could continue to do truck-to-truck transfers and one would expect that the question would be asked if the defendants were looking for an exemption.

[398] The Crown also notes that if I do find that Mr. Heyworth gave the defendants express permission to continue to do truck-to-truck transfers there was another legal instrument, a TSSA Code Adoption Document, that was issued in June of 2007 that specifically prohibited truck-to-truck transfers and there is no evidence of anyone giving the defendants an exemption from this requirement. This Code Adoption Document was posted on the TSSA website on June 14th, 2007. The Crown submitted that Code Adoption Documents can be characterized as major events in the propane industry as the Canada Standards Association (CSA) code only comes out every few years.

[399] The Crown submits that one would expect a sophisticated business man such as Mr. Ben-Moshe who had 56 sites and multiple business lines to ensure that he received written confirmation regarding an exemption for truck-to-truck transfers. The only written confirmation produced in this case is the letter Mr. Keys wrote to the TSSA which in the last sentence indicates “the facility will remain in operation as a filling plant complete with a cylinder filling trailer, cylinder storage, auto propane dispensing and bulk truck loading.” In the Crown’s submission a letter written almost a year later by the engineer, not the defendants, that doesn’t explicitly reference truck-to-truck transfers cannot be capable of confirming an exemption.

[400] The Crown referred to Mr. Ben-Moshe’s statement to the Toronto Police on August 13, 2008 regarding truck-to-truck transfers. In that statement Mr. Ben-Moshe states that he is uncertain as to whether or not the new regulation prohibited truck-to-truck transfers. In the Crown’s submission this answer was deceptive as he must have known full well what the regulation was and what it required. Later on in the same statement Mr. Ben-Moshe is asked if the company was given a temporary permit to conduct truck-to-truck transfers and he answers that there was no temporary permit and goes on to say that they needed to put in a 30,000 gallon tank and that he wasn’t sure about the regulation. In the Crown’s submission Mr. Ben-Moshe is being evasive in giving that answer and that that speaks to his knowledge of something untoward happening.

[401] In terms of credibility assessments the Crown submits that I should take into account the fact that Mr. Keys and Mr. McCullough worked for the defendants for many years, and in the case of Mr. McCullough, his evidence was that the defendants provided most of his gross annual income. With respect to Mr. Heyworth’s evidence the Crown submits that he was adamant that he did not provide permission for continued truck-to-truck transfers and that his evidence should be considered in light of what Mr. Heyworth understood the business to be. Mr. Heyworth thought that only Discount Propane would be affected as they had the smaller trucks. The Crown submits that Mr. Heyworth’s denial of seeing truck-to-truck transfers after the November meeting should be believed because the evidence shows that these were conducted at the end of the work day and in the middle of the night which made it unlikely that he would see them. The Crown went on to outline how the defendants were not duly diligent in a number of ways.

Failure to Install the 30,000 USWG Tank in a timely fashion

[402] The Crown submits that the defendants did not pursue the installation of the 30,000 USWG tank in a diligent manner and provided a chart of the chronology of events as they relate to the tank. I have reproduced it below for ease of reference.

Chronology of installation of 30,000 USWG Tank

<u>Date</u>	<u>Event</u>	<u>Evidence</u>
October 31, 2006	Director's Public Safety Order posted on TSSA website	Sandra Cook Exhibit 20 – TSSA website screen print showing posting dates for documents
November 9, 2006	Director's Public Safety Order shown to Shay Ben-Moshe by Don Heyworth	Don Heyworth Tab 16, Exhibit 1A – Fuel Safety Inspection Report requiring compliance with Director's Public Safety Order
November 16, 2006 (according to Ross Keys)	Met with Shay Ben-Moshe at Mr. Ben-Moshe's request to discuss the Director's Order – nobody else present	Ross Keys, Transcript of Trial for February 7, 2012 at p. 25, line 8 to p. 28, line 19; and p. 30, lines 6-18
November 16, 2006 (according to Rob McCullough)	Meeting at 54 Murray Road – Shay Ben-Moshe, Ross Keys, Rob McCullough, Don Heyworth, possibly Gary Mislitsky	Rob McCullough – Transcript of Trial for February 21, 2012 at p. 16, line 4 to p. 19, line 3
November 21, 2009	Keys sends letter to Toronto asking for a letter confirming that increased storage of propane at the site is a permitted use	Tab 17, Exhibit 1A
December 4, 2006	Toronto sends reply letter indicating that is a permitted use, based on information provided in Keys' letter	Tab 18, Exhibit 1A
December 20, 2006	Ross Keys meets with Shay Ben-Moshe, Don Heyworth (and possibly Rob McCullough) at 54 Murray Road to discuss whether the TSSA will accept the city's permitted use letter; discussion of whether Heyworth will shut down Sunrise Propane	Ross Keys, Transcript of Trial for February 7, 2012 at p. 36, line 9 to p. 39, line 31 Don Heyworth's dockets indicate a two hour "Consultation" relating to Murray Ave. on December 20, 2006 – Exhibit 25 at Tab 2
In January, 2007	Don Heyworth calls Ross Keys to confirm that the TSSA will accept the permitted use letter provided by Toronto. Ross Keys passes the information on to Shay Ben-Moshe and Ben-Moshe to let	Ross Keys, Transcript of Trial for February 7, 2012 at p. 36, line 9 to p. 44, lines 27-32; and p. 52, lines 12-26 Don Heyworth's dockets indicate a one hour "Consultation" relat-

<u>Date</u>	<u>Event</u>	<u>Evidence</u>
	him know once Sunrise has decided whether to install an 18,000 USWG or a 30,000 USWG tank	ing to Murray Ave. on January 5, 2007 – Exhibit 25 at Tab 2
June 11, 2007	Rob McCullough invoices Sunrise propane \$10,000 for deposit paid to order the 30,000 USWG tank	Exhibit 45, invoice number 16251, dated June 11, 2007
September 15, 2007	Rob McCullough relocates and reconnects the 2,000 USWG tanks to make room for the 30,000 USWG tank	Rob McCullough – Transcript of Trial for February 21, 2012 at p. 15, lines 4-7 Exhibit 45, invoice number 16378, dated September 15, 2007
September 25, 2007	30,000 USWG tank delivered to 54 Murray Road	Rob McCullough – Transcript of Trial for February 21, 2012 at p. 24, lines 13-14 Exhibit 45, invoice number 16403, dated October 26, 2007
October 15, 2007	Ross Keys informed that 30,000 USWG tank on site and goes to site to take measurements	Ross Keys, Transcript of Trial for February 7, 2012 at p. 53, line 24 to p. 54 line 20
October 19, 2007	Ross Keys sends letter to Shay Ben-Moshe enclosing the application package sent to the TSSA for approval of the 30,000 USWG tank and indicating that he can anticipate receiving approval from the TSSA within two to three weeks, and that the approval will include the name of the TSSA inspector to contact to arrange an inspection once installation is complete.	Exhibit 28 at Tab I
October 24, 2007	Application package for approval of 30,000 USWG tank received by TSSA	Tab 24, Exhibit 1A
November 8, 2007	Marek Kulik of the TSSA sends letter to Shay Ben-Moshe acknowledging receipt of application and advising to call to schedule inspection of the facility at least 10 days before it is to be commissioned	Tab 25, Exhibit 1A Marek Kulik -- Transcript of Trial for February 13, 2012 at p. 9, line 18 to p. 10, line 28
June or July 2008	Rob McCullough starts actively working on installing the 30,000 USWG tank	Rob McCullough – Transcript of Trial for February 21, 2012 at p. 52, line 32 to p. 56, line-28
August 10, 2008	Explosions occur. Installation of 30,000 USWG still two to three weeks away from completion	Ben-Moshe statement to TPS at p. 43, lines 3-6; Tab 5A, Exhibit 1A

Ross Keys' estimate of how long it would take to get a new tank

Ross Keys, Transcript of Trial for February 7, 2012 at p. 49, lines 4-17:

Q. Okay. And from that experience, do you have any knowledge about how long it takes to get a tank, once you want to order one?

A. If you were to order one brand new; by the time you got the shop drawings back from the supplier, which could take depending on how busy they are, two to three weeks, and once you've determined that their tank is good, and the openings are all where they want to be, where you want them to be, then once you submit the shop drawings back to the fabricator, they will then order the steel, so I would say that whole process from you deciding you want a tank to actually getting it shipped to the site, probably in the four to six-month range.

[403] In the Crown's submission work on the tank should have started in September of 2007; however, because of a number of issues it didn't get started until June of 2008 and was about three weeks away from completion when the explosion occurred. Almost two years had passed and it still wasn't done which shows that the installation was not a priority for the defendants.

[404] In addition to the lack of diligence in pursuing the installation of the 30,000 USWG tank the Crown submits that there were no interim measures that were taken to address the safety concerns with respect to truck-to-truck transfers. Mr. De Leon was not even aware that truck-to-truck transfers were presumptively illegal and the Crown suggests that at a minimum there should have been some training for the drivers to alert them to these concerns.

Failure to Establish a Preventative Maintenance System for Equipment

[405] It is the Crown's position that the defence has failed to show that they have been duly diligent. This is because the corporate defendants failed to show that there was a proper preventative maintenance system in place to prevent, for instance, defective parts from leading to leaks of propane and to ensure that employees continue to abide by safe practices. The Crown referred to Justice Hill's decision in *R. v. Canadian Tire Corp.*, [2004] O.J. No. 3129 (S.C.J.). In that case Canadian Tire had imported a quantity of bar fridges that had CFCs which are prohibited. Canadian Tire argued that they were entitled to rely on their supplier in China who had been reliable in the past. Justice Hill agreed with the findings of the trial judge that the defendant had failed to establish a system such as random audits to ensure that their products did not contain excessive CFCs and agreed that this appeared not to be a priority of the corporation. This was discussed at para. 92 and 93 of the judgment as follows,

The due diligence jurisprudence not infrequently refers to a system of random audit or testing as a systemic means of guarding against a prohibited act occurring. Was the process flaw or deficiency easily discoverable? (*R. v. Imperial Oil Ltd.*, supra at para. 18, 20). Would a "simplicity of testing" have determined that a problem existed? (*R. v. Imperial Oil Ltd.*, supra at para. 29). The trial court found as a fact that the appellant could have carried out "spot checks or random checks" on post January 1, 1999 imports of Haier bar fridges. It was not submitted by the appellant that the evidence established such checks had been made but rather that it was unnecessary or would be difficult given the sheer number of products imported by the corporation. The external environmental audit reports commissioned by the appellant, and relied upon at trial and on appeal, themselves thematically noted the weaknesses of the corporation's approach to compliance audits including regulatory compliance (para. 21-32 supra). Ms. Bebee, whose evidence was often uninformed of

details (para. 38, 40, 53, 55 supra), testified that some form of "internal auditing program for environment [al] ... compliance" existed (para. 33, 40 supra). No environmental auditor was called to testify. This evidence was vague and did not address imported product compliance with regulatory guidelines. Mr. Antcliffe's quality control duties did not extend to checking for the presence of CFCs in imported fridges. He thought the appellant checked for CFCs "in-house" or perhaps by outside testing - he could not say for sure and had no knowledge about the circumstances of the Haier fridges in 1999, a year in which he was no longer dealing with the foreign supplier

The appellant led no evidence suggesting that a system of random audits of imported shipments was too expensive, impractical or impossible. The corporation produced no evidence as to what comparable enterprises do to avoid similar risks. There was no evidence of industry standards apart from the correct hearsay evidence relating to Danby engaging in product audits of goods received from its suppliers (para. 11 supra). Certainly, if only in the months immediately following a dramatic change in the regulatory regime relating to CFCs, it would be reasonable to confirm that fridges received did not contain the newly proscribed chemical.

[406] The Crown also cited the decisions in *R. v. Island Industrial Chrome Co.*, [2002] B.C.J. No. 630 (Prov. Ct.) and *R. v. Gulf of Georgia Towing Co. Ltd.*, [1979] 3 W.W.W. 84 (B.C.C.A.) for the same proposition, that a system is required for companies to prevent spills or discharges as human error is inevitable.

[407] In the Crown's submission it was incumbent upon the defendants to establish appropriate preventative systems to prevent propane leaks during propane transfers and not vague platitudes about an overall safe workplace. It was also incumbent upon the defendants to establish appropriate oversight of, and supervision of, the drivers who were doing the transfers to ensure that they complied with code requirements.

[408] The Crown conceded that there was some evidence of a preventative maintenance system because Mr. McCullough did testify that he did yearly inspections. However, the difficulty with this suggestion that this was an appropriate preventative maintenance system is that the defendants seem to have delegated this responsibility onto Mr. McCullough alone and there was no one making sure that he was doing his job properly. Mr. McCullough said that there was no schedule for the 56 sites that he was working on. When he was cross-examined he testified that he had conducted the yearly inspection for 54 Murray Road within the year, yet there was no invoice produced for this inspection. The Crown submits that his answer, that the lack of invoice doesn't necessarily mean he did not do the inspection because he may not have written it down, is difficult to accept because his invoices are very detailed. The problem here, in the Crown's view is that there was no system in place to make sure that it got done.

[409] With respect to Unit 861 the Crown submits that there is no evidence about a preventative maintenance program for this truck or for the hoses to reliably prevent hoses with defects from being used. Mr. McCullough did not like to work on trucks and the defendants used a company called ProPar for truck inspections, but no one from ProPar was called to give evidence about the truck maintenance system. There was an inspection form that was filed as an agreed exhibit from ProPar regarding an inspection of unit 861 in April of 2008. The form reveals that the delivery hose was not present during the inspection; therefore, the Crown submits, there is no evidence that the yard hose was inspected. The Crown pointed to another issue with the hose that

arose during Mr. McCullough's testimony. Mr. McCullough testified that he and his co-worker became frustrated with the defendant's employees who were leaving the hose beside their work site and at one point his co-worker hid it because he was upset. On July 14, 2008 Mr. McCullough purchased a protective cover for it. In the Crown's submission it is astonishing that this hose is being left on this work site all day without any systemic attention to the integrity of it and that Mr. McCullough was not aware of anyone being in charge of safety issues such as this at the site.

[410] The Crown referred to the *Rio Algom* decision with respect to the issue of foreseeability. As I have already indicated the test, as stated by the Court of Appeal, was whether a reasonable man in the circumstances would have foreseen that a propane leak during a transfer or shortly after could occur. The Crown argues that it is simply a matter of common sense that there is a possibility of a propane leak through the mechanical failure of the most vulnerable parts of a propane transfer process, the transfer hose. Further, the Crown submits that the whole regulatory scheme is structured to highlight the dangers associated with propane leaks as the handling of propane is inherently dangerous. The fact that propane is also subject to Federal regulation under the *Transportation of Dangerous Goods Act* speaks to the dangerous nature of propane. There is also a Federal Code, as referred to by Ms. Cooke, *The Highway Tanks and Portable Tanks for Transportation of Dangerous Goods Canada Standards Association Code* that concerns safeguards against propane leaks. The Crown submits that all the regulation has a sole focus, and that is in preventing propane leaks.

[411] The Crown also referred to the PP03 training workbook which was filed as an exhibit with respect to the issue of foreseeability. At page 8 of the training booklet in bold capital letters there is a passage that reads "Remember that you cannot tell by smell if a propane leakage is within the ignitable mixture range. Treat every release of propane as having the potential for fire or explosion." The Crown also referred to Mr. Martin's testimony regarding the safety issues he would cover including how to detect and contain leaks. In summary the Crown submits that the entire regulatory systems is designed to drive home to those involved in this industry and that dangerous leaks of propane are foreseeable.

[412] The Crown made a further point regarding foreseeability. Mr. Bennett testified that there had been a similar incident in Tacoma Washington as well as a number of other cases. The Crown submits that the evidence is that there were several prior incidents that were similar. The Crown also noted that there was an advisory in 2005 that was distributed by the TSSA. The advisory was marked as exhibit 17 in this proceeding and it specifically referred to the fact that the safety level is significantly reduced when propane is being transferred from one tank to another tank truck. This advisory was released a full year before the Director's Order was made.

[413] In addition to additional training the Crown submitted that there was an option for reducing reliance on truck-to-truck transfers by having a third party deliver propane to the various sites and that this was possible given Mr. McCullough's evidence that Primemax became involved in the distribution of propane after the explosion.

[414] The Crown also pointed to an answer Mr. Ben-Moshe gave regarding two OPA audits that were conducted that turned out to be satisfactory; however, the first audit showed a number of deficiencies that were corrected later. In the Crown's submission this statement was misleading. Finally, the Crown referred to an answer Mr. Ben-Moshe gave to a question about when the two 2,000 USWG tanks were moved. Mr. Ben-Moshe said that they had been moved a few months before the explosion but said they were not there all winter. Given that the evidence is that Mr. McCullough moved the tanks in September of 2007, almost a year before, this cannot be an innocent mistake and is a lie.

[415] In another statement that was taken by the Ministry of Labour the Crown points to an answer Mr. Ben-Moshe gives regarding Discount Propane where he says that Discount Propane is a customer that owes him money, yet there were two cheques from the defendants to Discount Propane in the amounts of \$8,056.00 and \$1,344.86 shortly before and shortly after the statement was taken. This, in the Crown's submission, shows that the defendants were trying to distance themselves from Discount Propane.

Failure to Provide Oversight of Truck Drivers

[416] The Crown further submits that after Mr. De Leon completed the transfer of propane from unit 861 to unit 1 he failed to turn off the valves or hit the emergency shut off on unit 861 as he was required to do by regulation. If Mr. De Leon had done these things the incident would not have occurred. In the Crown's submission the defendants have not led any evidence that there was a supervisory system in place to ensure that people who worked for Sunrise, like Mr. De Leon, did their jobs in a way that was safe and Mr. De Leon could have been given better tools for dealing with the situation.

[417] The Crown submits that although Mr. De Leon did complete a period of training his evidence was that once that was completed he didn't receive any further training and there was no evidence of a supervisory system to ensure ongoing compliance with regulations. The Crown was not suggesting that there had to be an on-site supervisor but suggested that there should have been something in place such as spot checks or updates for employees and workers in an inherently dangerous industry like propane distribution. This ongoing supervision was important in the Crown's view given that a significant part of the driver responsibilities was to conduct the truck-to-truck transfers which were presumptively illegal. The Crown suggests that there should have been a system of spot checks for driver's conducting these transfers at the end of the usual work day and in the middle of the night, especially in light of the fact that Sunrise had been told that there was a safety issue with the truck-to-truck transfers.

[418] The Crown also submits that truck-to-truck transfers should not have been taking place given that they were made illegal pursuant to the TSSA Director's Order issued in October of 2006. In the Crown's view, if the 30,000 USWG tank had been in place there would have been additional emergency shut off valves located at the loading dock as well as a remote emergency

stop that would be available if for some reason an employee was not able to reach the emergency-shut off at the loading dock. Mr. De Leon would have been able to hit the remote emergency shut off as he was running out if the work on the 30,000 USWG tank had been completed in a timely manner. Therefore if Sunrise had either complied with the Order not to conduct truck-to-truck transfers or had operated a proper bulk plant, the incident would not have occurred. The Crown also notes that even if this facility had been operational as a bulk plant the Director's Order still required TSSA approval for truck-to-truck transfers.

Position of the Defence

Ministry of Environment Section 14(1) Charge- Information # 10400978

[419] Mr. Adler, on behalf of the defendants, submits that the Crown must prove the specific corporate defendants actually committed the discharge as opposed to reacting to it. Mr. Adler referred to the following passages in *Sault Ste. Marie*:

Offences in which there is no necessity for the prosecution to prove the existence of *mens rea*; the doing of the prohibited act prima facie imports the offence, leaving it open to the accused to avoid liability by proving that he took all reasonable care. This involves consideration of what a reasonable man would have done in the circumstances. The defence will be available if the accused reasonably believed in a mistaken set of facts which, if true, would render the act or omission innocent, or if he took all reasonable steps to avoid the particular event.

And,

The due diligence which must be established is that of the accused alone. Where an employer is charged in respect of an act committed by an employee acting in the course of employment, the question will be whether the act took place without the accused's direction or approval, thus negating wilful involvement of the accused, and whether the accused exercised all reasonable care by establishing a proper system to prevent commission of the offence and by taking reasonable steps to ensure the effective operation of the system. The availability of the defence to a corporation will depend on whether such due diligence was taken by those who are the directing mind and will of the corporation, whose acts are therefore in law the acts of the corporation itself.

[420] The defence submits that these defences are known as the defences of reasonable care and mistake of fact and revolve around the issue of what the "reasonable man" would do. Mr. Adler submits that a number of other defences would be available such as an intervening cause, officially induced error and argues that the issue of foreseeability is intertwined with the *actus reus*.

[421] Mr. Adler disagreed with the Crown submission that the *actus reus* of the offence was admitted by the defendants in the agreed statement of facts and clarified that what was admitted was that there was an explosion at the 54 Murray Road site that was followed by other explosions and that these resulted in the discharge of contaminants. The defence submits that the fact

that an explosion occurred at the Sunrise location at 54 Murray Road is very different from establishing that the defendants caused the explosion.

[422] The defence submits that the Crown is required to prove what occurred, that it was foreseeable, that Mr. De Leon was passive, and that as a result of his passivity he failed to prevent the explosion.

[423] The defence submits that the cause of the explosion was a defective hose or bypass pump and that the incident was beyond the defendants' control. In the alternative the defendants submit that they never actively caused the discharge because they were not in a position to control the manufacturing of the defective goods which resulted in the discharge. Further, Mr. Adler suggests that this event was unforeseen and that the concept of foreseeability should be considered with respect to the actus reus of the offence.

[424] The defence submits that the sequence of events took place over a matter of seconds and was set out in the Ontario Fire Marshal's report. The defence relies on Mr. Bennett's evidence that the piping, hoses and pump were intact for this transfer to take place, since the transfer of propane occurred between unit 861 and unit 1 immediately prior to the incident as well as his evidence that the leak originated either from a hose or possibly a flexible hose that was part of a bypass for the tank pump if the pump was left on.

[425] Mr. Adler points to the evidence of Mr. De Leon in order to identify the checks and safety steps taken before the transfer of propane was undertaken. Mr. De Leon checked the hoses for leaks and stayed with the trucks during the half hour required to complete the transfer. While the transfer was occurring he was watching the gauges and the breather with the hydraulic line on one side of him and the other hoses on the other side of him. At that point Mr. De Leon went to toward the front of the truck and into the cab and sat down in the front seat and depressed the clutch to turn off the PTO.

[426] Mr. De Leon then left the driver's seat and walked back around the front of the cab and back to the central area between the two tankers and removed the hydraulic lines from unit 861. At this point there was no indication of a leak. Mr. De Leon went on to disconnect the hose and roll or fold the hydraulic hose and bring it back to unit one and at that point he went to turn off the valves for the liquid propane but before he could reach them he saw smoke coming from the north. This in Mr. Adler's submission shows that the transfer was complete and that Mr. De Leon was very aware of the possibility of leaks. The defence submits that Mr. De Leon was not inattentive and that he did not fail to prevent the occurrence.

[427] Mr. Adler submits that the hose was fairly new and that Mr. McCullough tested the threaded connections of the hose on unit 1 on June 19th, 2008. Further, the hose was sent to the Centre of Forensic Sciences and there was no finding of any pre-existing weakness or defect. In

addition to this the Ontario Fire Marshal report indicated that the piping, hoses and pump were intact for this transfer to take place.

[428] Mr. Adler's position is that the appropriate conclusion is that the leak started only after the transfer had been completed and prior to Mr. De Leon's observation of the fog. No human activity on the part of the defendants' caused this. Rather, it was the human activity at the manufacturing plant that caused this adverse effect and the defendants had no way of knowing about the defect, particularly after Mr. De Leon's inspections and tests before using the hose.

[429] With respect to the ongoing truck-to-truck transfers the defence submits that the corporate defendants were advised by a government official, Mr. Heyworth, that they could carry on operations, which included ongoing truck-to-truck transfers, while the larger tank was being built and installed. Both Mr. McCullough and Mr. Keys testified to this fact.

[430] In the defence submission the defendants demonstrated that they exercised reasonable care by regularly responding to issues raised at inspections and by hiring and relying upon appropriate licensed personnel/consultants. The defendants also rely on the defence of "officially induced error" given that Mr. Heyworth had given them permission to carry on business. They believed that they were acting in a lawful manner at all times.

[431] Mr. Adler argued that the submissions of the Crown amounted to a hindsight approach regarding why the defendants might have done things differently. Mr. Adler submits that there was no evidence called by the Crown to establish what industry practices were or how those practices might have prevented this occurrence.

[432] The defence submits that the cases relied upon by the Crown could be distinguished on the facts as most involved situations where the defendants had been using faulty equipment and had some knowledge of the problem that existed, or had undertaken acts that were unsafe. The defence submits that that was not the case in this situation and points to the Crown's agreement that Mr. De Leon should not be faulted.

[433] Mr. Adler submitted that examples of causation/actus reus can be found in *Bata, R. v. Beatty*, [2008] 1 S.C.R. 49 (SCC) para. 2,4,6,22,23, 26,45-46 and 69 and also relies upon *R. v. Roy*, [2012] SCC 2 and *R. v. Petro-Canada*, [2009] ONCJ 1979 paras. 9, 26, 27, 47-51, 54, 60 – 63, 65, 67 and 76, which caution that the consequence cannot inform the determination of the actus reus. The decision in *Petro Canada* refers to a passage in Justice Libman's book on regulatory offences which discusses strict liability offences and the requirements of the Crown regarding proof of the actus reus and the onus on the defence to establish due diligence if the actus reus has been proven beyond a reasonable doubt at paras. 55-56:

55 Some general comments on the Regulatory court environment and the nature of 'strict liability' can help put matters into context. Justice R. Libman in *Libman on Regulatory Offences in Canada* states that;

- "... what seems unreasonable to a court may not appear so to a regulator. Each represents different institutions with different interests. Regulators are concerned with reaching practical and administrative results which help achieve the general public interest goal of the legislation in question. This may also represent a compromise solution which is acceptable to the groups involved. Regulatees play a significant role in the regulation of their activities. Courts of law, on the other hand, must act upon the basis of the record placed before them, without necessarily all the relevant facts or further factual investigation."

56 Later Libman goes on to say:

- "Public welfare offences prima facie constitute offences of strict liability. They are neither offences in which mens rea must be proved by the prosecution, either as an inference from the nature of the act committed, or by additional evidence, nor are they offences of absolute liability where it is not open to the accused to exculpate himself or herself by showing that he or she was free of fault....there is no necessity for the prosecution to prove the existence of mens rea; the doing of the prohibited act prima facie imports the offence, leaving it open to the accused to avoid liability by proving that he took all reasonable care. This involves consideration of what a reasonable man would have done in the circumstances. The defence will be available if the accused reasonably believed in a mistaken set of facts which, if true, would render the act or omission innocent, or if he took all reasonable steps to avoid the particular event. These offences may properly be called offences of strict liability. Strict liability offences have generated a "unique jurisprudence" and induced criminal courts to incorporate many concepts from the law of tort. Strict liability currently offers "the best means for the courts to balance the public interest in advancing public health and safety with the public interest in protecting individual rights while equally advancing a viable business community". The struggle to achieve this "delicate, difficult balance" generates complex litigation. However, it provides as well for "certainty, consistency, and fairness to the prosecution of regulatory offences".

Due Diligence

[434] In the event that I do find that the actus reus has been proven beyond a reasonable doubt the defence submits that there are several defences that come into play including necessity, reasonable care and due diligence. Mr. Adler referred to John Swaigen's text at pages 198- 199 which states:"... the test is the same: were the underlying causes of the violation under the control of the accused, was the accused in a position to prevent the offence, and were the steps taken to avoid the violation the only ones that were reasonably available under the circumstances?"

[435] With respect to the first issue, whether the underlying issues here were the defendants' control, the defence submits that the answer is yes and no. The parts (the hoses) were physically under Sunrise's control, but the underlying cause of the explosion, a sudden springing of a leak

was not under the defendants' control because they had nothing to do with the manufacturing of the part. The defence submits that there was a quality assessment/control program compatible to the hose's functions and role and that Mr. De Leon described that system. There was no contradictory evidence called with respect to what Mr. De Leon did in testing the hoses. Therefore, considering that Mr. De Leon did what was required the underlying cause was not under the control of the defendants.

[436] With respect to the second issue of whether the accused was in a position to prevent the offence, Mr. Adler submits that the defendants were not in a position to prevent the explosion. Again, the defendant submits that Mr. De Leon carried out the best prevention techniques and the tests from the Centre of Forensic Sciences did not reveal any pre-existing defect. The transfer process went well and thereafter the fog and explosions occurred in rapid-fire succession.

[437] Finally, with respect to the third issue the question is, were there steps taken to avoid the violation the only ones that were reasonably available under the circumstances? The defence submits that those were the steps taken by Mr. De Leon and there was no evidence called by the Crown as to what someone in the industry would have done in the circumstances given how quickly everything unfolded, as confirmed by Mr. Bennett.

[438] Mr. Adler submits that there is another important element to consider which is foreseeability and that in this case there was a sudden, unforeseen leak in a hose that had been tested and was functioning perfectly yet somehow life threatening fog formed quickly.

Truck-to-Truck Transfers – Officially Induced Error

[439] The defendants submit that Mr. Heyworth gave them permission to continue to conduct truck-to-truck transfers. Mr. Heyworth said that he specifically told the defendants to comply with the Director's Order and said that he suspected that these types of transfers were going on and that he did spot inspections by driving by the site. Yet, he also admitted speaking to Mr. Ben-Moshe, who confirmed that they were making use of truck-to-truck transfers and did nothing about it. Mr. Heyworth did not even attempt to get confirmation of compliance.

[440] Mr. Heyworth did admit to saying that the defendants could carry on business at the meeting concerning the 30,000 USWG tank. The defendants submit that the statement by Mr. Heyworth that he did not have the authority to give them permission to conduct truck-to-truck transfers is a given that he had the authority to revoke an Order as set out in s. 21(3). The defendant submits that Mr. Heyworth lied about anything connected to the issue and that the proof of this is in his schedule, his evasiveness, his late disclosure/admission to being at the meeting, his being copied with the 30,000 USWG application and by taking over the inspection for this tank.

[441] The defendant relies on the decisions in *R. v. Jorgensen*, [1995] 4 SCR 55 and in *Levis (City) v. Tetrealt*, [2006] 1 SCR 420 and *R. v. Cancoil Thermal Corp.* [1986] O.J. No. 290(S.C.O.) with respect to officially induced error.

Due Diligence Regarding Equipment – Preventative Maintenance

[442] The defendants submit that the evidence of preventative maintenance is to be found in the evidence of Mr. McCullough. The defendants submit that Mr. Heyworth's evidence is not credible as he claimed that he suspected the truck-to-truck transfers were going on and did spot checks by driving by the site yet did nothing to attempt to gain confirmation that the defendants were not doing these. In fact, he spoke to Mr. Ben-Moshe who said they were doing these types of transfers, yet he did not issue a report. Further, the TSSA inspector Mr. Heyworth had inspected unit 861 in late June of 2008.

[443] Mr. Adler points to the *Canadian Tire* decision and Justice Hill's comments regarding the standard of care required at para. 85 and submits that the court must guard against the distorting influences of hindsight. It reads as follows:

85 Accidents or innocent breaches of a regulatory offence inevitably occur. An absolute liability offence is not at issue here. In assessing the efficacy of a due diligence defence, the court must guard against the correcting, but at times distorting, influences of hindsight. In considering the defendant's efforts, the Court "does not look for perfection" (*R. v. Safety-Kleen Canada Ltd.* (1997), 114 C.C.C. (3d) 214 (Ont. C.A.) at 224) nor some "superhuman effort" on the defendant's part (*R. v. Courtaulds Fibres Canada* (1992), 76 C.C.C. (3d) 68 (Ont. Prov. Ct.) at 77). If the facts suggest a discoverable causative flaw "could readily" have been remedied, due diligence will fail: *R. v. Rio Algom Ltd.*, supra at 249, 252. In this regard, in the regulation of the environment, it was observed in *R. v. Alexander*, [1999] N.J. No. 19 (C.A.) at para. 16, that: "As a matter of principle, it should be observed that arguments based on the expense associated with compliance cannot generally be sustained".

[444] Mr. Adler also referred to the decision in *R. v. Lonkar Well Testing Limited*, 2009 ABQB and submitted that the situation in this case is similar. In that case a worker was killed after removing some bolts from a meter run which resulted in a low oxygen level in his work place. The trial judge found the company guilty of failing to ensure that all steps were taken for the safety of the worker and was not persuaded that the company had exercised due diligence. On appeal the court found that the trial judge had engaged in speculation regarding safety practices that could have prevented the death. In the case before the court the defendants submit that there was a structural defect in a part not manufactured by the defendants which was tested by the defendants and was found to be working properly.

[445] The defendants also refer to the decision in *R. v. Sunshine Village Corp*, 2010 ABQB 493 regarding foreseeability. In that case a worker at the ski resort was killed when he was sitting on

the top portion of a ski lift when it entered the main station at the bottom of the hill. The appeal judge found that the trial judge had erred on the issue of foreseeability at para 93:

93 Like the situation in *Lonkar*, in my view the Trial Judge erred by imposing a requirement based on hindsight. I find that the three employees who were properly trained and aware of the safety requirements required in riding the work carrier but for some unknown reason continued to proceed in the work carrier contrary to their training and instructions. The work procedures, in place at the time and well known to all three employees, were not followed at the critical times by the employees. Sunshine was not required to achieve a standard of perfection. In my view the evidence at trial illustrated they had a proper system in place at the time and took reasonable steps to ensure that it operated effectively. I have reviewed the case law and the facts and I find that Sunshine has met the test for the defence of due diligence.

Due Diligence - Oversight of Drivers

[446] The defendants submit that the evidence of Mr. De Leon makes it clear that there was significant training and instruction provided to him and that he testified to this in relation to the procedures he used in the transfer process prior to the explosion. The defendants submit that it would be unreasonable to “double up” the number of employees to provide this oversight and supervision. In this situation the defendant submits that Mr. De Leon simply panicked, he was not pre-occupied with personal matters and was doing what he needed to do to safely complete the transfer.

30,000 USWG Tank

[447] The defendants submit that they did pursue the installation of the tank in a diligent matter. The evidence of Mr. McCullough was that it would have been more dangerous to proceed with the installation in the wet weather. Admittedly there were other issues in terms of Mr. McCullough’s availability as his was a small firm; however, there is a small niche of people who do this type of work. Mr. Adler points out that the first installation at the 54 Murray Road site took over a year and this installation was just about finished at 16 – 17 months. Finally, Mr. Adler submits that the defendants have established that they were duly diligent and did have preventative systems in place.

Crown Response to Defence Submissions- Information # 10400978

[448] In answer to the defence submission that there was not any evidence of any previous leaks, on the issue of foreseeability, the Crown submits that there is such evidence that was found in exhibit 45, which are a number of invoices of Mr. McCullough’s that speak to leaks in valves, pumps, load lines and swivels. The Crown also points out that there was no evidence that the hose used that was involved in the explosion was new or even nearly new. The only thing that was determined by Mr. Bennett was that the hose involved in the explosion was manufactured after December of 2006. Mr. McCullough also testified that the hose that he changed on June 19th, of 2008 was the delivery hose on unit 1 and not the yard hose, so that is not evidence of the yard hose being brand new.

[449] The Crown takes issue with the defence submission that Mr. Bennett's evidence attributed the leak to a manufacturing defect that was responsible for the leak. Mr. Adamson, on behalf of the Crown, asked Mr. Bennett about the hose as follows:

Q. And were you able to conclude anything from what you recovered about the state of that hose before the event?

A. I submitted that hose to the Centre for Forensic Sciences for detailed examination, and they were unable to provide any information regarding the status of that hose prior to that incident.

[450] Mr. Adamson submits that this language is repeated in the Ontario Fire Marshal's report at page 101, where Mr. Mustard, one of the engineers who assisted in the preparation of the report said he could not determine if the hose was damaged or not prior to the explosion. Therefore there was no evidence as to whether or not there was a defect. Mr. Adamson submits that the evidence is that there were only two possible sources of the leak - the hose or the components of the pump and that was as far as the evidence goes. There could be any number of causes and it would be speculation to say that it was a manufacturing defect.

[451] The Crown submits that the evidence of the pump as a possible leak was discussed in Mr. Bennett's evidence in chief,

Q. #2, is that -- you're circling the bypass valve?

A. Yes.

Q. That's #2.

A. Now, on tanker 861, we didn't recover this part of the system, the bypass system, so we were unable to analyze that part.

Q. Okay. And when you say, again, for the record, when you say the bypass system, you mean, you're pointing to the bypass valve itself?

A. The bypass valve itself, and the hosing between it and the tank. So I'll identify that as #3.

Q. Yes, if you could just circle what it was you didn't recover, and identify that as #3. So just to be clear, is it both the bypass valve, and that hosing that wasn't recovered, or just the hosing?

A. The bypass valve and the hosing weren't recovered.

[452] The Crown submits as those components were not recovered there was no opportunity to analyze them and no information available as to what, if any, defect there was. Mr. Adamson also pointed to a portion of the cross-examination where the pump was discussed and Mr. Bennett made it clear that those parts were not found and examined.

[453] Mr. Adamson, on behalf of the Crown also made submissions with regard to the additional defences the defendants raised. With regard to officially induced error the Crown relies on the Supreme Court of Canada decision in *Levis (City) v. Tetreault* [2006] S.C.C. 12 which states that this defence is only available in a very narrow set of circumstances. That is that the defendant is under a misapprehension about the state of the law, not about the state of the facts. In the case before the court the Crown submits that there is no evidence that the defendants continued truck-to-truck transfers because of any error of law. At best that question was whether or not Mr.

Heyworth was going to shut them down and that was not a legal question but a question as to how Mr. Heyworth intended to exercise his discretion as an inspector.

[454] Lastly, the defence of impossibility is also referred to in *Synchrude* at para. 129 and the court pointed out that this defence is essentially the flip side of necessity in that there was no way to avoid doing the act. The Crown submits that this defence fails because there was a reasonable legal alternative in this case.

Crown Position Legal EPA Breach of Order Charges –Information # 0900354

[455] As I indicated at the beginning of this judgment Sunrise Property Group is charged with five counts of failing to comply with a provincial officer's Order contrary to s. 186(2) of the EPA and Mr. Ben-Moshe and Mr. Belahov are charged with being directors of a corporation with failing to take all reasonable care to prevent the Corporation from contravening a provincial officer's Order contrary to section 194(1) (f) of the Act. It is common ground that the defendants did not comply with the Order. While the Order was admitted on consent the Crown also notes that it is an official document pursuant to s. 175(1)(a) of the Act and is admissible on that basis. The Crown made some general submissions before going through each of the items in the Order.

[456] The Crown submits that the order was served personally as it was required to be and that it was delivered to the defendants. This is admitted in the agreed statement of facts. Section 186(1) reads as follows;

186. (1) Every person who contravenes this Act or the regulations is guilty of an offence. R.S.O. 1990, c. E.19, s. 186 (1).

Exception

(1.1) Subsection (1) does not apply to a contravention of section 14 unless the contravention causes or is likely to cause an adverse effect. 2005, c. 12, s. 1 (54).

Offence re order

(2) Every person who fails to comply with an order under this Act, other than an order under section 99.1, 100.1, **194. (1)** Every director or officer of a corporation has a duty to take all reasonable care to prevent the corporation from, 150 or 182.1, is guilty of an offence. R.S.O. 1990, c. E.19, s. 186 (2); 2005, c. 12, s. 1 (55).

(2) Every person who has a duty under subsection (1) and who fails to carry out that duty is guilty of an offence. R.S.O. 1990, c. E.19, s. 194 (2).

Onus

(2.1) If a director or officer of a corporation is charged with an offence under subsection (2) in connection with a specific contravention of the corporation, the director or officer has the onus, in the trial of the offence, of proving that he or she carried out the duty under subsection (1) in connection with that contravention. 2005, c. 12, s. 1 (66).

[457] Mr. Jacob argued these breach charges on behalf of the Crown and referred to the purpose of the Act which is set out in section 3 as follows;

3. (1) The purpose of this Act is to provide for the protection and conservation of the natural environment. R.S.O. 1990, c. E.19, s. 3.

The authority for issuing an Order is found in section 157(1)(a) of the Act,

Order by provincial officer: contraventions

157. (1) A provincial officer may issue an order to any person that the provincial officer reasonably believes is contravening or has contravened,
(a) a provision of this Act or the regulations;

[458] The Order that Ms. White issued was admitted on consent as an exhibit. The Order was issued to two companies, 2094528 Ontario Inc. and Sunrise Propane on August 13, 2008, three days after the explosion. There were eight work items that needed to be addressed,

1. Provide written confirmation that the company is willing to comply with the requirements of the Order- compliance date- August 13, 2008 by 5 p.m.
2. Provide notification if for whatever reason the company cannot or is unwilling to comply with the Order verbally and in writing- compliance date -within 12 hours of August 13, 2008.
3. Retain the services of one or more qualified persons to carry out the work required by the Order compliance date- August 13, 2008 by 5:00 p.m.
4. Provide written verification that one or more qualified persons had been hired to carry out the work required by the Order – compliance date -August 13, 2008 by 5:00 p.m.
5. Clean-up of the residential area around 54 Murray Road – compliance date – effective immediately
6. Develop written clean-up plan – compliance date - August 13, 2008 by 5:00 p.m.
7. Provide written copies of the sampling results to the provincial officer and Dr. Shapiro of Toronto Public Health – compliance date – effective immediately, and
8. Develop clean-up plan for 54 Murray Road within 24 hours of the Ontario Fire Marshal releasing the site.

[459] 2094528 Ontario Inc. was only responsible for items 2, 3 & 4, 7 and 8. Sunrise Propane was responsible for all items in the Order. The Crown submitted that it is important for corporations to submit information to the Ministry of the Environment in order to reduce risks to the public. This was addressed by the Ontario Court of Appeal in *R. v. Mac's Liquid Disposal* (1982), [1987] O.J. No. 884 (Ont. C.A.),

It must be remembered that the forms required by the Environmental Protection Act are not intended to induce anyone to act upon them. Rather they fulfil an important reporting function that permits the Ministry to properly oversee and regulate the management of liquid wastes.

[460] This statement ties into the general principle that public welfare legislation should be interpreted with a purposive approach and should be interpreted broadly, *R. v. Ontario (Ministry of Labour) v. Hamilton (City)*, [2002] O.J. No. 283.

[461] The Crown argues that all Orders are presumptively valid. Authority for this is found in *R v. Consolidated Maybrun Mines Ltd.*, where the Supreme Court of Canada found that a trial court lacks jurisdiction to consider the merits of an administrative Order where the legislature has established a separate administrative appeal process for that purpose. That case involved a charge

against an accused for failing to comply with an administrative Order under the *Environmental Protection Act*. The accused challenged the Order issued at trial and the jurisdiction of the Director to issue the Order. The Supreme Court held that this constituted a collateral attack on the Order at paras. 52 to 65:

52 In summary, the question whether a penal court may determine the validity of an administrative order on a collateral basis depends on the statute under which the order was made and must be answered in light of the legislature's intention as to the appropriate forum. In doing this, it must be presumed that the legislature did not intend to deprive a person to whom an order is directed of an opportunity to assert his or her rights. For this purpose, the five factors suggested by the Court of Appeal, as reformulated here, constitute important clues for determining the legislature's intention as to the appropriate forum for raising the validity of an administrative order.

Application of the Principles to the Case at Bar

53 The purpose of the Environmental Protection Act is "to provide for the protection and conservation of the natural environment" (s. 2). It accordingly confers on the directors appointed by the Minister under the Act a certain number of powers of a considerable scope which are essentially preventive in nature. Thus, under s. 7, the Director is authorized to issue a stop order requiring the cessation of any activity resulting in the discharge of contaminants that constitute, or the level of which constitutes, a danger to human life or health. Furthermore, the construction or alteration of any plant, structure or apparatus that may discharge a contaminant into the environment, or any alteration of a process or rate of production entailing the discharge of contaminants into the environment, is subject to prior approval by the Director by means of a certificate (s. 8). Finally, s. 17 authorizes the Director to order the owner of, or person who controls, an undertaking or property to take steps to prevent or reduce the risk of environmental contamination. These are clearly broad powers that are, where ss. 7 and 17 are concerned, subject only to the condition that the Director base such a decision on reasonable and probable grounds that there is a risk of contamination based on the definition of the word "contaminant" in s. 1 of the Act.

54 The very fact that the Act gives the Director a certain number of powers of a preventive nature, including those set out in s. 17, which are at issue here, is a clear indication that the purpose of the Act is not just to remedy environmental contamination, but also to prevent it. This purpose must, therefore, be borne in mind in interpreting the scheme and procedures established by the Act.

55 It is true that the Act also has a remedial dimension. Thus, it confers on the Minister a power, now exercised by the Director under the present s. 17 (R.S.O. 1990, c. E.19), to order repairs where a contaminant is emitted or discharged into the environment (s. 16). This power to order repairs, like the fact that s. 143 authorizes the government, as it did in the case at bar, to take any necessary action to protect the environment and bring proceedings to recover any amounts disbursed, cannot be read as reducing the importance of the Act's preventive purpose. On the contrary, it is my view that s. 143 shows the concern of the legislature with giving the government the tools needed to guarantee prompt compliance with orders issued under the Act, since a person to whom an order is directed could be required to bear the cost of any steps he or she neglects or refuses to take.

56 However, a person affected by a decision of the Director is not without recourse under the Act. On the contrary, ss. 120 et seq. of the Act provide for the creation of an Environmental Appeal Board, whose sole function is to hear appeals from decisions of the Director. In particular, s. 122 authorizes a person to whom an order is directed to appeal to the Board within 15 days after service of the order. Sitting as a panel of three, the Board has full power to review the Director's decision and take any action it deems necessary and may substitute its own opinion for that of the Director (s. 123). It is, therefore, a de novo process whose purpose is to permit the Director's decision to be reviewed in light of submissions by the affected party. Furthermore, should this party not be satisfied with the outcome, he or she has a right of appeal to the Divisional Court on a question of law, and a right of appeal to the Minister on any other matter.

57 In establishing this process, the legislature clearly intended to set up a complete procedure, independent of any right to apply to a superior court for review, in order to ensure that there would be a rapid and effective means to resolve any disputes that might arise between the Director and the persons to whom an order is directed. The decision to establish a specialized tribunal reflects the complex and technical nature of questions that might be raised regarding the nature and extent of contamination, and the appropriate action to take. In this respect, the Board plays a role that is essential if the system is to be effective, while at the same time ensuring a balance between the conflicting interests involved in environmental protection.

58 Finally, the Act establishes a penal remedy for failing to comply with an order issued by the Director (s. 146(1a)). The question in the case at bar is whether a person who has not challenged an order through the Board's appeal process may, once charged, raise the validity of the order by way of defence.

59 Since the legislation does not give an express answer to this question, it is necessary to look for a solution that appears most consistent with the legislature's intention. It is clear from a review of the Environmental Protection Act that its purpose is not simply to repair damage to the environment resulting from human activity, even if we assume that repairs will always be possible, but primarily to prevent contamination of the province's environment. Such a purpose requires rapid and effective means in order to ensure that any necessary action is taken promptly. This purpose is reflected both in the scope of the powers conferred on the Director and in the establishment of an appeal procedure designed to counterbalance the broad powers conferred on the Director by affording affected individuals an opportunity to present their points of view and assert their rights as quickly as possible. As Kurisko J. stated in this case (at p. 341):

- It is vital that enforcement of the director's orders under s. 17 be addressed speedily, expertly and effectively while at the same time respecting the private rights and interests of the individuals to whom such orders apply. This has been achieved by the enactment of the three-tier appeal structure set out in s. 123.

60 In the case at bar, the appellants elected to disregard not only the order, but also the appeal mechanism, preferring to wait until charges had been laid before asserting their position. Eleven years later, these proceedings are still in progress, and the appellants are still arguing that the order ought never to have been issued. It seems clear to me that the Board could have dealt with this entire matter more rapidly and more sensibly. The appellants' attitude forced the government to undertake the necessary measures to prevent a PCB spill. While the Act does contemplate such course of action, it cannot be said to encourage it. I agree with Laskin J.A. of the Ontario Court of Appeal that to permit the appellants to collaterally attack the order at the stage of penal proceedings would encourage conduct contrary to the Act's objectives and would tend to undermine its effectiveness.

61 Furthermore, in this connection, the appellants cannot raise their right to make full answer and defence without showing that the Act is deficient in this respect or that the government's actions had the effect, in practice, of depriving them of this right. Yet, there is no indication that the Act's appeal process was inadequate or that the Board was powerless to remedy the deficiency that they now raise against the order.

62 This leads me to the factor regarding the nature of collateral attack, which I discussed above. At trial, the appellants sought to show that the order was invalid because it could not be based on reasonable and probable grounds to believe, as required by s. 17, that there was a danger of environmental contamination. In accepting this submission, the trial judge reviewed the expert evidence on the dangers of PCBs and on the best way to prevent those dangers. On the basis of this evidence, he found that the order to construct a storage area for the transformers was unfounded, as was the order to clean the concrete surfaces stained with contaminated oil. In his opinion, the cleaning and chipping could cause the release of contaminated particles and would therefore constitute a more serious environmental risk. However, in my view, there is no doubt that this is the very type of question the Board was established to answer. As mentioned above, whether the issue is lack of jurisdiction *ab initio* or loss of jurisdiction is irrelevant. What is important is on whom the legislature intended to confer jurisdiction to hear and determine the question raised. In the case

at bar, the answer to this question is not in doubt. The legislature set up a specialized tribunal to hear questions relating to the environment and to take the appropriate action necessary to prevent it from being contaminated. I do not see how a penal court could be permitted to answer such questions in lieu of the Environmental Appeal Board, which was established precisely for this purpose, without undermining the scheme set up by the Act.

63 All that remains to be considered is the final factor suggested by Laskin J.A.: the penal consequences for the accused. Here, the Act provides for a fine of not more than \$5,000 for an individual and of not more than \$25,000 for a corporation. This maximum amount for a first offence is doubled in the event of a subsequent offence. Although these amounts are not insignificant, no minimum fine is prescribed and imprisonment is not an option, at least as a direct sanction for violating the Environmental Protection Act. However harsh these measures might be considered to be, they are not sufficient to justify a conclusion that the legislature's intention was to authorize collateral attacks to the detriment of the Act's objectives and the Board's jurisdiction.

64 In concluding, I cannot refrain from pointing out that the appellants, by systematically refusing to co-operate with the Ministry of the Environment and to participate in any dialogue, have shown an inflexible attitude for which they must now bear the consequences. Such an attitude serves neither the interests of society in environmental protection nor the interests of those who are subject to administrative orders. While penal sanctions will, perhaps, always be a necessary component of any regulatory scheme, they must not become the principal or a customary instrument for relations between the government and its citizens.

- VI.

Disposition

65 Considering the purpose of the Environmental Protection Act and the procedural mechanisms established to guarantee that a person to whom an order is directed can assert his or her rights, I conclude that persons charged with failing to comply with an order issued under the Act cannot attack the validity of the order by way of defence after failing to avail themselves of the appeal mechanisms available under the Act. The trial judge accordingly lacked jurisdiction to rule on the validity of the order.

[462] The Crown submits that this decision makes it clear that there cannot be a collateral attack on the Order. The Crown also referred to *Libman on Regulatory Offences in Canada*, (Victoria, BC: EarlsCourt Legal Press Inc., Update 20, 2011) at page 7-235 which refers to due diligence and collateral attacks on administrative orders. The text reads as follows:

To successfully establish a due diligence defence, defendants are bound to accept the validity of the administrative order and show that they attempted to comply with it. It is not open to a party to claim due diligence by claiming that the order was unreasonable and then refusing to comply with it.

[463] Given that the defendants didn't avail themselves of the appeal procedure the Crown submits that they are not permitted to launch a collateral attack on the Order at this trial.

[464] The Crown also submits that the breach charges are continuing offences. There was an ongoing legal obligation on the defendants beyond the compliance deadlines that were on the face of the Order. The offence period runs from August 14, 2008 to August 24, 2008 as the latter date is when the city had completed the clean-up.

[465] Continuing offences were discussed by the Court of Appeal in *R. v. Rutherford*, [1990] O.J. No. 136(Ont. C.A.). In that case the appellant was convicted of two counts of refusing to

comply with Orders under s. 93 of the *Power Corporation Act* regarding his work as an electrical contractor. In *Rutherford* the court did not find that there was a continuing offence because the work had been completed. However the court considered the decision in *R. v. Industrial Appeals Court*, [1965] V.R. 615 (Victoria S.C.) which discussed continuing offences as follows;

A continuous or continuing offence is a concept well known in the criminal law and is often used to describe two different kinds of crime. There is the crime which is constituted by conduct which goes on from day to day and which constitutes a separate and distinct offence each day the conduct continues. There is, on the other hand, the kind of conduct, generally of a passive character, which consists in the failure to perform a duty imposed by law. Such passive conduct may constitute a crime when first indulged in but if the obligation is continuous the breach though constituting one crime only continues day by day to be a crime until the obligation is performed.

[466] Given that the defendants did not comply with their obligations there was a continuing offence. Further support can be found in the Ontario Court of Appeal's decision in *R. v. Pickles*, [2004] O.J. No. 662 (Ont. C.A.). The Court commented favourably on the *Rutherford* decision and found that it is easier to find a continuing offence when there are daily penalties involved. Under the EPA every corporation and individual convicted of an offence under s. 186 is liable to a fine for each day or part of a day upon which the offence occurs or continues.

[467] Another Ontario Court of Appeal case dealing with this issue is *Her Majesty the Queen(Workplace Safety and Insurance Board) v. Hamilton Health Sciences Corporation*, [2000] O.J. No. 3929 (Ont. C.A.). In this case the issue was whether an offence under the *Workplace Safety and Insurance Act* was a continuing offence for the purpose of determining whether the information was properly laid within the limitation period. The employer was charged with failing to notify the Board within three days after learning of an employee's accident. The Court held that the interpretation that best ensures the objectives of the legislation are achieved by ensuring that the duty is placed on the employer to report to the Board at para. 14 as follows;

In my view, the interpretation of s. 21(1) that best ensures that the objects of the legislation are achieved emphasizes the employer's duty to report rather than the timeliness of the reporting. In s. 21(1), the Legislature has placed a duty on the employer to report the injury to the Board and provided a reasonable (three-day) grace period for the employer to comply with the duty. It is my view that the offence continues until the employer complies with its reporting obligation. Any other interpretation gives an employer who fails to meet the three-day deadline an incentive to hold off reporting entirely or at least for six months, in the hope that the Board will not learn of the injury from another source within six months. If the employer succeeds, it will at worst face the \$250 administrative penalty imposed by the Board. Such an interpretation of the legislation would hardly encourage compliance and could defeat the statutory scheme. An interpretation that would lead to such a result should be avoided if possible.

[468] The Crown submits that the purpose for the requirements in items 1, 2, 4 and 6 were not the timeliness of submitting the required information, but to put an obligation on the defendants to report the information to the Officer in a clear and timely manner so that appropriate alternate steps could be taken to get people back into their homes and to ensure businesses in the area could continue to operate as soon as possible.

Count 1. Written confirmation that the company is willing to comply with the requirements of the Order (Item 1) - compliance date - August 13, 2008 by 5 p.m.

[469] The Crown submits that at the time the Order was issued Ms. White had already received verbal verification from Mr. Belahov that Hazco had been hired and that the company would do what was legally required of them. Therefore, the intent of this item was to get written confirmation from the defendants. Given that the defendants didn't comply with the Order the actus reus of the offence has been proven beyond a reasonable doubt.

[470] The Crown acknowledges that there wasn't much time to comply with this item number given there were only 19 minutes left by the time it was served at 4:41 p.m. However, the obligation continued until it was done. This item was never complied with and the Crown submits it would have been easy to do so as the evidence of Ms. White was that an e-mail or fax would have sufficed as long as there was company information on it and a signature of someone authorized to act on behalf of the company.

Count 2. Provide notification if, for whatever reason, the company cannot or is unwilling to comply with the Order (Item 2) verbally and in writing- compliance date -within 12 hours of August 13, 2008-

[471] The Crown submitted this was an important requirement as the work needed to be done quickly, and if the defendants were not going to do it arrangements had to be made forthwith, and that this obligation was continuing. Providing notice of a lack of willingness to comply with the Order was never intended to relieve the defendants of their legal obligations. At some point the counsel at the Ministry was notified that the defendants would not be able to comply verbally but this was never confirmed in writing.

[472] Mr. Warren testified that he did not provide any written confirmation and was not aware of anyone having done so. The Crown submits that it is clear from the wording of the Order itself that each item is severable. Therefore, even if I find that the defendants have complied with this item they are still required to comply with the other items. It is the Crown's position that this item was not complied with and that this count has been proven beyond a reasonable doubt.

Count 3. Provide written verification that one or more qualified persons had been hired to carry out the work required by the Order (Item 4) – compliance date - August 13, 2008 by 5:00 p.m.

[473] Ms. White testified that the purpose of this item was to get written confirmation that the defendants had retained someone that was going to do the work. The point of the Order was to have workers that were able to deal with the clean-up of asbestos and propane containers. It was up to the defendants to decide how involved they wished to be in that process. Ms. White testified that on August 14, 2008 she was advised that the defendants had not yet discussed the Order

with their lawyers and by this time the compliance dates for items 1,2,3,4 and 5 had passed. It was the evidence of Mr. Hicks that Hazco had the ability and the expertise to carry out the work items required by item 3. Although Mr. Hicks had received a verbal commitment from the defendants to meet and sign documentation the meeting never occurred. Mr. Warren's evidence was that his interpretation was that written verification was not required. The Crown submits that this evidence proves the *actus reus* of the offence.

Count 4. Failure to clean-up the residential area around 54 Murray Road (Item 5)- compliance date –effective immediately August 13, 2008

[474] Ms. White testified that this involved taking reasonable measures to clean-up the natural environment. The area was specified in the Order as being located within a radius of one kilometre of the site including public, residential and commercial properties. Her expectation was that that area would be inspected for debris. It had been determined that the majority of the debris had been deposited in an easterly direction affecting residential areas and some went in a westerly direction into a cemetery.

[475] Ms. White used the word “continue” in this item as she was under the impression that the defendants had already started the clean-up when she observed Mr. Hicks conducting air sampling on and off site. Mr. Belahov had advised Officer White that the defendants had taken steps to hire Hazco to do what was legally required of them. The City of Toronto started the clean-up on August 16, 2008 and completed the work on August 24, 2008. On August 25, 2008 Mr. Warren advised Officer White that the insurance issues were still unresolved.

[476] The Crown submits that the defendants did take initial steps to start a clean-up effort that were terminated and therefore the *actus reus* of this count has been proven beyond a reasonable doubt.

Count 5 – Failure to Submit a Residential Clean-Up Plan (Item 6) – compliance date August 14, 2008.

[477] The Residential Clean-Up Plan was defined in the Order and required that a number of issues be addressed including ambient air monitoring, waste removal and special procedures for removal asbestos and asbestos-related material and a proposed schedule for submission of a final report on the clean-up. Ms. White received an email from Mr. Hicks which was a good basic outline, but there was information missing. This item formalized her request of Mr. Hicks. The email was sent before the Order was made.

[477] The Crown submits that the evidence of Officer White that she did not receive a plan proves the *actus reus* of this count beyond a reasonable doubt and notes that it would not have been onerous for the defendants to comply with this item. Officer White testified that the plan could have been contained in an email similar to the one Mr. Hicks had sent on August 12, 2008 if it contained all of the requested information.

Counts 6 and 7 – Failure of a Director of a Corporation to Take all Reasonable Care to Prevent the Corporation from Contravening an Order

[479] The Crown submits that the relevant sections of the *Environmental Protection Act* for these charges are as follows;

Duty of director or officer

194. (1) Every director or officer of a corporation has a duty to take all reasonable care to prevent the corporation from,

(f) contravening an order under this Act, other than an order under section 99.1, 100.1, 150 or 182.1. 2005, c. 12, s. 1 (65); 2009, c. 12, Sched. G, s. 25; 2010, c. 16, Sched. 7, s. 2 (89-91).

Offence

(2) Every person who has a duty under subsection (1) and who fails to carry out that duty is guilty of an offence. R.S.O. 1990, c. E.19, s. 194 (2).

Onus

(2.1) If a director or officer of a corporation is charged with an offence under subsection (2) in connection with a specific contravention of the corporation, the director or officer has the onus, in the trial of the offence, of proving that he or she carried out the duty under subsection (1) in connection with that contravention. 2005, c. 12, s. 1 (66).

[480] The Crown submits that section 194(2.1) was added to further clarify the actus reus for the offence in s. 194(2) and does not require the Crown to prove that the defendants failed to take all reasonable care to prevent the corporation from contravening an Order. The section preserves the due diligence onus of a defendant to prove that they took all reasonable steps to prevent the contravention. As the defendants have admitted being directors of the Corporation during the relevant time period the Crown submits that the actus reus for both offences has been proven beyond a reasonable doubt.

Position of the Defence Regarding the Breach Orders -Information # 0900354

[481] Mr. Adler submits that the defendants have shown, on a balance of probabilities, that they exercised due diligence with respect to the breach charges.

The Defence of Impossibility

[482] Mr. Adler submits that the Order of the provincial officer was impossible to comply with because of the compliance times and that the defendants were entitled to rely on the advice of Mr. Warren regardless of whether or not it was correct.

[483] The defendant submits that careful consideration must be given to the reasonableness of the Order and the amount of time provided for compliance, particularly given the vast scope of

clean-up work ordered. The Order was served upon the defendant's counsel on August 13, 2008 at 4:41 p.m. and the directors received it at some point between 5:00 and 6:00 p.m. on the same date.

[484] Further, Mr. Adler submits that given that s. 157(3) of the EPA provides that, "The order may require the person to whom it is directed to comply with any directions set out in the order within the time specified..." and therefore, the issue of whether or not the compliance time limits can be altered or made "more flexible" through custom or informal practice, is truly moot. He argues that the only way an amendment to the time limits set out in the Order can be made is through written notification to the defendants pursuant to s. 157.2 and this was never done. For ease of reference I have set out the section in its entirety. It reads as follows:

157.2 (1) An order issued under section 157 or 157.1 may, by order, be amended or revoked by the provincial officer who issued it or by the Director.

Same

(2) A provincial officer or Director who amends or revokes an order shall give written notice of the amendment or revocation to the person to whom the order is directed. 1998, c. 35, s. 1

[485] Mr. Adler submits that the provincial officer never did provide notice that she was prepared to extend the date for complying with the Order. In serving an Order with such a short compliance time the provincial officer foreclosed the opportunity for the defendants to comply and that the defendants were entitled to rely on a strict reading of it. The Order failed to comply with the statute. The defendant submits that the issue in *Consolidated Mines* was different as in that case the Order never should have issued.

[486] Mr. Adler also makes the point that there is no provision in the legislation for a "Report" to be attached to an Order. A reading of section 157 and 157.1 reveals no mention of reports and as a provincial officer is a creation of statute they can only do what the statute authorizes them to do. Further Mr. Adler notes that there is provision in the Act for reports in other locations but in different contexts. He also points to s. 127(1) of the Act that makes a distinction between an order and a report as follows;

127. (1) Where the Director proposes to issue a control order, the Director shall serve notice of his or her intention, together with written reasons therefore and a copy of the report of the provincial officer or other person designated under this Act upon which the reasons are based, and shall not issue the control order until fifteen days after the service thereof.

In his submission this is dispositive of the issue.

[487] Mr. Adler also notes that section 157(2)(a) of the Act directs that the provincial officer shall specify the provision, term or condition that the provincial officer believes is being or has been contravened and there is absolutely nothing in the Order that addresses this. Section 157(2)(b) requires that the location of the contravention should be specified and that is not in the Order.

[488] With respect to the determination of whether or not the defendants have collaterally attacked the Order, Mr. Adler submits that there has been no collateral attack. The defendants submit that the provincial officer had the jurisdiction to make the Order but that it is incomprehensible and not capable of being followed and is therefore unenforceable. In addition to this the Order was made pursuant to s. 157 and not 157.1 and the defendants were entitled to rely what was on the face of the Order.

[489] Mr. Adler also referred to the penalty section of the Act which is as follows;

Environmental penalties

182.1 (1) Subject to the regulations, the Director may issue an order requiring a regulated person to pay a penalty if,

(a) the regulated person contravenes,

(i) section 14,

(ii) section 93,

(iii) a provision of the regulations that establishes or has the effect of establishing a numerical limit, including a limit of zero, on the amount, concentration or level of anything that may be discharged to the natural environment,

(iv) a provision of an order under this Act that establishes or has the effect of establishing a numerical limit, including a limit of zero, on the amount, concentration or level of anything that may be discharged to the natural environment, or

(v) a provision of an environmental compliance approval, certificate of property use, renewable energy approval, licence or permit under this Act that establishes or has the effect of establishing a numerical limit, including a limit of zero, on the amount, concentration or level of anything that may be discharged to the natural environment; or

(b) the regulated person contravenes a provision, other than a provision referred to in clause (a), of,

(i) this Act or the regulations,

(ii) an order under this Act, other than an order under section 99.1, 100.1 or 150 or an order of a court,

(iii) an environmental compliance approval, certificate of property use, renewable energy approval, licence or permit under this Act,

(iv) a report under section 29, or

(v) an agreement under subsection (9). 2005, c. 12, s. 1 (52); 2009, c. 12, Sched. G, s. 22 (1, 2); 2010, c. 16, Sched. 7, s. 2 (79, 80).

[490] Mr. Adler asks why should there be an offence contrary to the terms of the report and that the only report that is valid for this section is a report pursuant to s. 29 which reads as follows:

Report by Minister

29. (1) Where the Minister reports in writing to the clerk of a municipality that the Minister is of the opinion that it is necessary in the public interest that waste be collected or a waste management system or any part thereof be established, maintained, operated, improved, extended, enlarged, altered, repaired or replaced, it is not necessary to obtain the assent of the electors to any by-law for incurring a debt for any such purpose, and the municipality shall forthwith do every possible act and thing in its power to implement the report of the Minister within the time specified. R.S.O. 1990, c. E.19, s. 29.

Therefore, in his submission that the only report that is valid for the offence section is one by the Minister.

Mr. Adler then turned to the penalty section in section 187 which reads,

Penalties

187. (1) Every individual convicted of an offence under section 186, other than an offence described in subsection (3), is liable,

(a) on a first conviction, for each day or part of a day on which the offence occurs or continues, to a fine of not more than \$50,000; and

(b) on each subsequent conviction,

(i) for each day or part of a day on which the offence occurs or continues, to a fine of not more than \$100,000,

(ii) to imprisonment for a term of not more than one year, or

(iii) to both such fine and imprisonment. 2005, c. 12, s. 1 (57).

Same: corporations

(2) Every corporation convicted of an offence under section 186, other than an offence described in subsection (3), is liable,

(a) on a first conviction, for each day or part of a day on which the offence occurs or continues, to a fine of not more than \$250,000; and

(b) on each subsequent conviction, for each day or part of a day on which the offence occurs or continues, to a fine of not more than \$500,000. 2005, c. 12, s. 1 (57).

Application of subs. (4) and (5)

(3) Subsections (4) and (5) apply to the following offences:

1. An offence under subsection 186 (1) of,

i. contravening section 14 or 15,

ii. contravening section 27, 40, 41 or 47.3 in respect of hauled liquid industrial waste or hazardous waste as designated in the regulations relating to Part V,

iii. contravening section 92 or 184, or

iv. contravening a provision of the regulations that establishes or has the effect of establishing a numerical limit, including a limit of zero, on the amount, concentration or level of anything that may be discharged to the natural environment.

2. An offence under subsection 186 (2) of failing to comply with an order under this Act that establishes or has the effect of establishing a numerical limit, including a limit of zero, on the amount, concentration or level of anything that may be discharged to the natural environment.

3. An offence under subsection 186 (3) of failing to comply with a term or condition of an environmental compliance approval, certificate of property use, renewable energy approval, licence or permit under this Act, or a report under section 29, that establishes or has the effect of establishing a numerical limit, including a limit of zero, on the amount, concentration or level of anything that may be discharged to the natural environment.

4. An offence under subsection 194 (2) that relates to a contravention or failure to comply referred to in paragraph 1, 2 or 3. 2005, c. 12, s. 1 (57); 2009, c. 12, Sched. G, s. 24; 2010, c. 16, Sched. 7, s. 2 (85).

Certain offences: corporations

(4) Every corporation convicted of an offence described in subsection (3) is liable, for each day or part of a day on which the offence occurs or continues, to a fine of,

(a) not less than \$25,000 and not more than \$6,000,000 on a first conviction;

(b) not less than \$50,000 and not more than \$10,000,000 on a second conviction; and

(c) not less than \$100,000 and not more than \$10,000,000 on each subsequent conviction. 2005, c. 12, s. 1 (57).

Certain offences: individuals

(5) Every individual convicted of an offence described in subsection (3) is liable,

(a) for each day or part of a day on which the offence occurs or continues, to a fine of,

(i) not less than \$5,000 and not more than \$4,000,000 on a first conviction,

(ii) not less than \$10,000 and not more than \$6,000,000 on a second conviction, and

(iii) not less than \$20,000 and not more than \$6,000,000 on each subsequent conviction;

(b) to imprisonment for a term of not more than five years less one day; or

(c) to both such fine and imprisonment. 2005, c. 12, s. 1 (57).

[491] Mr. Adler submits that this section is also very specific and the words have specific meaning. Mr. Adler argues that under part 14 of this Act there is absolutely no provision for the

combination of a report with an Order. Further, Mr. Adler argues that even if it was permissible to append a report, the report only increases the confusion.

Continuing Offences

[492] Mr. Adler submits that these offences are not continuing offences and that the cases referred to by the Crown deal primarily with statutes of limitations. With respect to the decision in *Rutherford* Mr. Adler submits that the Order had a compliance date and therefore was not a continuing offence and because there was never work done that would have to be continued it is not a continuing offence. Further, he argues that the request was to simply advise as to whether or not something can be done and in fact it could not be done and that it doesn't make sense for the Crown to insist on the notice being in writing given that they were given the information verbally.

Financial Considerations

[493] With respect to the defendants ability to pay Mr. Adler submits that the Crown referred to the filed bank records of various corporate entities and then failed to deal with the issue and failed to counter the defendant's insurance problems. In his submission the Crown simply adduced evidence that the corporation was carrying on business which in his view, doesn't prove that the defendants were in a position to do something but did not. He argues that the insurance issues were plaguing the defendants and that they were acting in good faith. Mr. Adler submits that the foregoing is proof on a balance of probabilities that the defence of impossibility has been established.

Reliance on Mr. Warren's advice

[494] Mr. Adler submits that even if I find that the Order was valid and enforceable, the defendants were entitled to rely on the advice of Mr. Warren. He submits that the actions of the defendants must be examined in light of the circumstances at the time. The explosion resulted in the destruction of the business, the death of an employee and an intense, multi-faceted investigation was occurring. There was immense media exposure and public pressure.

[495] Mr. Adler submits that the failure to comply with the Order was based on a plain reading of it. The legal advice confirmed that it was impossible to comply with. The defendants had done all that they could under extremely difficult circumstances. Mr. Ben-Moshe flew back from Panama and Mr. Belahov immediately contracted Hazco. Both directors were questioned by the authorities within hours of either the explosion or their return to Canada. The directors also had to cope with a complete loss of paperwork and the fact that an employee was missing and then was found dead. Further, Mr. Adler submits that it appeared that Ms. White, the provincial officer, panicked and failed to take the opportunity to see what could be done in a realistic manner and in a realistic timeframe.

[496] In terms of statutory interpretation Mr. Adler referred to the decision in *R. v. Castonguay*, [2012] O.J. No. 1161 (Ont. C.A.). This was an appeal from the Crown's successful appeal of an acquittal on a charge pursuant to s. 14 of the EPA. In this case the company was a subcontractor on a construction site and one of its blasting operations went wrong and sent rock flying through the air beyond the controlled area resulting in damage of a house and vehicle on a neighbouring property.

[497] The Court addressed the principles of statutory interpretation. The corporate defendant did not report the damage and was finally charged a year and a half later with failing to report the discharge. The defendant argued that the offence was trivial and as such they were under no obligation to report. The dissenting opinion expressed by Justice Blair was in favour of the defendant and the majority sided with the Ministry and the intervener, Canadian Environmental Association. Justice Blair felt that tort law should govern this type of situation and the majority gave a broader meaning to the legislation starting it at para. 77. "In conclusion, I see no policy reason for limiting the coverage of the EPA to fact situations where serious adverse effects to people, animals and property can be considered only if the environment is also harmed by the impugned activity. In this case, the discharge of fly-rock into the air during a blasting operation was a sufficient trigger for scrutiny under the EPA." Mr. Adler makes the point that the dissenting opinion cannot be seen as a frivolous view and the Crown is arguing that Mr. Warren's view is just that.

[498] Mr. Warren was looking at the plain meaning of the words in the Order. Mr. Adler referred to para. 52 of the *Castonguay* decision, where Justice MacPherson went through the plain meaning of the words contaminant, discharge and adverse effect as follows;

The fly-rock incident in this case comes within the plain meaning of the words "contaminant" and "discharge" and the term "adverse effect", as my colleague recognizes at para. 12 of his draft reasons.

[499] The discharge of the fly-rock in this instance meets all of the prerequisites for liability under the provision *if* an "adverse effect" as contemplated by the EPA requires only injury to property without any accompanying impairment of or harm to the natural environment, as a literal reading of the definition of "adverse effect" might suggest. Fly-rock is a "solid" resulting from human activities and, in this case, it caused damage to property and would, on that interpretation, constitute an "adverse effect" (paragraph (b) of the definition) and be a "contaminant." [Emphasis in original]

[500] Mr. Adler argues that Mr. Warren took the same approach in interpreting the Order and advised the defendants to comply with the ordinary words. Mr. Adler went on to point out that the wording in items 3 and 4 included another company that his clients had nothing to do with and had no way of knowing whether they had been served. With respect to item 5 Mr. Adler submits that Mr. Hicks had done some work on the roadway but not the residential area, so his clients could not continue something they had not yet started. Mr. Hick's had authorization from Mr. Belahov for the barriers around the site and nothing more.

[501] Mr. Adler also relied on the decision in *Merk v. International Association of Bridge, Structural, Ornamental and Reinforcing Iron Workers*, Local 771, [2005] 3 S.C.R. 425, 2005 SCC 70. This case involved “whistle blower” legislation that the union sought to narrow the protection given to whistle blowers. The union was being prosecuted by one of its own employees. The majority found that Ms. Merk was within the protection of the *Act* using a plain meaning reading of the act. Mr. Adler suggests that this reasoning should apply to the Order, and that the charges should be dismissed.

Crown Response to Defence Submissions – Breach of Order Charges Information # 0900354

[502] Given the submission of the defendants that it was impossible to comply with the deadlines once the Order was received the Crown submits that, as noted previously, the offences were continuing obligations. Therefore, the fact that the original compliance deadline could not be met does not render the Order unenforceable.

Defence of Impossibility of Compliance

[503] The Crown submits that the defence of impossibility was considered in *R. v. Syncrude Canada Ltd.*, [2010] A.J. No. 730 (Alta. Prov. Ct.), which described the defence of impossibility as an available excuse where it is not physically and morally possible to comply with the law. The Court observed that the both the offence and the defence of due diligence should be considered.

8. Impossibility

129 Syncrude maintains that it was impossible to “ensure”, as required by s. 155 of the *Environmental Protection Act*, that waterfowl would not be contaminated in its tailings pond and the evidence supports that assertion. Impossibility appears to be available as an excuse where it is not physically or morally possible to comply with the law. *R. v. Royka*, [1980] O.J. No. 596 (C.A.) at paras. 29-30; *R. v. 605884 Saskatchewan Ltd.*, 2004 SKPC 16 at paras. 60-62; *R. v. Belman*, [2001] O.J. No. 2288 (Ont. C.J.) at paras. 40-42; Swaigen at pp. 194-200; Libman at pp. 8-13 to 8-15.

130 In determining whether it was impossible to comply with the law, both the offence and the defence of due diligence should be considered. This view is supported by the reference in Swaigen, at p. 194 of his text, to impossibility and necessity as opposite sides of the same coin. Necessity deals with the imperative to break the law while impossibility deals with the inability to comply with the law. The elements of the defence of necessity described by Dickson, J. in *R. v. Perka*, [1984] 2 S.C.R. 232 were confirmed in *R. v. Latimer*, [2001] 1 S.C.R. 3 at para. 28, where the Court held:

- *Perka* outlined three elements that must be present for the defence of necessity. First, there is the requirement of imminent peril or danger. Second, the accused must have had no reasonable legal alternative to the course of action he or she undertook. Third, there must be proportionality between the harm inflicted and the harm avoided.

131 While the first and third elements may be inappropriate to the defence of impossibility, the second fits comfortably. In *Latimer* the Supreme Court expanded on that element at para. 30:

- ... If there was a reasonable legal alternative to breaking the law, there is no necessity. It may be noted that the requirement involves a realistic appreciation of the alternatives open to a person; the accused need not be placed in the last resort imaginable, but he must have no reasonable legal alternative. If an alternative to breaking the law exists, the defence of necessity on this aspect fails.

132 As I have already indicated, Syncrude could not "ensure" that waterfowl did not land on the Aurora Settling Basin on April 28, 2008 but it had a reasonable legal alternative. I am convinced beyond reasonable doubt that Syncrude could have acted lawfully by using due diligence to deter birds from the Basin, whether or not it was successful in its attempts at deterrence, and it did not do so

The Court rejected the corporation's defence of impossibility.

[504] In *R. v. Belman*, [2001] O.J. No. 2288 (O.C.J.) at para. 55 the Court was considering the defence in a situation where a motorcyclist claimed that it was impossible to attach a parking receipt to the windshield of his motorcycle. The court held that the defence was not available as the defendant had not established that all reasonable steps were taken to attempt to place the receipt on the windshield.

[505] In *R. v. Canchem*, [1984] 4 C.E.L.R. (N.S.) 237 (N.S.Prov. Ct.), the corporation was acquitted of failing to remove all wastes from a site within thirty days contrary to an environmental order on the basis that it was impossible to comply with the order within the time allotted. The company had taken some steps to comply when the government stepped in and hired a company to clean the site that took much longer than 30 days. The judge found that was evidence that it was impossible to finish the clean-up in 30 days. The Crown submits that this case is authority for the proposition that in considering the ability to comply with a deadline in an environmental order the issue is one of due diligence.

Reliance on Mistaken Legal Advice

[506] As the defendants took the position that they were entitled to rely on Mr. Warren's advice the Crown responded to that submission. The Crown submits that Mr. Warren's interpretation of the Order is unsupported and contrary to the facts underlying the Order, overly technical and contrary to the ordinary and common sense interpretation of the terms when read in light of the Order and its purpose. In the Crown's submission if I reject the interpretation suggested by the defendants, then any reliance on that interpretation amounts to an error in law.

[507] The Crown submits that ignorance of the law is not a defence and this principle is codified in s. 81 of the *Provincial Offences Act* which reads as follows;

Ignorance of the law by a person who commits an offence is not an excuse for committing the offence.

[508] The Crown further submits that the leading case in this area is *R. v. Mollis*, [1980] S.C.J. No. 75, (S.C.C.) which states in strict liability cases due diligence does not apply to steps taken to ascertain or interpret the law in the last para.,

But I hasten to add that the defence of due diligence that was referred to in *Sault Ste. Marie* is that of due diligence in relation to the fulfilment of a duty imposed by law and not in relation to the ascertainment of the existence of a prohibition or its interpretation.

[509] The Crown noted that *Mollis* has been followed in *R. v. Kotch*, [1990] ABCA 348, *R. v. Stucky*, [2009] ONCA 151, leave to appeal to the Supreme Court discontinued [2009] S.C.C.A. No. 186 and *R. v. Eizenga*, [2011] ONCA 113. All of these cases stand for the proposition that “it is well established that reliance on legal advice is a mistake of law which affords no defence to the commission of any offence.”

[510] The Crown also submits that the defendants reliance on *R. v. Campbell*, [1999] 1 S.C.R. 565 in support of the position that reliance on mistaken legal advice is a defence is an error as in that case the Supreme Court of Canada found that the RCMP officers who had participated in a large reverse sting operation had violated the *Narcotics Control Act* by selling the hashish despite the fact that they had apparently acted on mistaken legal advice.

[511] Finally, the legal advice at issue related to only items 2 and 5 of the Order. This advice was given in response to erroneous factual information provided to Mr. Warren by the defendants. Apparently the defendants failed to advise him that they had, in fact, commenced clean-up work.

[512] The Crown submits that there is an absence of evidence that the defendants relied on this advice in any event.

Due Diligence: Ability to Comply and Economic Considerations

[513] The Crown submitted that lack of financial means is only one factor in the due diligence analysis. In *R. v. Commander Business Furniture*, 9 C.E.L.R. (N.S.) 185 (O.C.J.) involved charges of discharging odour into the air against a company that spray painted furniture. The court considered the Ontario Court of Appeal decision in *R. v. C.I.P. Inc.* (1983), 13 C.E.L.R. 7 Aff'd (1983), 12 C.E.L.R. 121 as well as a quote from John Swaigen's text *Regulatory Offences in Canada, Liability and Defences* and concluded that financial means are a factor to consider with other factors regarding a due diligence defence.

[514] The Crown submitted that in *Canchem* the company was found guilty as it had failed to comply with a requirement to build a fence within a certain timeframe and economic considerations did not relieve the company of the obligation.

[515] The Crown argues that the defendants have failed to provide any evidence that they were financially unable to comply with the Order. There was a suggestion that there was a problem with respect to the scope of the insurance policy but no evidentiary foundation was called to es-

tablish this. Although Mr. Warren testified that the defendants' ability to comply depended on a number of variables he acknowledged that he had no personal knowledge of whether the information he was provided by his clients was true. Any hearsay statements regarding the status of the insurance policy cannot be relied upon for the truth of their contents. Further, the Crown argues that there is no evidence to explain how the insurance coverage is related to the specific requirements of the Order and the ability of the defendants to comply with it.

[516] In the Crown's submission there was no admissible evidence adduced by the defendants regarding a lack of financial ability to comply with the Order. In fact there is evidence in Mr. Belahov's August 12, 2008 statement to the Toronto Police that the business was doing well and did not owe money to creditors. In Mr. Ben-Moshe's statement to the Toronto Police on August 13, 2008 he advised that sales were in the range of 1.2 to 1.6 million dollars per month. Mr. Warren testified that the initial retainer for his firm was \$10,000.00 and the bill had increased to \$30,000.00 by August 31, 2008. In addition to this Mr. McIntyre testified that the defendants continued to carry on business into September of 2008.

[517] The Crown also points to the defendants' financial records which show that a number of large cash transactions took place shortly after the explosion. Between August 12, 2008 and August 14, 2008 a total of \$275,000.00 was paid by Sunrise Propane to counsel Dan Ronen. Between August 10, 2008 and October 31, 2008 \$458,400.00 was transferred from a Sunrise Propane account to a private account and at least \$225,000.00 was transferred to the Sunrise Propane General Account between August 10, 2008 and October 31, 2008.

[518] The Crown also submitted that both Mr. Keys and Mr. McCullough testified that all of the defendants' former customers currently have their propane delivered by PrimeMax Energy Inc. This company is a well-known distributor of propane. The former Sunrise Propane sites are now being managed by a company known as GM Petroleum. The principal of that company is Mr. Mizlitsky, the former Sunrise Propane dispatcher. In the days and months following the explosion Sunrise Propane paid a total of \$485,057.00 to PrimeMax Energy Inc. Mr. McIntyre testified that he observed a Carling Propane truck filling a bulk propane vertical tank of one of the other Sunrise Propane sites. In the days and months following the explosion Sunrise Propane paid a total of \$250,000.00 to Carling Propane.

[519] The Crown also referred to a number of other cheques issued to Discount Propane (\$8,056.00 for lease of two tankers), CIBC Visa (\$3,865.00) and to Valeri's Company Inc. (\$3,658.00 for "work done between July 16 and 31". The Crown submits that the evidence is clear that the defendants had hundreds of thousands of dollars available to them after the explosion and that the directors were able to choose how to allocate those resources. In light of this the defendants have failed to demonstrate that reasonable steps were taken to comply with the Order. The defendants allowed their business and private economic interests to take priority over the public interest. The Crown submits that the actus reus has been proven beyond a reasonable doubt and that due diligence has not been established.

Analysis

The Ministry of Environment s. 14 Environmental Protection Act Charge of Discharging a Contaminant into the Environment - Information # 10400978 The Actus Reus and Foreseeability.

[520] As I have indicated previously in this judgment it is well settled that the Crown is required to establish that the actus reus of a regulatory, strict liability, offence and that the burden then shifts to the defendants to establish that they have been duly diligent. The Crown argued that there were a number of ways that the defendants failed to prevent the discharge and they are set out under different headings in this judgment. All of these headings refer to the s. 14 charge.

[521] In this case I am in agreement with the Crown position that foreseeability is part of the due diligence analysis and not part of the actus reus determination. The Ontario Court of Appeal dealt directly with this issue in the *Timminco Ltd.* decision referred to by the Crown. The main issue in the appeal was whether knowledge of an alleged workplace hazard was part of the actus reus of the regulatory offence set out in s. 25(1)(c) of the Occupational Health and Safety Act, R.S.O. 1990 c. 0.1 and s. 185(1) of Regulation 854 R.R.O. 1990. The trial judge had allowed the Respondent's motion for a directed verdict based on his interpretation of the Court of Appeal's judgment in *R. v. Grant Paving and Materials Ltd*, [1996] O.J. No. 3703, delivered October 23, 1996. It was the view of the trial judge that there was no evidence to suggest that Timminco knew that the exposed moving index beam presented a hazard to the deceased worker.

[522] The Summary Conviction Appeal Judge found that the defendant had sufficient knowledge of the exposed moving part to establish the actus reus of the offence and determined that it was unnecessary to consider the issue raised at trial in *Grant Paving* - whether prior knowledge of a hazard is an essential element of the offence charged. A new trial was ordered. Timminco appealed that decision. At para. 26 of that decision the court discussed the policy reason for imposing the burden of proving a due diligence upon the defendant as follows;

26 To impose an obligation on the Crown to prove a mental element on a strict liability offence would impede the adequate enforcement of public welfare legislation. See *R. v. Sault Ste. Marie*, supra, and *R. v. The Wholesale Travel Group Inc.*, supra. Furthermore, this would convert a strict liability regulatory offence into a mens rea offence. In my opinion, clear language is required to create a mens rea offence in a public welfare statute. Yet words like "wilfully", "with intent", "knowingly" and "intentionally" are conspicuously absent from s. 25(1)(c) of the Occupational Health and Safety Act. Section 25(1)(c) simply requires that an employer "shall ensure that ... the measures and procedures prescribed are carried out in the workplace." In fact, use of the word "ensure" suggests that the Legislature intended to impose a strict duty on the employer to make certain that the prescribed safety standards were complied with at all material times. Emphasis added.

[523] The Court also referred to the *Rio Algom* decision that determined that foreseeability should properly be part of the due diligence defence. The court went on to discuss why there was some confusion that had arisen regarding whether or not foreseeability had to be established by the Crown or if it was part of the defence of due diligence in paras. 32 – 36,

32 In *Grant Paving*, the employer was charged with failing to ensure that measures and procedures prescribed by certain Occupational Health and Safety Act regulations were carried out contrary to s. 25(1)(c) of the Act. The applicable regulations required a worker to wear eye-protection and protective clothing. The employer was required to provide its employee with an eye-wash fountain if the employee was exposed to injury to the skin or eyes from contact with a hazardous substance. The charges were dismissed at the conclusion of the Crown's case on a defence motion for a directed verdict.

33 In dealing with the motion, the Trial Judge in *Grant Paving* made a number of discrete findings. Two of those findings require brief comment. First, he concluded that "there was nothing before the court to show that [a worker] was exposed to the hazard". Second, he held that "the accused has to knowingly be responsible for circumstances to be held liable by law". The second of these findings has created a problem in the jurisprudence. See *R. v. Mills*, a judgment of the Ontario Court, Provincial Division, delivered December 6, 1996 and *R. v. Peake*, [1999] O.J. No. 696. The Trial Judges in both *Mills* and *Peake*, respectively, relied on *Grant Paving*, in granting a motion for a directed verdict. They interpreted *Grant Paving* as requiring that the Crown must prove that the employer had knowledge of the hazard. Other Judges have not interpreted *Grant Paving* to stand for this proposition. See for example, *R. v. Jetters Roofing and Wall Cladding Inc. v. Blouse*, [1999] O.J. No. 5244, per Stafford J.P. at para. 20.

34 In *Grant Paving*, the Appeal Judge reviewed the issue of foreseeability of the hazard and worker error. He found that the Trial Court erred in considering "factors that properly should have gone to the defence of due diligence". He therefore concluded that the Trial Judge erred in granting the employer's motion for a directed verdict.

35 In a brief endorsement on the employer's appeal, this Court focused on the Trial Judge's finding that there was no evidence that the employee was exposed to a hazard. The Court concluded that this finding of fact should not have been disturbed at the first level of appeal. Thus, the employer's appeal was allowed. The Court's endorsement did not refer to any of the other reasons of the Trial Judge. In my view, given the manifestly limited scope of the endorsement, *Grant Paving* is not authority for the proposition that the Crown must prove knowledge of a hazard in prosecutions under the *Occupational Health and Safety Act* and its Regulations.

[524] The Court found that the Appeal judge was correct and dismissed the appeal. This decision is authority for the principle that there could, in certain situations, be strict liability offences that would require the Crown to prove mens rea, but the language in the charging section must be clear. The court provided the examples of words which would import this requirement such as "wilfully", "with intent", "knowingly" and "intentionally". These words are also absent in s. 14 of the *Environmental Protection Act* and therefore, foreseeability does not have to be proven by the crown and must be addressed by the defendants.

[525] In my view the actus reus has been proven by the agreed statement of facts that was filed with the court. The defendants clearly committed the actus reus described in the Information before the court that 'on or about August 10, 2008 at or about 54 Murray Rd, City of Toronto, did commit the offence of discharging or causing or permitting the discharge of a contaminant, namely sound, vibration, heat, gas vapour or solids, into the natural environment that caused or was likely to have caused an adverse effect, contrary to Sec. 14..."

[526] I will reproduce the relevant portion of the agreed statement of facts here for ease of reference,

Sunrise Propane Energy Group Inc. is and was on August the 10th, 2008, a corporation duly incorporated under the laws of Ontario. On or about August the 10th, 2008, Sunrise Propane operated a propane business that supplied propane and industrial gases at a facility located at 54 Murray Road in the city of Toronto. 1367229 Ontario Inc. is and was on August the 10th, 2008, a corporation duly incorporated under the laws of Ontario. 1367229 Ontario Inc. carries on business as Sunrise Propane, and was on August the 10th, 2008, the holder of an authorization pursuant to Ontario Regulation 211/01 made under the *Technical Standards and Safety Act, S.O. 2,000, CHAPTER 16*, to operate a propane refill cylinder and motor fill at the facility. From September 2004 up to and including August 2008, 1367229 Ontario Inc. leased the property on which the facility is located from Teskey Construction Co. Ltd.

On August the 9th, 2008, Sunrise Propane dispatched Victor Vlad an independent contractor who drove propane tankers for Sunrise Propane to drive cargo liner unit 861 to the BP Energy Canada Ltd. liquid propane terminal in Sarnia to purchase bulk propane. Cargo liner unit 861 was a tanker trailer with an 18,000 USWG capacity, or 68,000 litres. Sunrise Propane leased unit 861 from 1452049 Ontario Inc., a company owned by Gary Mizlitsky which operated as Discount Propane out of the same 54 Murray Road facility. Mr. Mizlitsky also worked for Sunrise Propane as its fleet manager and dispatcher in which capacity he would direct Sunrise Propane drivers to drive to Sarnia to pick up bulk propane and transport it back to the facility from which it would be distributed to Sunrise Propane customers. He would also take orders from Sunrise Propane customers and direct Sunrise Propane drivers to make propane deliveries to those customers.

On August 9th, 2008, Mr. Vlad filled unit 861 with approximately 15,600 USWG, or 59,000 litres, of liquid propane from the terminal in Sarnia, and then drove unit 861 back to the facility where he parked it at approximately 5:00 p.m. Unit 861 was typically used to fill smaller propane tanker trucks for delivery in and around the Greater Toronto Area, to customers whose sites would be inaccessible using a larger tanker trailer like unit 861. One of these smaller cargo liners was unit 1 which had a tanker capacity of 14,900 USWG, or 56,400 litres, for liquid propane. When unit 861 returned to the facility on August the 9th, 2008, Mr. Vlad transferred approximately 4500 to 5300 USWG, or between 17,000 to 20,000 litres, of liquid propane from unit 861 into unit 1.

At approximately 8:45 p.m., Felipe De Leon, another independent contractor who drove propane tankers for Sunrise Propane, arrived for work. Gary Mizlitsky dispatched him to deliver propane using unit 1, to four Sunrise Propane customers, before returning to the facility. Unit 1 was approximately 50 per cent full when Mr. De Leon returned to the facility at around 3:00 a.m. on Sunday, August the 10th, 2008. Mr. De Leon did a truck-to-truck transfer of liquid propane from unit 861 to unit 1. As a result of the transfer, unit 1 was filled to between 85 per cent and 90 per cent of its capacity.

At about 3:47 a.m. on August the 10th, 2008, there was a large propane vapour cloud explosion at the facility, hereafter referred to as explosion #1. Explosion #1 was followed by numerous smaller explosions as the heat from explosion #1 ignited tanks of propane belonging to Sunrise Propane and other companies that were stored at the facility. Approximately six minutes after explosion #1, there was a second large propane explosion at the facility, explosion #2. Explosion #2 was a BLEVE, an acronym for boiling liquid expanding vapour explosion, of unit 1, the tanker that Mr. De Leon had been filling. After explosion #2, further smaller explosions of smaller tanks of propane followed until the daylight hours. The propane that exploded in explosion #1, explosion #2, and in the other smaller explosions that followed both explosion #1 and explosion #2, was under the management and control of Sunrise Propane.

The propane explosions at the facility on the morning of August the 10th, 2008, resulted in a discharge of contaminants from the facility into the natural environment. The contaminants that were discharged included heat, vibration, sound, gas vapour, smoke, and solids such as asbestos, dust, metal fragments, and other debris. The discharged contaminants caused a variety of adverse effects, including personal injuries, including cuts, bruises and burns to neighbours in nearby residences, damage to neighbouring residences, including shattered windows, blown-in garage doors and structural damage to walls, ceilings and roofs. Some homes were rendered uninhabitable for over a year. Many nearby residents were forced to immediately flee from their homes due to the on-going explosions and/or the threat that their homes might collapse due to the structural damage caused by the explosions. Approximately 12,000 residents within a 1.6 kilometre radius of explosions were evacuated in the middle of the night due to the threat of further explosions while the fire persisted at the facility. Residents who were displaced by the blasts suffered lost wages, and were forced to pay out-of-pocket expenses for temporary shelter and clothing. Two local elementary schools suffered structural damage, and while all repairs and clean-ups were completed before the opening of the schools in September, significant disruption occurred as teachers and custodians were unable to access the premises during the latter half of August when they would normally be completing preparatory work. Local businesses suffered structural damage to buildings, closures to the public which caused losses of revenue and losses of working shifts. One business, a car dealership, was completely destroyed. Buildings and headstones in the neighbouring cemetery were damaged. Asbestos, including friable asbestos which is the most dangerous form of asbestos and other debris, including large metal fragments from the exploded tanks, was dispersed into the neighbourhood as far away as one kilometre from the facility. However, air quality testing commenced on August the 12th, 2008, and continued throughout the clean-up, subsequently confirmed that airborne asbestos levels were not at levels that would cause human health effects. A local child-care centre was temporarily closed due to the potential for asbestos contamination. Mr. Parminder Singh Saini, a part-time employee of Sunrise Propane who was working the night shift at the facility at the time of the explosions, was killed in the explosions. [emphasis added]

[527] The EPA definitions of terms can be found in section 1. The word discharge “when used as a verb, includes add, deposit, leak or emit and, when used as a noun, includes addition, depos-

it, emission or leak”. Contaminant is defined as “any solid, liquid, gas, odour, heat, sound, vibration, radiation or combination of any of them resulting directly or indirectly from human activities that causes or may cause an adverse effect”. Adverse effect is defined as well and means one or more of,

- (a) impairment of the quality of the natural environment for any use that can be made of it,
- (b) injury or damage to property or to plant or animal life,
- (c) harm or material discomfort to any person,
- (d) an adverse effect on the health of any person,
- (e) impairment of the safety of any person,
- (f) rendering any property or plant or animal life unfit for human use,
- (g) loss of enjoyment of normal use of property, and
- (h) interference with the normal conduct of business;

[528] Therefore, the Crown must prove that the defendants discharged or caused or permitted the discharge of a contaminant into the environment that caused an adverse effect. The evidence contained in 1367229’s insurance policy clearly shows that this numbered company and Sunrise Property Energy Group Inc. were in control of everything that happened at the site. See, *Sault Ste. Marie, Nitrochem, and Placer Developments Ltd.* In my view the Crown has proven the *actus reus* beyond a reasonable doubt through the agreed statement of fact relating to this charge.

Due Diligence

[529] The burden now shifts to the defendants to prove, on a balance of probabilities, that they were duly diligent. With respect to this count the defendants must show that they took all reasonable steps to prevent discharging contaminants into the environment.

Foreseeability

[530] I have discussed the issue of foreseeability earlier in this judgment; therefore, I don’t propose to go over it in great detail here. Foreseeability is one of the factors to consider when determining whether or not the defence has established the due diligence defence. Mr. Adler has argued that the defendants could not have possibly foreseen this particular event happening. That may be true; however, the issue, as the Ontario Court of Appeal has determined in *Rio Algom*, is whether or not the defendants could have foreseen that a propane leak could have resulted in an explosion.

[531] A similar case to the case before the court is found in *R. v. Power Tank Lines Ltd.*, (1975), O.J. No. 2662 (O.C.J.) there was an oil spill from a truck and at para. 20 the court said,

20 All oil spills are "accidental", in the sense that no one would voluntarily cause them. However, when they occur responsibility must accrue to someone and someone who is in a position to clean up the spill quickly and effectively. Oil which is carried in trucks on the highway is usually in large quantities and at times it must be in remote parts of the Province where few local facilities exist to deal with such situations. It does not seem unreasonable to suggest that the environmental purpose of this Act could be effectively accomplished by the establishment of certain stations and vans to deal with highway spills. Some of these could be established by the oil companies. Though

a conviction might well follow an "accidental" spill the alacrity and efficiency in dealing with such an emergency would obviously be available to mitigate any penalty imposed.

And at para. 23 the court went on to say,

23 I am registering a conviction under both Acts because I believe that a person or company which causes oil to be carried upon the highway must accept a certain foreseeable risk of accident no matter by whom caused. Additionally, when a spill occurs he must be prompt to deal with the same. In the instant case the company was responsible for the oil in passage and also it did not take the appropriate steps to clean up the spill and there will be a conviction on both counts one and three.

This case illustrates how the issue of foreseeability should be framed.

[532] I agree with the Crown submission that the risk of a propane leak resulting in an explosion is foreseeable and that is why the transportation and distribution of propane is regulated. The focus of the legislation as well as training for those who handle propane is all focussed on preventing leaks that can cause explosions. The training guide introduced into evidence states "treat every release of propane as having the potential for fire or explosion".

The Truck-to-Truck Transfers

[533] In this case I have heard from a number of witnesses regarding the Director's Order of October, 31, 2006. Ms. Sandra Cooke gave evidence regarding the background as to how the Order came into effect. There were safety concerns that were brought to her attention and eventually she drafted an Order that prohibited truck-to-truck transfers unless they were being conducted at a bulk plant. She testified that there was an explosion in New Jersey when a truck-to-truck transfer was carried out. The other concern was that a business could increase its storage capacity for propane without the TSSA knowing about it. This would be concerning, particularly if the business was close to a heavily populated area.

[534] I found Ms. Cooke to be a very credible and careful witness. She responded to all questions asked and was very knowledgeable about processes and procedures at the TSSA. Her evidence was that the Director's Order was signed and posted on the website. Although she could not produce a signed copy of the Order I believe her evidence that it was signed and was posted to the website and I find this as a fact.

[535] I have some concerns about Mr. Don Heyworth's evidence regarding the Director's Order. Although he testified that he had never given permission for the defendants to carry on with truck-to-truck transfers in his examination-in-chief, in cross-examination he admitted asking Mr. Ben-Moshe if truck-to-truck transfers were going on and Mr. Ben-Moshe replied in the affirmative, yet he did not issue a report ordering them to stop. He later said that he had asked Mr. Ben-Moshe about this before the Director's Order had come out. I find that I don't accept his evidence that he denied giving permission to the defendants to continue with the truck-to-truck transfers. I have concerns with the reliability of this evidence as well given his lack of memory of the meeting. He apparently recalled the meeting only days before this trial was set to start.

[536] I do, however, accept his evidence with respect to his inspections at the 54 Murray Road site. There were reports that were made on the same date of the inspections which allow me to have confidence in the truth of this evidence. It is trite law that I can accept all, some or none of a witness' evidence. See *D.R. et al. v. The Queen* (1996), 107 C.C.C. (3d) 289 (S.C.C.) per L'Heureux-Dubé J. (in dissent in the result) at 318; *Regina v. Hunter*, [2000] O.J. No. 4089 (C.A.) at para. 5 per curiam; *Regina v. Abdallah*, [1997] O.J. No. 2055 (C.A.) at para. 4, 5 per Carthy and Goudge JJ.A.

[537] Mr. Keys gave evidence that there was permission given by Mr. Heyworth for the defendants to carry on with their business. Although his memory was not very clear as to what happened during the meeting and he didn't recall anyone mentioning truck-to-truck transfers he did write the letter erroneously dated July 9, 2007 which was likely sent October 15th of 2007, which was copied to Mr. Heyworth and confirmed that Sunrise would be carrying on business. I found Mr. Key's evidence to be credible. He was responsive to questions, admitted some errors he had made and was not shaken in cross-examination. He had notes made close to the time of the meeting etc. that assisted him with his evidence. I appreciate that one might expect that this witness to have a bias given that he did a large amount of work for the defendants', however, that is not the impression that I have after listening to his evidence. In my view, his evidence provides confirmation that there had been some sort of permission given to the defendants to carry on business as they had been prior to the Director's Order.

[538] Mr. McCullough also testified about the meeting in November\December of 2006. He refreshed his memory from a spiral notebook that he had kept notes in at the time of the meeting. His recollection was that a larger tank would be required given the Director's Order. He specifically recalled Mr. Heyworth saying that he didn't want to put anybody out of business and that he was there to help them comply with the changes. I also found Mr. McCullough's evidence on this point convincing. He had notes of the meeting and testified in a manner that was straight forward. Again, as with the previous witness discussed, I appreciate that Mr. McCullough had a long and profitable business relationship with the defendants; however, I have no reason to disbelieve his evidence.

Officially Induced Error

[539] Therefore, I find as a fact that Mr. Heyworth either expressly told the defendants that they could continue to conduct business by doing truck-to-truck transfers or that he implied that they could continue to conduct business in this manner which led them to be mistaken as to what the situation was. This leads me to a consideration as to whether or not the defence of officially induced error would be available to the defendants. The Supreme Court of Canada addressed the nature of this defence and its availability with respect to regulatory offences and *R. v. Jorgensen*, [1995] 4 SCR 55 at paras. 28 – 30,

28 The first step in raising an officially induced error of law argument will be to determine that the error was in fact one of law or of mixed law and fact. Of course, if the error is purely one of fact, this argument will be unnecessary. Unlike Professor Barton, I do not agree that officially induced error should be used to eradicate the distinction between mistakes of fact and mistakes of law. This distinction is important for all the reasons that I believe the principle that ignorance of the law does not excuse must stand firm. Distinguishing between mistakes of fact and those of law remains conceptually important. Mistakes of law will only be exculpatory in narrowly defined circumstances.

29 Once it is determined that the error was one of law, the next step is to demonstrate that the accused considered the legal consequences of her actions. By requiring that an accused must have considered whether her conduct might be illegal and sought advice as a consequence, we ensure that the incentive for a responsible and informed citizenry is not undermined. It is insufficient for an accused who wishes to benefit from this excuse to simply have assumed that her conduct was permissible.

30 The next step in arguing for this excuse will be to demonstrate that the advice obtained came from an appropriate official. One primary objective of this doctrine is to prevent the obvious injustice which O Hearn Co. Ct. J. noted -- the state approving conduct with one hand and seeking to bring criminal sanction for that conduct with the other. In general, therefore, government officials who are involved in the administration of the law in question will be considered appropriate officials. I do not wish to establish a closed list of officials whose erroneous advice may be considered exculpatory. The measure proposed by O Hearn Co. Ct. J. is persuasive. That is, the official must be one whom a reasonable individual in the position of the accused would normally consider responsible for advice about the particular law in question. Therefore, the Motor Vehicle Registrar will be an appropriate person to give advice about driving offences, both federal and provincial. The determination of whether the official was an appropriate one to seek advice from is to be determined in the circumstances of each case.

[540] In *Levis (City) v. Tetreault*, [2006] 1 SCR 420 at paras. 22 - 24

22 This Court has firmly and consistently applied the principle that ignorance of the law is no defence. It has given effect to this principle not only in the context of the criminal law itself, but also in cases involving regulatory offences (*Molis v. The Queen*, [1980] 2 S.C.R. 356; *Pontes*). However, the inflexibility of this rule is cause for concern where the error in law of the accused arises out of an error of an authorized representative of the state and the state then demands, through other officials, that the criminal law be applied strictly to punish the conduct of the accused. In such a case, regardless of whether it involves strict liability or absolute liability offences, the fundamental fairness of the criminal process would appear to be compromised. Although the Court has not ruled on this point, Lamer C.J. responded to these concerns, in concurring reasons in *Jorgensen (R. v. Jorgensen)*, [1995] 4 S.C.R. 55, by proposing to recognize the defence of officially induced error and attempting to define the conditions under which the defence would be allowed.

23 In that case, which involved a charge of selling obscene material, Lamer C.J. carefully reviewed the development of this defence by the courts. He pointed out that the defence had surfaced gradually in criminal law and had been applied by trial and appeal courts to both crimes and regulatory offences (*Jorgensen*, at paras. 12-24). He noted that the judges of this Court, including Ritchie J. in *R. v. MacDougall*, [1982] 2 S.C.R. 605, at p. 613, had at times appeared to acknowledge the appropriateness of such a defence (*Jorgensen*, at para. 17). Later, Gonthier J., too, discussed the framework and nature of the defence of officially induced error in his dissenting reasons in *Pontes*, at p. 88 (*Jorgensen*, at para. 23).

24 In Lamer C.J.'s view, this defence constituted a limited but necessary exception to the rule that ignorance of the law cannot excuse the commission of a criminal offence:

- Officially induced error of law exists as an exception to the rule that ignorance of the law does not excuse. As several of the cases where this rule has been discussed note, the

complexity of contemporary regulation makes the assumption that a responsible citizen will have a comprehensive knowledge of the law unreasonable. This complexity, however, does not justify rejecting a rule which encourages a responsible citizenry, encourages government to publicize enactments, and is an essential foundation to the rule of law. Rather, extensive regulation is one motive for creating a limited exception to the rule that *ignorantia juris neminem excusat*.

(Jorgensen, at para. 25)

[541] In this case the defence would be available in my view given that the defendants took steps to determine whether or not they could carry on business. They were assured that they could continue operating despite the Director's Order. However, in my view, this defence was only available to them up until the at least for the period up to the date where the code adoption document was issued in June of 2007 which prohibited the truck-to-truck transfers.

[542] At this point the defendants were put on notice that the situation had changed and they would either have to stop the truck-to-truck transfers and continue their business in another manner by contracting out the distribution of propane or at least make an attempt to determine if another exemption would be available to them given that they were taking steps to install the 30,000 USWG tank. There was no evidence that further permission was given to the defendants to continue with these transfers and they have not established that they were duly diligent, as they have not established officially induced error from June of 2007 to the date of the explosion.

Failure to install the 30,000 USWG propane tank

[543] In my view the defendants did pursue the installation of the USWG tank in a diligent manner. Although it was possible that it could have been installed prior to the offence date there were a number of complicating issues that arose.

[544] The defendants took steps within days of the Director's Order being issued. There was a meeting 9 days later between Mr. Ben-Moshe and the TSSA Inspector Mr. Heyworth to discuss the Order and what it meant. Shortly after that meeting, either in late November or December of 2006 during which there was a discussion regarding what type of tank would be best suited for the 54 Murray site. Mr. Keys went on to take steps within days to see if the city of Toronto would allow the installation of a 30,000 USWG tank and he continued to pursue this matter into January of the next year.

[545] Mr. McCullough was not sure when he ordered the new tank but he sent an invoice to the defendants on June 11, 2007 for a deposit on the new tank. The tank had to be custom built and by the time it had arrived on September 25, 2007 and Mr. Keys proceeded with the application package for the tank was sent on October 15, 2007 and was received on October 24 2007 by the TSSA. On November 8, 2007 Mr. Kulik of the TSSA sent a letter to Mr. Ben-Moshe advising that he had received the application and reminding him to schedule an inspection 10 days before the tank was to be commissioned.

[546] Mr. McCullough testified that it would be exceedingly difficult to install the tank in the winter. A number of extra steps would be required to ensure that parts didn't freeze or become damaged once exposed to water. The spring was also very wet and Mr. McCullough felt it would be safer to do the work in good weather. Mr. McCullough conceded that some of the delay was because he was involved in other projects. I found his explanation as to why he had to wait until the weather was better to start on the installation reasonable. I also note that the installation of the two 2,000 USWG took approximately one year for him to install. This was a much larger project and when I take all of these factors into account the delay was not unreasonable.

Failure to Provide Oversight of Truck Drivers

[547] In my opinion the defendants failed to prove that they were duly diligent in the ongoing oversight of their truck drivers involved in the transport and distribution of propane. Although there was ample evidence of training provided to Mr. De Leon prior to starting the job there was a complete lack of evidence regarding ongoing training regarding safety and compliance with new regulations. Although there was no mention of a health and safety committee, no details were entered into evidence. There was no evidence of a system of updating the truck drivers of new safety procedures or changes in the regulations, no evidence of spot checks and no evidence that the truck drivers were aware of the safety concerns regarding truck-to-truck transfers. Mr. De Leon did not know that these transfers were presumptively illegal.

[548] In an inherently dangerous industry the defendants were required to take steps to ensure that their truck drivers were knowledgeable about the risks of handling propane and how to avoid them.

Failure of Preventative Maintenance of Equipment

[549] Although there was some evidence of a preventative maintenance system, in my view, it was woefully inadequate. The proposed "system" was Mr. McCullough's checklist system that he employed for the 56 sites operated by the defendants.

[550] I agree with the Crown that the courts have consistently found that corporations who are engaging in business involving dangerous or hazardous substances must ensure that there is a system in place to prevent the occurrence. This was the situation, in *Canadian Tire*, *Island Industrial Chrome Co.* and *Gulf of Georgia Towing* for example.

[551] The evidence before the court regarding to Mr. McCullough's system shows that it was far from thorough. He testified that he had conducted a yearly inspection for 54 Murray Street and yet could not produce an invoice for it. I find his explanation that he may not have written it down lacking. He could not possibly keep all of this information in his head. A system should have been in use that tracked in great detail the state of all of the equipment. His evidence also

reveals that he was not prepared to take action when the employees at the site left a hose lying around in the yard that could have become damaged somewhere instead of bringing this to the attention of Mr. Ben-Moshe his partner hid the hose.

[552] Mr. McCullough did not like to work on trucks. With respect to unit 861 there was an inspection in April of 2008; however, the hose wasn't with the truck and there is no evidence as to the state of the yard hose in August of 2008.

[553] There was no evidence that the hose on unit 861 was brand new. The evidence of Mr. Bennett was that it was manufactured sometime after December of 2006. Mr. Bennett did not say that there was a manufacturing defect with respect to the hose or the pump, he said that it would be fair to say that there was a mechanical failure.

General Atmosphere of Safety

[554] As I have discussed this issue earlier in the judgment and will not go into detail at this point. The decision in *Raham* makes it clear that the law requires more than a general atmosphere of safety. The defendants' submission that responding to inspector's orders means that they have taken reasonable steps to be diligent regarding safety is ill founded. Taking action after the fact when an inspector has pointed out particular deficiencies does not demonstrate that reasonable care was taken. What is required is a preventative system.

[555] I conclude that the defendants have not established due diligence with respect to this count and a conviction will be registered.

Analysis -The Ministry of Environment Breach Charges - Information # 0900354

The Validity of the Order and Collateral Attacks

[556] An Order issued by a provincial officer is presumptively valid. In *Consolidated Maybrun Mines Ltd.*, the Supreme Court of Canada dealt with this issue. The court found that trial courts lack jurisdiction to consider the merits of an administrative order where the statute involved has created a separate administrative appeal process for that purpose. As in this case the court was considering a charge against an accused for failing to comply with an order under the EPA. In that case, as I have in the case at hand, the defendants had not challenged the order using the existing appeal mechanism but waited until charges had been laid to take the position that the order was not valid. The court found that the defendants were not entitled to challenge the validity of the Order at trial given that they did not avail themselves of the appeal process. Ms. Saxe addresses collateral attacks in the text, *Ontario Environmental Protection Act Annotated*. Looseleaf (Aurora, ON: Canada Law Book, 2012), and commented on the policy reason for this prohibition at page II-111 as follows:

The validity, correctness or reasonableness of a pollution prevention order can only be attacked in an appeal to the Environment Review Tribunal, and not in defence to a prosecution for non-compliance. Permitting defendants to ignore orders with impunity until a prosecution is heard in the courts would sabotage the just scheme in the Act for balancing the public interest with private rights.

[557] The defendants were advised by Mr. Warren that if they wanted to attack the Order they had to do so by availing themselves of the appeal process provided for pursuant to the *Environmental Protection Act*. Mr. Warren was questioned about this when he was cross-examined by the Crown in the following series of questions and answers,

Q. You told Mr. -- you told the court that the order was never appealed, you weren't instructed to appeal it, I'm sure you did advise your clients of their right to request a review of the order?

A. We did, yes.

Q. And a right to request that the order be appealed if the review was refused?

A. We did.

Q. And I'm sure that you also told them that if they did not request a review, and appeal, that they could not then object to the validity of the order if they were subsequently prosecuted?

A. Did we explain the law on collateral attacks on the order, Mr. Adamson?

Q. That's exactly what I'm suggesting, you must've explained the law of collateral attack to them?

A. I'm not certain that we did use the term collateral attack in discussing it with them, we told them what the implications would be if they did not appeal the order.

Q. Right. And the implication would be that if they were prosecuted for breach of the order, they would not in that prosecution, be able to complain about -- or suggest that the order was invalid?

A. We told them that their method of challenging the order was by appeal.

Q. Right. And that was the only method of challenging the order?

A. I can't remember whether we said that's -- used the word 'only', but that was the advice we gave them.

[558] The defendants were aware of how they could challenge the order and chose not to do so. Mr. Adler's argument is that the defendants are entitled to a plain reading of the document, relying on the dissent in the *Castonguay* and *Merk* decisions; however, the forum for that argument would have been before the Director and then to the Environmental Review Tribunal.

[559] In this case the appeal process for the Order issued by Ms. White was printed on the back of the Order itself in plain language. In my view they are not entitled at this trial to attack the Order on technical matters such as the failure to reference s. 15.1, failure to reference the offence, offence location, failure to provide notice that she was prepared to extend the period of time required for compliance and that there was no provision for a report to be attached to the order. They are also not entitled to attack the Order by challenging the reasonableness of it. Although it may have been more appropriate to extend the timeline to the next day quick action was

required. The residential area surrounding the site was devastated. 12,000 people, some of whom were injured, were evacuated in the middle of the night. I also note that Mr. Belahov had the opportunity to review the draft Order at 10:00 a.m. that day.

[560] The submission that the Order is incomprehensible is without merit in my view. It would not be difficult for anyone reading this Order to understand what was required of the defendants. I find that the Order was both valid and enforceable.

Reliance on Mistaken Legal Advice

[561] The law is very clear that ignorance of the law is no excuse and this is codified in s. 81 of the *Provincial Offences Act*. The relevant case law in *Mollis*, *Kotch*, *Stucky* and *Eizenga* also makes this clear. The advice given by Mr. Warren with respect to whether or not the Order could be varied informally was, in my view, incorrect. He did qualify it in the sense that he said that in his experience this could not be done. It was not clear whether or not he advised his clients of this.

[562] His advice regarding the deadline, that his clients could not comply because it had passed, was clarified in his cross-examination where he confirmed that he was aware that the obligation continued beyond the compliance date. His understanding as to whether or not his clients had the ability to pay was based entirely on what his clients and other counsel told him regarding the insurance funds. He did not see any documentation regarding the insurance funds and did not say whether or not he was aware of bank statements regarding the finances of the company and its ability to pay from other sources. Mr. Warren confirmed that whether or not the insurance company would provide funds they were still obliged to comply if there were other funds available. Therefore the advice was based on information coming from the clients. There is only inadmissible hearsay evidence before the court regarding the insurance details and the extent of what could be done.

[563] Mr. Warren's advice regarding item two was based on information from his clients that they had not started to do any clean-up work. This was not correct. Mr. Hicks' evidence was that they had started work in the residential area. Again, the advice was based on what the clients had told him. Even if the advice was incorrect the defendants would not be able to rely upon it as a defence. This does not amount to officially induced error.

Continuing Offences

[564] In *Rutherford* the Ontario Court of Appeal dealt with the issue of identifying continuing offences. The court referred to *R. v. Industrial appeals Court*, [1965] V.R. 615 where the court looked to the criminal law to provide some guidance as to how to identify continuing offences and found that conduct that consists of the persistent failure to do something where the duty to do it is imposed by law is a continuous one until the duty has been complied with. The Court of

Appeal also stated that it is easier to find a continuing offence where the statute provides for a penalty for every day that the corrective work is not done. This is the situation before the court.

[565] The defendants were obliged to do a number of things and did not. The penalty section in the Act provides for fines for each day, or part day, upon which the Act continues. Mr. Warren informed the defendants of this. This is apparent from the following passage of his cross-examination,

Q. Mr. Warren, Mr. Adler asked you a number of questions about the significance of the fact that the, as an example, the 5:00 p.m. August 13th compliance time for item number one had passed by the time your clients actually got the order, I take it from your experience with this order, these kind of orders, you understand that when a compliance date in an order has passed, the obligation to comply still continues after that date, right?

A. Yes.

Q. So the fact that your clients got the order after the 5:00 p.m. compliance time didn't mean that they were no longer obliged to comply with that, it just meant that they couldn't have complied by that time?

A. Yes.

Q. So if they were charged, for instance, with failing to comply by -- if they had for instance, complied by the next morning at 9:00 a.m., and they were charged for failing to comply by 5:00 p.m., they might be able to say well, we took all reasonable steps, as a defence, right?

A. I don't know, Mr. Adamson.

Q. But the point is, just to take another hypothetical, if you have a client who's given a compliance date that gives them a month to comply, right, and they don't comply by that date, they're still obliged by the order to comply after that date, right, that obligation continues?

A. Yes.

[566] In my view the charges before the Court should be categorized as continuing offences.

Count 1. Written confirmation that the company is willing to comply with the requirements of the Order (Item 1.) - compliance date- August 13, 2008 by 5 p.m.

[567] The defendants rely on the defence of impossibility in saying that they could not comply with the order. The defence of impossibility was discussed in the *Syncrude*, *Belman* and *Canchem* decisions referred to in the Crown's submissions. In order to establish that it was impossible to do the task ordered by the government the defendants must show that it was not possible physically or morally to comply.

[568] The defendants say that the timelines made it impossible to comply; however, their own counsel advised them that the obligation to comply with this order was ongoing. The defendants also say that it was impossible for them to comply with this item of the Order because of insurance problems. There is no admissible evidence before the court that the defendants were not able to comply with this item, therefore, they have not established that it was impossible for them

to comply. On the contrary, there was evidence established by the bank records filed that there was a substantial amount of money available to the defendants that was paid out to various parties. I am satisfied beyond a reasonable doubt that the Crown has proven the essential elements of this count.

Count 2. Provide notification if for whatever reason the company cannot or is unwilling to comply with the Order (Item 2) verbally and in writing- compliance date -within 12 hours of August 13, 2008

[569] The evidence of Mr. Warren was that he was in regular contact with counsel for the Ministry of the Environment and that he notified counsel that the defendants could not comply with the Order because of insurance issues.

[570] The defendants did take steps to retain counsel and through counsel to notify the Ministry that they did not intend to comply with the clean-up order. Given this, the defendants have established that they were duly diligent regarding this item.

Count 3. Provide written verification that one or more qualified persons had been hired to carry out the work required by the Order (Item 4) – compliance date -August 13, 2008 by 5:00 p.m.

[571] In my view the Crown has established the actus reus beyond a reasonable doubt as it was admitted that there was no compliance with this item. The defendants point to the same defence of impossibility. I have already determined that this defence is not available to them as per my comments regarding count 1. The defendants also were not entitled to rely on the advice of Mr. Warren and have not established that they were duly diligent. I find that the defendants are guilty of this count.

Count 4. Failure to clean-up the residential area around 54 Murray Road (Item 5)- compliance date –effective immediately August 13, 2008

[572] In my view the evidence is clear that the defendants started the clean-up. Early in the day on August 11, 2008 Mr. Hicks from Hazco, the clean-up company listed on the defendants emergency response action plan, called Mr. Belahov to advise him that asbestos had been located at the 54 Murray Road site. Mr. Belahov told him to deal with what Sunrise Propane was responsible for. Mr. Belahov also committed to meeting with Mr. Hicks, or to have someone go to the site to meet with him to sign the necessary paperwork. The defendants did not continue the clean-up efforts and they were required to do so. There was no admissible evidence that the defendants were unable to pay for the clean-up. The actus reus has been proven beyond a reasonable doubt and as there is no viable defence they are guilty of this count.

Count 5 Failure to provide a written residential clean-up plan- compliance date – August 14, 2008

[573] The defendants were not entitled to rely on the advice of Mr. Warren in this regard. Again there is no evidence that the defendants were unable to pay for the clean-up and the clean-up plan did not have to be complicated. It could have been contained in an email. Therefore, the defendants are guilty of this count.

Count 6 and 7

[574] Mr. Ben-Moshe and Mr. Belahov admitted to being directors of the accused corporations. Section 194(1) of the EPA imposes a duty on directors to take all reasonable care to prevent the corporation from contravening an Order under the EPA. The actus reus has been proven beyond a reasonable doubt as I have found that the corporation failed to comply with the Order. The defendants have not established that they were duly diligent. Mr. Shay Ben-Moshe is found guilty of count 6 and Mr. Valery Belahov is found guilty of count 7.

Conclusion

In conclusion the verdicts are as follows,

Occupational Health and Safety Act Offences Information # 05001902

Count 1 - On the charge that on or about August 10, 2008, in the City of Toronto or elsewhere in the Province of Ontario, Sunrise Propane Energy Group Inc. failed as an employer to provide information, instruction and supervision to a worker to protect the health or safety of the worker at a workplace contrary to s. 25(2) of the *Occupational Health and Safety Act* - **guilty**

Count 2 - On the charge that on or about August 10, 2008, in the City of Toronto or elsewhere in the Province of Ontario, Sunrise Propane Energy Group Inc. failed as an employer to take every precaution reasonable in the circumstances for the protection of a worker at a workplace contrary to s. 25(2)(h) of the *Occupational Health and Safety Act* - **guilty**

Environmental Protection Act Offences – Information # 10400978

On the charge that Sunrise Propane Energy Group Inc. and 1367229 Ontario Group, in the City of Toronto or elsewhere in the Province of Ontario discharged on August 10, 2008 or caused or permitted the discharge of a contaminant, namely sound, vibration, heat, gas vapour or solids into the natural environment that caused or was likely to have caused an adverse effect contrary to s. 14(1) of the *Environmental Protection Act* - **guilty**

Environmental Protection Act Offences – Information # 09300354

Count 1- on the charge that on or about August 14, 2008 at 54 Murray Road, in the City of Toronto or elsewhere in the Province of Ontario, Sunrise Propane Energy Group - failed to comply with a provincial officer's Order item number 1 contrary to s. 186(2) of the *Environmental Protection Act* - **guilty**

Count 2 – on the charge that on or about August 24, 2008 at 54 Murray Road, in the City of Toronto or elsewhere in the Province of Ontario, Sunrise Propane Energy Group failed to comply with a provincial officer's Order item number 2 contrary to s. 186(2) of the *Environmental Protection Act* - **not guilty**

Count 3 – on the charge that on or about August 24, 2008 at 54 Murray Road, in the City of Toronto or elsewhere in the Province of Ontario, Sunrise Propane Energy Group failed to comply with a provincial officer's Order item number 4 contrary to s. 186(2) of the *Environmental Protection Act* - **guilty**

Count 4 – on the charge that on or about August 24, 2008 at 54 Murray Road, in the City of Toronto or elsewhere in the Province of Ontario, Sunrise Propane Energy Group failed to comply with a provincial officer's Order item number 5 contrary to s. 186(2) of the *Environmental Protection Act* - **guilty**

Count 5 – on the charge that on or about August 24, 2008 at 54 Murray Road, in the City of Toronto or elsewhere in the Province of Ontario, Sunrise Propane Energy Group failed to comply with a provincial officer's Order item number 6 contrary to s. 186(2) of the *Environmental Protection Act* - **guilty**

Count 6 – on the charge that Mr. Shay Ben-Moshe, during the period beginning on or about August 14, 2008 and ending on or about August 24, 2008 at 54 Murray Road, in the City of Toronto or elsewhere in the Province of Ontario, did commit the offence of being a Director of a corporation and failed to take all reasonable care to prevent the corporation from contravening a provincial officer's Order contrary to s. 194(2) of the *Environmental Protection Act* - **guilty**

Count 7 – on the charge that Mr. Valery Belahov during the period beginning on or about August 14, 2008 and ending on or about August 24, 2008 at 54 Murray Road, in the City of Toronto or elsewhere in the Province of Ontario, did commit the offence of being a Director of a corporation and failed to take all reasonable care to prevent the corporation from contravening a provincial officer's Order contrary to s. 194(2) of the *Environmental Protection Act* - **guilty**

Released: June 27, 2013

Signed: "Justice L. Chapin"